

IFU ANNUAL REPORT 2024



INVESTMENT FUND FOR
DEVELOPING COUNTRIES

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YEAR 2024

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This report covers activities in IFU and IFU managed funds for the financial year 1 January to 31 December 2024. The report also represents IFU's statutory statement on corporate social responsibility, gender diversity at management level and data ethics in accordance with section 99 a, b and d of the Danish Financial Statements Act. Furthermore, it serves as IFU's Communication on Progress to the UN Global Compact. See Sustainability and impact reporting principles on p. 83.

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YEAR 2024



LETTER FROM THE CEO

Globally, we experience a pressing need for providing risk capital for private sector development, and we are committed to continuing our efforts to meet these demands. Following the 2023 reform, IFU is now positioned to more than double our capital under management by 2030, enabling us to significantly expand our impact footprint.

In 2024, IFU significantly increased its investments, creating substantial impacts that enhance our support for the green transition and improve the livelihoods of people in our investment countries. Simultaneously, we prepared for the future by strengthening IFU to significantly boost our investment volume in the coming years.

Increasing investments by 80 per cent

In 2024, IFU invested DKK 2.4 billion across the developing countries and emerging markets. Compared to 2023 the investment volume increased by 80 per cent.

A major contributor to the increase was IFU's Development Guarantee Facility that issued its first two guarantees of a total of DKK 746 million to support the Asian Development Bank in financing climate activities and a Rwandan bank focusing on local small and medium-sized companies.

The remaining part of the investments was distributed with 31 per cent in Africa and 29 per cent in Latin America followed by Asia and Europe with 18

and 14 per cent, respectively. The remaining 7 per cent were made in businesses with a global mandate.

Continued engagement in Ukraine

Despite challenging circumstances, we continued to invest in Ukraine enabling the investees to restore revenues, maintain tax contributions, retain jobs and assist in rebuilding of the country. In 2025, we will maintain our strong support to Ukraine by utilising the additional DKK 100m that has been allocated by the Danish state to IFU's dedicated facility for Ukraine.

Green energy is a high priority

Investments in green energy and infrastructure continued to be a high priority. During the year, we made five investments in wind and solar power in Africa and Latin America, which is expected to add more than 450 megawatts to the already large portfolio of close to 3,000 megawatts of renewable energy. The new investments were made in large-scale utility projects and off-grid solutions, the latter primarily to be established in Nigeria, the Democratic Republic of the Congo and Sierra Leone.

Doubling investments in Africa

Investments in Africa amounted to DKK 520 million, more than double the level from 2023. This is in line with the ambition set forward by the Danish government in its new strategy for Africa, where increasing private sector investment is seen as a driver for supporting sustainable development.

The Danish government's Africa strategy includes an allocation of DKK 100 million to involve more Danish companies in doing business on the continent. We are looking forward to taking on this impor-

tant task that will benefit both Denmark and Africa, as well as building stronger bonds between Europe and Africa.

We also managed to increase investments in poor & fragile countries, which is in line with our ambition to create just and inclusive societies with a focus on the most vulnerable and underserved people.

New public-private partnership launched

One of the major milestones for 2024 was the launch of the Danish SDG Investment Fund II in cooperation with four large Danish pension funds. The fund is a unique public-private partnership promoting investments in developing countries to support the realisation of the 17 Sustainable Development Goals. The first capital commitment was DKK 2.7 billion, and we are dedicated to the work on securing final closing at DKK 5 billion during 2025.

The launch of the second SDG fund was an important step in relation to the 2023 reform. The reform also includes the full integration of Danida Sustainable Infrastructure Finance (DSIF) into IFU, which has now been achieved. Going forward, DSIF's objectives are aligned with IFU's impact strategy with focus areas of climate, Africa and poor & fragile countries, and IFU has assumed the full responsibility for DSIF's administrative, operational and strategic management, as well as its investment decisions.

Recording a profit of DKK 228 million

IFU recorded a profit of DKK 228m in 2024, which is an improvement compared to the profit of DKK 146m in 2023. The result was in line with the expectation.

Lars Bo Bertram, CEO



IFU AT A GLANCE

The Investment Fund for Developing Countries (IFU) is Denmark's development finance institution. It was founded in 1967 and is financially supported by the Danish State and acts as an integrated part of Denmark's development and global climate policy, governed by the Danish Act on International Development Cooperation.

IFU makes financially viable investments together with professional commercial partners to unlock capital for private sector businesses in emerging markets and developing economies in pursuit of the UN Sustainable Development Goals. IFU has launched sev-

eral partnerships to mobilise institutional and private investors, and also manages a range of complementary development finance tools.

To promote sustainable development in the countries where IFU invests, all investments are made in pursuit of impact priorities aiming at creating green, just and inclusive societies.

Building green societies: Green societies will assist the world in reducing the use of resources, limiting the global temperature rise through climate mitigation, contributing to a circular economy, and allow developing countries to pursue a path of sustainable

production and construction. Climate adaptation and biodiversity protection are at the core of the green transition and essential to building resilience.

Building just and inclusive societies: Just and inclusive societies are a necessity to reduce inequalities and poverty by addressing the billions of people lacking access to essential goods, services and basic human rights. Gender inequality is an important dimension of inequality addressed by IFU, together with a just and fair transition that focusses on the bottom 40 per cent income segment, poor & fragile countries as well as underserved people.



Lars Løkke Rasmussen, Minister for Foreign Affairs, at the SDG Fund II launch.

"One IFU" overview* - IFU's impact capital under management

IFU's own account and facilities - state capital and borrowing	IFU managed funds - with participation of private investors	IFU managed facilities - on behalf of public donor partners
• Investment Fund for Developing Countries (IFU) • On-balance sheet facilities: - Denmark's Green Future Fund - High Risk High Impact Initiative - Project Development Programme - India Climate Finance Initiative - IFU Sustainability Facility - The Ukraine Facility - IFU Impact Ventures • Investment Fund for Central and Eastern Europe (IØ) (separate account)	• IFU managed funds with capital contribution of up to 40 % from IFU and 60+ % from private investors - Danish SDG Investment Fund - Danish Climate Investment Fund - Danish Agribusiness Fund - Danish SDG Investment Fund II • IFU Investment Partners (co-investment facility for private investors)	• IFU managed on behalf of Danida: - Danida Sustainable Infrastructure Finance (DSIF) - Project Development Facility (for DSIF) - IFU Development Guarantee Facility (DGF) • Grant facilities: - Neighbourhood Energy Investment Fund

* The present annual report is reporting on activities and impact deriving from IFU's own account and facilities as well as IFU managed funds. Financial accounts presented is related to the first column only with the exception of IØ.

IFU's investments are focused in four primary sectors:

- Green energy & infrastructure
- Financial services
- Sustainable food systems
- Healthcare

As illustrated in the overview, IFU's combined activities span across its own account and facilities, IFU managed funds with participation of private investors, and facilities managed by IFU on behalf of public donor partners. Based on its investment strategy, IFU provides risk capital in the form of equity, loans and guarantees to companies and projects operating in OECD DAC defined developing countries across Africa, Asia, Latin America and parts of Europe.





IFU and IFU managed funds overall

Over time, IFU and IFU managed funds have invested in 1,381 projects covering more than 100 different countries in Africa, Asia, Latin America and Europe.

At year-end, the active portfolio covering all funds contained 183 project companies.

This makes IFU the most experienced Danish investor in developing countries and emerging markets.

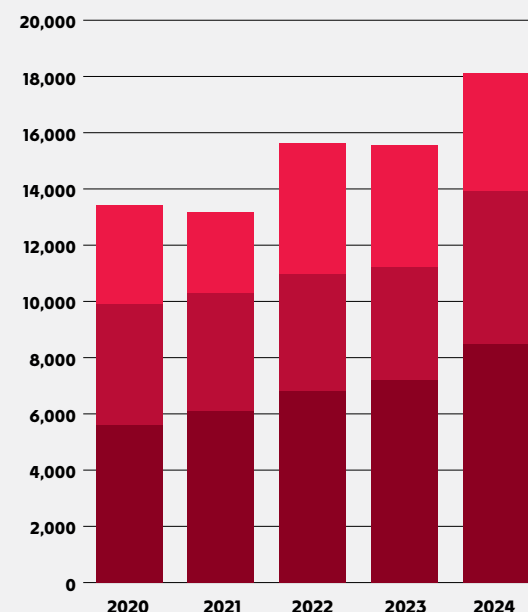
As per 2024, total capital under management by IFU was DKK 18.1bn.

Active portfolio at 31 December 2024 (no.)

Investment Fund for Developing Countries (IFU)	141
Danish SDG Investment Fund (SDG Fund)	22
Danida Sustainable Infrastructure Finance (DSIF)	15
IFU Development Guarantee Facility	2
Danish Climate Investment Fund (DCIF)	6
Danish Agribusiness Fund (DAF)	3
IFU Investment Partners (IIP)	1
Investment Fund for Central and Eastern Europe (IØ)	1
Total	191
Eliminations*	-8
Consolidated total	183

* Eight projects are eliminated due to inter-fund investments, or because they have received financing from more than one fund

Development in capital under management in DKKm



- IFU's own account and facilities - state capital and borrowing
- IFU managed funds with participation of private investors
- IFU managed facilities on behalf of public donor partners

Note: Comprised of i) IFU and IØ equity, loan facilities from Danmarks Nationalbank (drawn and available) and the Nordic Investment Bank (outstanding) and capital procured from the EU ii) for the PPP funds (SDG, DCIF, DAF and IIP) either capital from private investors (the investment period) or private investors share of NAV plus undisbursed commitments (holding period) iii) guarantees outstanding for DSIF and outstanding and available guarantee amount under the IFU Development Guarantee Facility. See detailed overview in section "Reporting on funds and facilities managed by IFU".



EXECUTIVE SUMMARY 2024

INVESTMENTS

- IFU and IFU managed funds contracted investments of DKK 2.4bn in 2024
- DKK 746m was contracted by IFU Development Guarantee Facility
- In total, 24 investments were contracted
- 58 per cent of new investments qualified as climate finance
- The Danish SDG Investment Fund II was launched with a first capital commitment of DKK 2.7bn
- Capital under management was DKK 18.1bn
- IFU's financial result was a profit of DKK 228m

EXPECTED IMPACTS - NEW INVESTMENTS

- Supporting more than 20,000 direct jobs
- Adding local value of DKK 2bn annually
- Installing more than 400 megawatts of renewable energy
- Avoiding greenhouse gas (GHG) emissions of close to 690,000 tonnes CO₂e
- Enabling 26,600 new power connections
- Conserving forest area of 27,350 hectares
- Sequestering 18.7 million tonnes CO₂e
- Serving 33 million people with healthcare services and products

REALISED IMPACTS – PORTFOLIO COMPANIES

- 388,000 people were employed by the portfolio companies
- Installed more than 2,800 megawatts of renewable energy capacity
- Generated more than 5,700 gigawatt hours (GWh) of renewable energy
- Avoided GHG emissions of a total of 3.8 million tonnes CO₂e
- Avoided GHG emissions attributed to IFU was 234,000 tonnes CO₂e
- IFU's climate footprint linked to portfolio investments was 566,000 tonnes CO₂e
- CO₂ emission intensity per outstanding DKK million decreased by 33 per cent
- Served more than 20 million clients with microfinance
- 86 per cent of the microfinance clients were women
- Served more than 40,000 SME clients
- Supported more than 1.4 million smallholder farmers
- Served 1.3 million people with healthcare services
- 85 per cent of portfolio companies had a written sustainability policy
- DKK 7bn in corporate taxes reported by portfolio companies

MILESTONES OF 2024

NEW DANISH SDG INVESTMENT FUND II IN PLACE

In November 2024, four large Danish pension funds and IFU established the Danish SDG Investment Fund II to promote investments in developing countries supporting the realisation of the 17 Sustainable Development Goals. The capital commitment was DKK 2.7 billion, which is expected to increase to DKK 5bn in a final close during 2025. The fund is a unique public-private partnership offering private investors a risk-reflected return through blended finance, including a preference return and loss guarantee on individual investments. Read more on p. 35.



APPOINTED A GLOBAL LEADER IN IMPACT INVESTING



IFU is one of the best impact investors in the world. This is recognised by BlueMark, a leading global rating agency for impact investments. Based on an independent verification of IFU's policies, working methods and performance measurement, BlueMark has included IFU in its leaderboard, where only 15 investment companies worldwide were represented at the time of IFU's appointment. Read more on p. 12.

IFU'S DEVELOPMENT GUARANTEE FACILITY MAKES FIRST DEALS

IFU's Development Guarantee Facility made its first two deals in 2024. The first deal was a USD 100 million guarantee to support the Asian Development Bank's (ADB) groundbreaking Innovative Finance for Climate in Asia and the Pacific Initiative (IF-CAP). The second deal was a guarantee of USD 5.6 million targeting loan financing for small and medium-sized companies in Rwanda. The guarantees are expected to mobilise DKK 3.2 billion in additional capital for green and sustainable investments. Read more on p. 42.



DANIDA SUSTAINABLE INFRASTRUCTURE FINANCE FULLY INTEGRATED IN IFU

Danida Sustainable Infrastructure Finance (DSIF) has been fully integrated in IFU. Going forward, the objective of DSIF will be aligned with IFU's impact strategy, and IFU will take full responsibility of the administrative, operational and strategic management, as well as the investment decisions. DSIF will continue to invest in public infrastructure on concessional terms with a stronger focus on providing finance in the poorer countries and to underserved people within renewable energy and water, for example.

INVESTMENTS IN FORESTRY SEQUESTER CARBON

In 2024, IFU made two investments in sustainable forestry in Colombia and Paraguay. Deforestation and biodiversity loss are significant global issues, and the investments will develop plantations that are commercially driven combined with protecting existing forests, restoring modified habitats by planting new trees, and establishing conservation areas to maintain or enhance biodiversity. Additionally, investments in forestry contribute to carbon sequestration thereby positively contributing towards IFU's ambition of moving towards a net-zero emissions portfolio.





MANAGEMENT'S REVIEW



NEW STRATEGIC PLAN TO DELIVER ON THE REFORM OF IFU

The reform of IFU that was introduced in 2023 includes a large capital plan that will provide IFU with additional capital of DKK 20+ billion towards 2030 and a new strategic agreement with key performance indicators (KPI) targeting investments in climate, Africa and poor & fragile countries.

To ensure that IFU can deliver on the reform and create impact and return at a greater scale, IFU adopted a new strategic plan in the beginning of 2024. The strategic plan has focus on securing funding for the Danish SDG Investment Fund II and preparing for the large capital injections and access to the state on-lending through Danmarks Nationalbank. Included in the plan is also the integration of the large development aid financed facilities Danida Sustainable Infrastructure Finance and the IFU Development Guarantee Facility into IFU.

These priorities have already advanced significantly in 2024, including the launch of the Danish SDG Investment Fund II and the full integration of Danida Sustainable Infrastructure Finance.

IFU has also started an update of its investment strategy to reflect the new funding, KPIs and developments over the period 2021-24; remaining within the key objectives and sector focus to further increase investments and impacts. Part of the strategy is to expand IFU's presence in key markets by opening new regional offices in Nigeria and South Africa and strengthening the existing ones.

A major focus of the new strategic plan is to build the capacities and capabilities required to increase the scale of IFU's investment activity in the coming years. In line with this, IFU's organisation was strengthened in 2024 both in terms of investment professionals and other business functions. IFU has also set priorities for transforming its work in selected focus areas to prepare for the larger scale of operations, including communication and marketing, technology and data, as well as governance, risk and compliance.



INVESTMENT AND IMPACT STRATEGY

IFU's purpose is to promote investments that support sustainable development in developing countries and contribute to the realisation of the Sustainable Development Goals. This is achieved by providing risk capital to private sector companies and public infrastructure projects that through their activities create positive impacts benefitting the host country and its people.

IFU's impact priorities of creating green as well as just and inclusive societies are linked to four of the

SDGs: gender equality (SDG 5), decent work and economic growth (SDG 8), reduced inequalities (SDG 10) and climate action (SDG 13). IFU tracks impact in relation to these at portfolio level.

Across the investments IFU has an additional impact on several of the remaining SDGs. These impacts include improving living conditions and livelihood for low-income people and extending access to affordable healthcare services, for example. Such ad-

ditional impacts are monitored and reported in relation to the four sectors in which IFU invests.

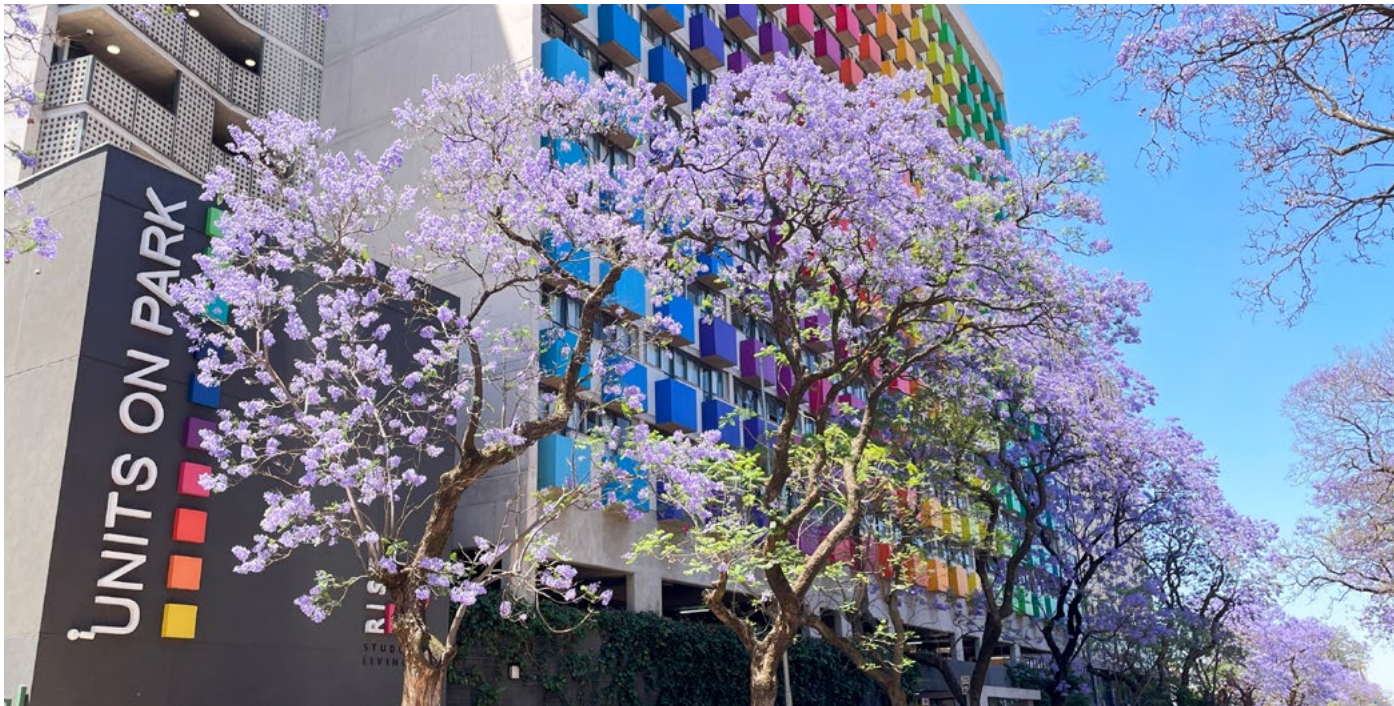
Impact priorities

Building green societies: Green societies will assist the world in reducing the use of resources, limiting the global temperature rise through climate mitigation, contributing to a circular economy, and allow developing countries to pursue a path of sustainable

production and construction. Climate adaptation and biodiversity protection are at the core of the green transition and essential to building resilience.

Building just and inclusive societies: Just and inclusive societies are a necessity to reduce inequalities and poverty by addressing the billions of people lacking access to essential goods, services and basic human rights. Gender inequality is an important dimension of inequality addressed by IFU, together with a just and fair transition that focuses on the bottom 40 per cent income segment, poor & fragile countries as well as underserved people.

SASAI, student accommodation in South Africa.



The theory of change

The theory of change assumes that IFU's capital is additional and will facilitate local business activities that otherwise wouldn't have occurred, resulting in impacts unattainable without this financing.

To ensure this IFU is investing in well-defined sectors with high impact potential and where IFU has extensive experience and expertise. Thereby, IFU can better influence the business plans and set specific impact targets leading to the desired outputs, including circular business models, climate mitigation and adaption, as well as improved access to basic goods and services and woman empowerment, for example.

By demonstrating a positive correlation between impact creation and financial and commercial performance, IFU can contribute to creating viable companies that on one hand can deliver a return on the invested capital and on the other hand can provide a lasting outcome that ultimately contributes to IFU's impact priorities.





Moreover, IFU's capital and experience in handling investments in difficult environments normally lead to capital mobilisation from other investors, private as well as public, thereby increasing the overall impact from the activities.

IFU's theory of change is illustrated in the investment and impact model shown below.

Approach to impact management

IFU has developed a bespoke approach to impact management as presented by the impact house (see page 13), representing the necessary elements required to be a leading impact investor.

This approach has been adopted from interactions with the European Development Finance Institution

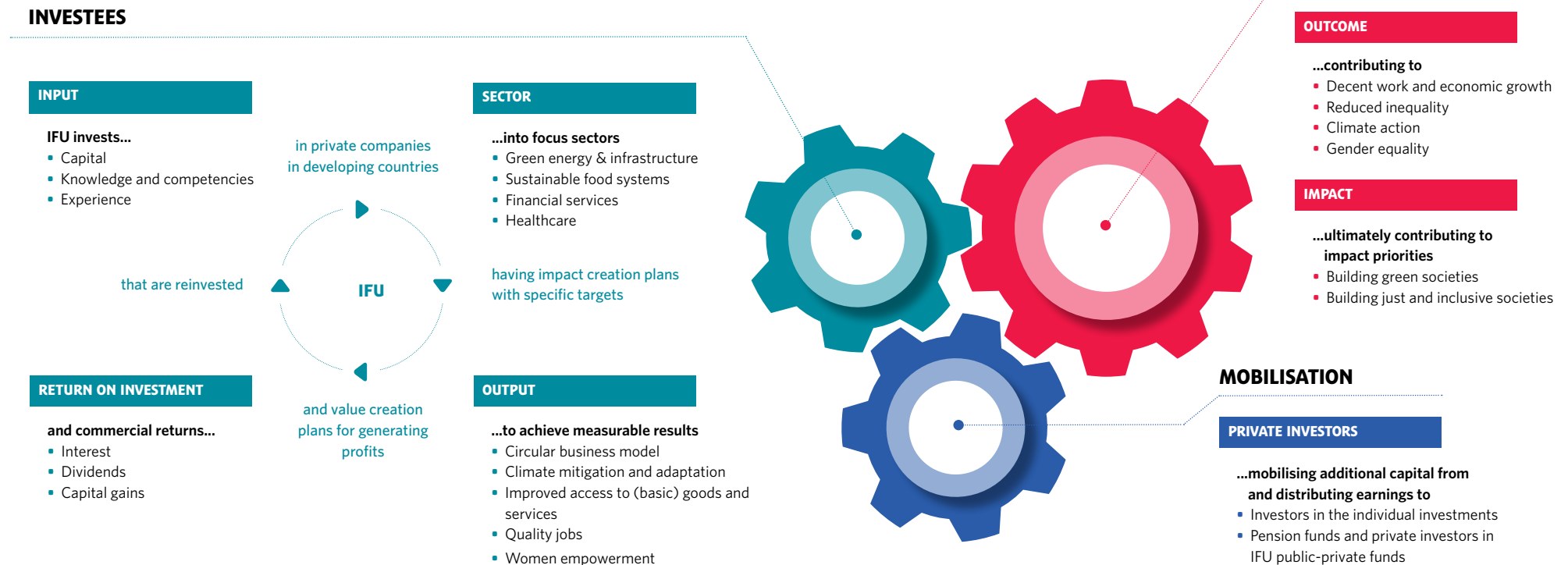
(EDFI) counterparts and IFU stakeholders and is based on the OECD-UNDP Impact Standards for Financing Sustainable Development. The approach is also guided by the Operating Principles for Impact Management (OPIM), which IFU has been a signatory to since 2019. Independent assurance against OPIM principles was conducted by BlueMark in

2024. This assurance covers the overall approach to impact management, as is illustrated in IFU's impact house. IFU was awarded leaderboard status by BlueMark, a leading global assurance provider. IFU embraces the five dimensions of impact, the foundation of global impact management frameworks, as set forth by the Impact Management Project (IMP), now called Impact Frontiers.



IFU'S INVESTMENT AND IMPACT MODEL

Investing risk capital in private companies in developing countries with the purpose of creating impact and return to investors.

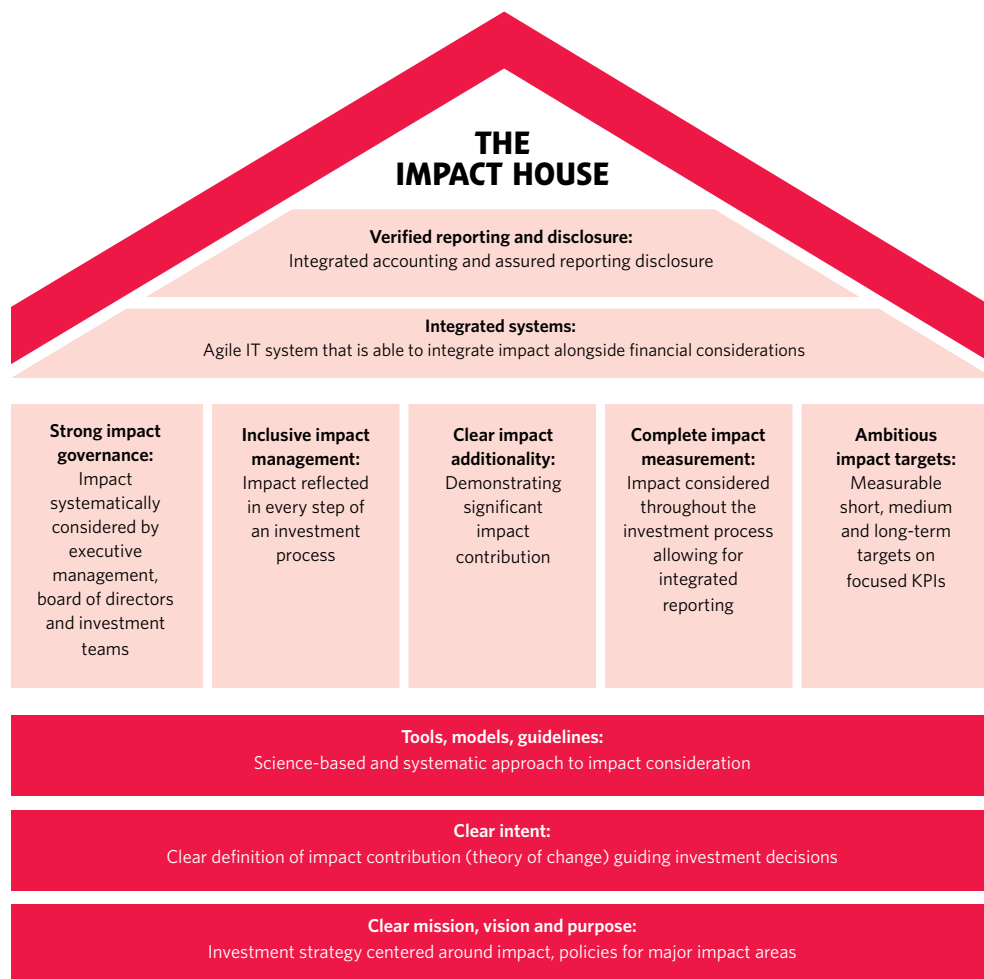




Progress on impact management

IFU's self-assessment of progress against the elements of the impact house informs areas of internal focus and development, and the status in 2024 is disclosed in the table on page 14 to ensure transparency.

Improvements in impact management during 2024 included work done on tools, models, guidelines, and verified reporting and disclosure. IFU will be improving across all elements in 2025 and 2026, with elements classified as "Good" indicating more significant gaps and room for improvement.



Sturdee Energy, South Africa.

How investments are made

IFU has set up a rigorous investment process with a step-by-step approach from screening to due diligence through active ownership and to exit (see p. 15).

Initially, all potential investments are screened against IFU's exclusion list and IFU's criteria for impact and return to identify high impact and strategic alignment.

IFU's due diligence process includes a comprehensive identification and assessment of potential and actual impacts and ESG risks applying a risk mitigation hierarchy based on principles of doing no significant harm, as well as minimum safeguards and good governance. As part of the assessment, gaps in relation to IFU's policy requirements, as related to relevant international sustainability standards, are identified. Based on the findings a sustainability action plan is prepared to be implemented within specific deadlines. Before deciding on the investment, IFU also develops an exit strategy.

This is followed by the development of value and impact hypotheses and subsequent validation, which are transformed into an impact creation plan with specific indicators and targets.

After the signing of an investment, IFU is engaged in the business through ongoing active ownership. By participation in board meetings and continuously monitoring on impact and financial performance, IFU can drive the agreed impact and value creation as well as respond to deviations from the impact creation plan and the sustainability action plan. During the active ownership IFU also assess and updates the exit opportunities and strategy preparing for a final sale.

Before selling its stake, IFU always seeks to secure a responsible exit by selling to aligned investors that have the capabilities and the intention to maintain and further develop the company thereby creating a viable business and a lasting impact. Read more about the investment process and due diligence on p. 55.





Elements of the impact house	Summary of ongoing internal work	2024	2023	2022
Clear mission, vision and purpose	IFU has a strong policy framework and investment strategy centred around impact priorities, providing a clear purpose and alignment with the expectations of IFU's board and owners. In 2024 IFU developed an investment plan 2024-2026 to build on IFU's investment strategy to allow for growth and the increased capital that has been allocated to IFU. SDG Fund II is a sustainability focused fund that meets the criteria in SFDR article 9 , improving impact management across IFU. In 2025, IFU will develop sector team strategies to focus the sourcing of impactful opportunities and strengthen impact management at team level.	Strong	Strong	Strong
Clear intent	IFU has a focused screening process that promotes the selection of investments in high impact and priority sector areas, and IFU is strengthening its sector strategies to sharpen investment sourcing. In 2024, IFU further developed its strategic position on qualifying sustainable investments to align with EU sustainable finance legislation, thus improving the measurement and communication of impact.	Strong	Strong	Strong
Tools, models, guidelines	IFU has various tools supporting the investment process and ensuring the delivery of impact. Tool and process development is ongoing, and in 2024, IFU strengthened tools to qualify investment-level impact, during both screening and due diligence. Tools to assess impact performance, during active ownership and on exiting the investment, were also developed and implemented in 2024.	Strong	Strong	Good
Strong impact governance	Impact is a shared and joint responsibility across IFU and a key consideration at investment committee and board meetings. Investment teams are responsible for securing investments that deliver on IFU's portfolio targets. In 2024, the Sustainable Investment Policy was approved, and further policy development will be done in 2025. IFU's sustainability team conducted on-the-job impact management training within investment teams and corporate governance tools were updated, with related training completed. Annual performance of investment staff continues to consider impact and sustainability assessment skills, as well as sourcing and managing investments that deliver on the investment strategy.	Strong	Good	Good
Inclusive impact management	Impact creation plans are developed early in the investment process and include impact targets for all new investments. The impact creation plan and impact targets are tracked during active ownership. In 2025, IFU will develop an impact monitoring and evaluation strategy.	Good	Good	Good
Clear impact additionality	Impact additionality is considered at investee, sector and portfolio level. In 2024, IFU's tool to assessing financial additionality, as aligned with OECD guidelines and developed together with the Technical University of Denmark (DTU), was strengthened and implemented.	Strong	Good	Good
Complete impact measurement	IFU considers impact during the entire investment process. Active ownership review is conducted six-monthly and reported annually based on the annual sustainability and results framework reporting from investees. During 2024, IFU strengthened the consideration of impact at exit stage through updating the investment completion report templates.	Strong	Good	Good
Ambitious impact targets	Defined portfolio targets for climate action, gender equality as well as investment into Africa and poor & fragile countries are defined and reviewed by IFU's board and stakeholders. Impact targets are defined for all new investments through the results framework. In 2024, further work was conducted to harmonise impact indicators, which will continue in 2025.	Strong	Strong	Strong
Integrated systems	In 2024, IFU's data management system was further improved through improving annual data collection tools used by portfolio companies. In 2025, IFU is exploring data management platforms to strengthen sustainability collection and reporting, both internally and externally.	Good	Good	Good
Verified reporting and disclosure	IFU in 2024 initiated the process of aligning its annual sustainability reporting with the CSRD and has completed a double materiality assessment and mapped the phase-in disclosure requirements and gaps.	Good	Good	Under development

Progress is assessed as strong, good or under development. Strong indicates that systems and practices are in place, while good shows that gaps remain, are recognised and are being addressed. Under development indicated that work had started, and it was recognised that systems and practices needed to be developed.





IFU's investment process



Flexible investment approach related to risks

IFU is mandated to invest in all developing countries with a focus on investments that have a positive environmental and social impact and are additional to what the private capital markets offer. Moreover, IFU has strategic KPIs targeting Africa, poor & fragile countries as well as climate-related investments and gender.

Across these geographies and priorities there are great differences in risks and the availability of in-

vestment opportunities that are commercially viable and can mobilise additional private capital. IFU's product offering spans a range of risk profiles and instruments from purely commercial investments with risk-reflective returns to state guaranteed concessional financing and grants. This flexibility enables IFU to make relevant investments across a broader target market to deliver on its mandate.

As an example, IFU managed funds with participation from private investors, like the Danish SDG In-

vestment Fund I and II, are operating on commercial terms with built-in mechanisms that reduce the downside risk for private investors. Next to this, IFU's account has more flexibility in terms of risk-return expectations, and IFU also manages facilities that are solely public donor financed with specific impact mandates. This is the case for IFU's facility for Ukraine and the IFU Impact Ventures facility targeting early-stage ventures. In these facilities, IFU has a relatively high flexibility to accept that the risk in a

potential investment is not fully reflected in the expected return of the individual business case. Moreover, IFU can issue development loans and guarantees below commercial terms with backing from the Danish state. A full overview of IFU's product offering and their risk profiles is available on p. 16.





IFU product offering spanning range of risk profiles and instruments

Products sorted by
return requirement

High

None

IFU products	SDG Funds	IFU loans using onlending	IFU's own account	Facilities with donor funding	Development Guarantee Facility (DGF)	Danida Sustainable Infrastructure Finance (DSIF)
Examples	<i>SDG Funds I & II</i>	<i>Green Future Fund, green loans</i>		<i>IFU Impact Ventures, Ukraine Facility</i>		
Return requirement	Risk-reflective return	Risk-reflective return	Flexibility in returns (for higher risk markets)	Flexibility in returns (for specific risks, e.g. early stage, conflict situations)	Subsidised guarantees	Concessional loans and grants
Instrument	Equity, mezzanine	Loans	Equity, mezzanine, loans	Equity, mezzanine, loans	Guarantees to financial intermediaries	Loans and grants to sovereign/ sub-sovereign counterparts
Sources of funding	IFU and private investors	IFU and borrowing from Danmarks National-bank's state on-lending	IFU's own capital	External donor partners, primarily Ministry of Foreign Affairs and EU	Unfunded Danish state guarantees	Ministry of Foreign Affairs and borrowing from Danmarks National-bank's state on-lending



INVESTMENTS AND IMPACT TARGETS AND RESULTS

In 2024, IFU continued to make investments based on its own finances, including state sponsored facilities with specific purposes and public-private investment funds managed by IFU. Separate reporting on the facilities and the Danish SDG Investment Fund can be found on p. 33 - 43.

IFU and IFU managed funds and facilities contracted 24 investments at a total of DKK 2.4bn. DKK 2.3bn was distributed on 20 new investments, and DKK 155m was distributed on additional financing for four ongoing investments.

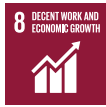
The investments support IFU's ambition of contributing to creating green, just and inclusive societies in developing countries and emerging markets. To steer and track the investments towards these strategic impacts, several targets have been set as part of IFU's policies and priorities as well as by IFU's owner, the Danish Ministry of Foreign Affairs - in a strategic ownership document. This includes targets on supporting climate action, gender equality, as well as investments in destinations where private capital is needed the most, including Africa, lower and middle-income countries as well as poor & fragile countries.

Specific emphasis is on IFU's ability to use its own funds to mobilise additional private capital, thereby enabling IFU to increase investments and impact across the strategic priorities.

Reporting on impact targets for 2024

The targets agreed with the Ministry of Foreign Affairs exclude investments made through the IFU Development Guarantee Facility of DKK 746m in 2024. The relevant investment volume for calculating the targets for 2024 is therefore the 1.7bn contracted in the year of which 1.1bn is IFU's own equity.

Impact targets and results 2024

Impact priorities	Impact targets	SDG linkage	Result 2024	Rolling period 2023 - 2024
Building a green economy	Climate - Minimum 50 per cent of the volume of new direct investments contracted in the year must according to IFU's Climate Policy qualify as climate finance. - To reflect the positive impact effect of mobilisation of capital, minimum 50 per cent of all investments contracted in the year relative to the share of all investments funded by IFU's own capital must qualify as climate finance.^{1), 2), 3).}		58 % -	- 93 %
Building a just and inclusive economy	Gender 30 per cent of the number of new investments contracted on the year must have a gender equality focus by being 2X Challenge eligible. Focus on lower and middle-income countries - According to IFU's statutes, minimum 50 per cent of all investments measured over a three-year rolling period (2022 - 2027) must be in countries with a GNI of 80 per cent or less of the World Bank's definition of lower middle-income countries. - Reflecting the positive impact effect of mobilised capital, minimum 50 per cent of all investments contracted in the year relative to the share of all investments funded by IFU's own capital must be in Africa.^{1), 2), 3).} Poor & fragile countries - Reflecting the positive impact effect of mobilised capital, minimum 30 per cent of all investments contracted in the year relative to the share of all investments funded by IFU's own capital, must be in poor & fragile countries.^{1), 2), 3), 4)}	  	50 % - -	- 46 % 48 % 29 %

1) In addition to new direct investments, all investments also include new indirect investments and additional financing for ongoing projects. All investments in the period 2023-2024 were DKK 3,031, of which DKK 1,749m was funded by IFU's own capital.

2) The calculation is based on a three-year rolling period. The target was introduced by MFA in the strategic ownership document for IFU in 2023 and hence, only two years of investments are included in this year's reporting.

3) Mobilised private capital is comprised of the part of investments funded by private capital in the managed funds or borrowings from Danmarks Nationalbank.

4) The definition of poor & fragile countries is based on countries with a GNI of 50 per cent or less of the World Bank's definition of lower middle-income countries or are listed as fragile or conflict states by the World Bank.



Meeting the targets is based on a three-year rolling period but as the targets were introduced for the first time in 2023, this report just covers the result for a two-year period.

The overall assessment is that the investments in the two-year rolling period are in line with the strategic impact targets. The result for climate was well above target and for investments in Africa and poor & fragile countries the results were slightly below the targets but with an improvement compared to 2023.

Other impact targets are either based on annual results or a three-year rolling period. In the figure on page 17 the results are reported, respectively.

Climate action

New direct investments classifying as climate finance according to IFU's Climate Policy was DKK 886m in 2024. This amount corresponds to 58 per cent of the total volume of new direct investments of a total of DKK 1.5bn during the year, thereby meeting the target that at least 50 per cent of new direct investments must support climate action.

In 2024, IFU invested DKK 424m of its own capital in projects classifying as climate finance, corresponding to 37 per cent of the total of IFU's own capital invested in the year.

To give IFU an incentive to mobilise private capital one impact target is that minimum of 50 per cent of all investments in the year relative to IFU's own capital must qualify as climate finance. The result for the year was 78 per cent and total mobilised private capital for climate was DKK 463m.

This illustrates that IFU was highly successful in mobilising private capital for climate finance, achieving a higher impact than would have been possible by own resources only.

The two-year rolling average for the years 2023 and 2024 was 93 per cent.

Improving gender equality

Assisting in creating gender equality in the companies in which IFU invests is a strategic impact priority. Consequently, IFU has set a target that at least 30 per cent of the number of new investments must be 2X Challenge eligible (see more about 2X Challenge on p. 77). In 2024, 50 per cent of the number of new investments met the target.

Focus on lower and middle-income countries

IFU can invest in all DAC countries, but at least 50 per cent of investments must over a three-year rolling period be made in poorer developing countries with a maximum 2022 GNI per capita of USD 3,572 for investments contracted in 2024. The threshold is calculated as 80 per cent of the upper limit for lower middle-income countries, according to the World Bank's classification.

Investments in projects with a regional focus, including fund investments, covering countries above and below the threshold, where the actual distribution is not yet known, are partially included. This is based on an estimated distribution based on geographic investment strategies for the investments in question.

In 2024, 30 per cent of the investments were made in countries below the threshold, and over the three-year period 2022-2024, the percentage was 46, which was slightly below the target.

Africa

Investing in Africa is a priority for IFU. In 2024, IFU invested DKK 499m of its own capital in Africa corresponding to 43 per cent of the total of IFU's own capital invested in the year. The figure for IFU includes part of global investment in Abler Nordic having a global mandate.

To give IFU incentive to mobilise private capital, one of the impact targets is that minimum 50 per

cent of all investments contracted in the year relative to the share of these investments funded by IFU's own capital must be in Africa. The result for the year was 48 per cent and total mobilised private capital for Africa was DKK 51m.

The two-year rolling average for Africa in the years 2023 and 2024 was 48 per cent.

Poor & fragile countries

Investing in poor & fragile countries is very difficult due to high commercial and political risks, as well as general unpredictability. But despite that, or precisely because of that, investments in these countries are

extremely important to drive development for the most vulnerable people on the planet.

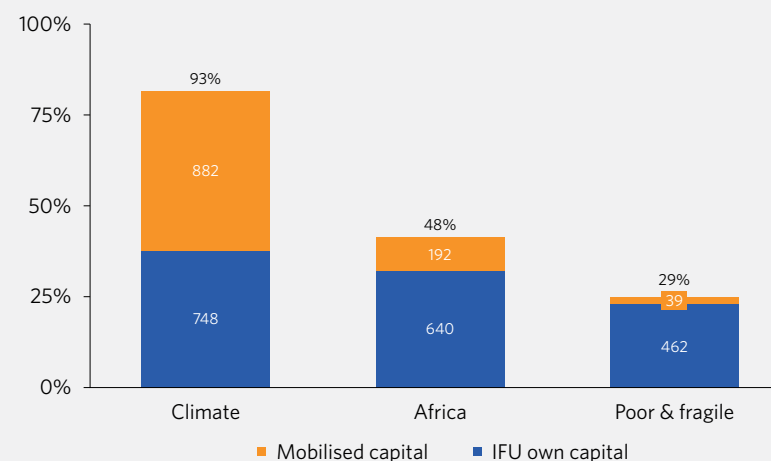
In 2024, IFU invested DKK 344m of its own capital in poor & fragile countries. This was 30 per cent of IFU's own capital invested in the year.

To give incentive to increase focus on investments in the countries, minimum 30 per cent of all investments contracted in the year relative to the share of these investments funded by IFU's own capital must be in poor & fragile countries. The result for the year was 29 per cent, and the directly mobilised amount was DKK 20m.



Calculation of mobilisation KPIs rolling period (2023-2024)

Figures inside pillars in DKKm





The two-year rolling average for poor & fragile countries in the years 2023 and 2024 was 29 per cent.

Expected impacts from new investments

The new investments – direct as well as indirect – are also expected to create impact in the investment countries by supporting jobs, creating economic growth, adding infrastructure, providing services and improving ESG performance, for example. The general expected impacts are presented below. Sector-specific expected impacts can be found under the presentation of each sector.

Overall, it is expected that the new investments will support more than 20,000 direct jobs. The number of jobs will presumably be higher because in some investments e.g. investments in funds the expected number is set to zero, as it is not possible to estimate upon signing. Moreover, it is expected that the new projects will add value of DKK 2bn to local economies, annually.

IFU's investments also support the objectives of the Rio Convention on biodiversity, climate change

and desertification. In 2024, the investment calculated as so-called RIO-markers 1 and 2 including private mobilised private capital was DKK 1.4bn

Sustainability performance

It is IFU's experience that careful and continuous attention to sustainability in project companies is essential for creating value and impact. IFU encourages all project companies to work strategically with sustainability and formally anchor the activities in their business plans and daily practices.

Since 2015, project companies have been required to adopt a written sustainability policy and establish an environmental and social management system. All project companies are also required to publish a commitment against corruption, either included in a sustainability policy or a separate policy. Finally, since 2019, project companies have been required to appoint a person responsible for sustainability and establish a grievance mechanism for receiving, processing and settling complaints by individuals and communities.

These requirements are not always in place when IFU is contracting investments, but must be implemented within a reasonable timeframe. Consequently, an important part of IFU's active ownership is to assist and ensure that this is achieved.

For the new investments made in 2024, the initial status is that 70 per cent of the project companies have a sustainability policy in place, 30 per cent have an environmental & social management system, 75 per cent have a written stand against corruption or an anti-corruption policy, 60 per cent have appointed a person responsible for sustainability, and finally 60 per cent have an external grievance mechanism.

Solid progress achieved

Comparing with the portfolio it is evident that the implementation of these requirements is progressing over time, indicating that the project companies are gradually improving their sustainability performance.

For the 2023 portfolio, 85 per cent of the project companies have a sustainability policy in place, 73 per cent have an environmental & social manage-

ment system, 95 per cent have a written stand against corruption or anti-corruption policy, 93 per cent have appointed a person responsible for sustainability, and finally 70 per cent have an external grievance mechanism.

It is important to note that the percentages for the portfolio fluctuate year on year because IFU contracts new investments every year that have not yet implemented the requirements and exits investments that have. Consequently, the percentages for the portfolio will never reach 100 per cent.

Sustainability performance - new investments 2024 and portfolio 2023

NEW INVESTMENTS 2024	70%	30%	75%	60%	60%
	Sustainability policy	Environmental & social management system	Written stand against corruption or anti-corruption policy	Person responsible for sustainability	External grievance mechanism
PORTFOLIO INVESTMENTS 2023	85%	73%	95%	93%	70%

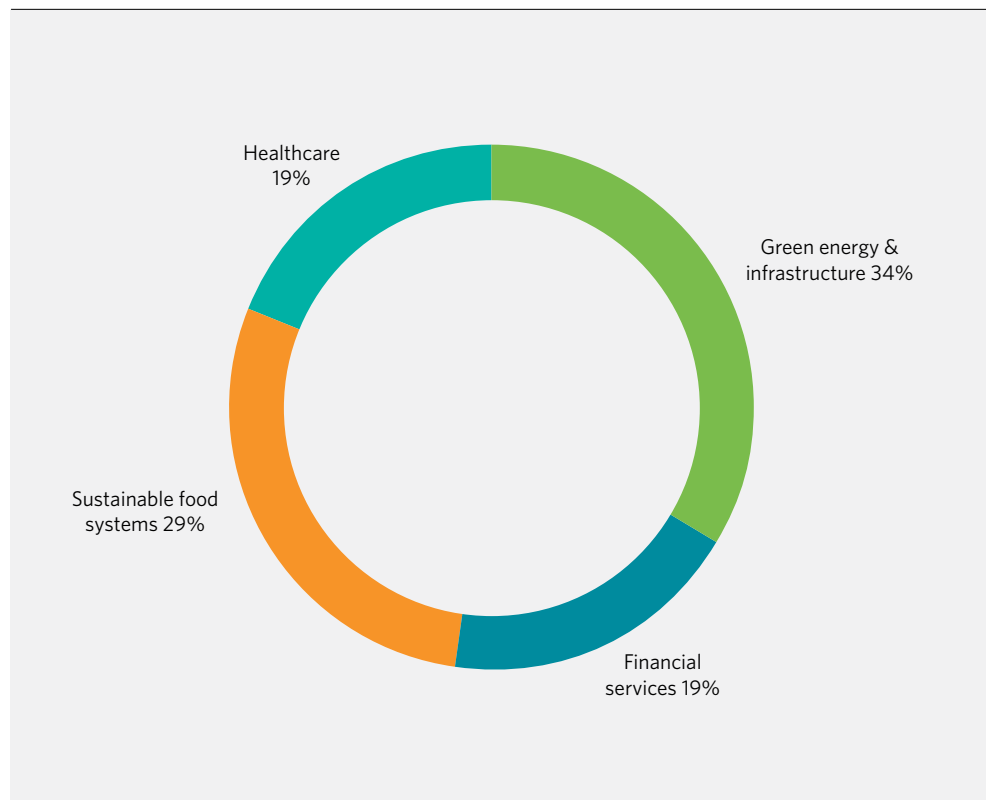


IFU'S INVESTMENT SECTORS, STRATEGIES AND IMPACT

Based on the impact strategy, IFU has decided to focus investments in four sectors. These are green energy and infrastructure, financial services, sustainable food systems and healthcare.

The distribution of the new investments made in 2024 on sectors is shown in the figure below. The main sector is green energy and infrastructure holding 34 per cent of the total investment volume, followed by sustainable food systems with 29 per cent and financial services and healthcare with both 19 per cent.

New investments 2024 - in IFU sectors



Sector by sector presentation

The sector strategies further develop and specify which impact priorities are in focus when building pipeline and entering new investments. Based on the results framework, which is an integrated part of the individual agreements, IFU can estimate the expected impacts from new investments made in the year, and through annual reporting from the investments IFU can measure the impacts achieved.

In below reporting, the achieved impacts are calculated on the active portfolio and the outstanding investment amount of that portfolio at year-end 2023. This is because impact reporting for the project companies is trailing one year behind.

In the following sections, each of the four sectors are presented, including the specific sector strategy, impact priorities, expected and achieved impact results. These four sectors only represent a part of the current total portfolio as there is still several so-called legacy investments that were contracted before the sector focus was introduced in 2020. At year-end of 2023 the legacy projects counted for 11 per cent of the total portfolio outstanding investment volume.

GREEN ENERGY & INFRASTRUCTURE

FINANCIAL SERVICES

SUSTAINABLE FOOD SYSTEMS

HEALTHCARE



GREEN ENERGY & INFRASTRUCTURE

Global warming and increasing pollution have severe negative consequences for people across the planet. Developing countries are among the most vulnerable and less prepared to climate change. And with a growing population there is a strong need to support the green transition including mitigation and adaption measures.

Impact priorities

By investing in green energy and infrastructure IFU is focusing on increasing access to clean and affordable renewable energy, as well as supporting the green transition, including water and waste recycling management. Investments must be aligned with the Paris Agreement and meet the EU taxonomy and/or defined requirements in IFU's climate policy. Across investments IFU also focuses on energy efficiency as the most affordable way to decarbonise the economy and ensure reliable and renewable energy for all.

Focus areas

- *Renewable energy*

IFU invests in renewable energy from large-scale utility projects to residential home solar systems and off-grid solutions thereby

covering a wider range of people and businesses. Indirectly, this will lead to growing business activities and job creation as well as mitigating climate change.

• *Water*

Water is a scarce resource, and access to clean drinking water is generally low in developing countries. IFU invests in business models and companies within water and water management that will increase sustainable supply and improve access to water.

• *Waste*

IFU also has focus on waste recycling and management to address growing urban challenges such as sanitation, congestion and rising air pollution. Circular business models supporting the green transition and creating new local jobs are also promoted.

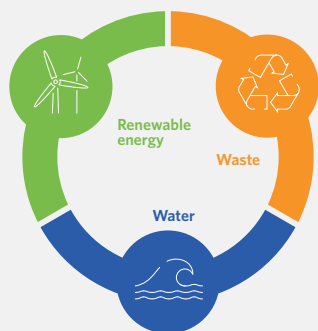
Investments in 2024

In 2024, IFU made four new investments at a total of DKK 518m primarily within renewable energy. Moreover, additional finance was provided for three ongoing investments at a total of DKK 138m.

IMPACT PRIORITIES

- Clean, affordable renewable energy
- Waste recycling and management
- Energy efficiency
- Water access and management

FOCUS AREAS



SELECTED SDGs



Project name	Country	IFU's contracted investments in DKKm		
		Shares	Loans	Total
New investments				
Africa				
PowerGen	Africa (Regional)	105.9		105.9
Sturdee Energy RSA	South Africa	148.3	7.3	155.5
Asia				
CPC Vietnam	Vietnam		70.4	70.4
Latin America				
Scatec Uruçua	Brazil		186.4	186.4
Additional financing of ongoing investees				
Africa				
Ben Ban Swicorp Solar	Egypt	0.9		0.9
Latin America				
Augment Origo DG	Brazil	0.2		0.2
Vinte	Mexico	137.1		137.1
TOTAL		392.4		656.50

Expected impacts from new investments

The four new investments in renewable energy are expected to add 418 MW of renewable energy capacity, reduce GHG emissions by more than 690,000 tonnes annually and produce energy of around 1,000 GWh when fully implemented. Most of the investments are in large scale wind and solar parks that will be connected to the national grids. But the deployment of capital is also expected to support off-grid solutions that will increase electricity connections by more than 26,000 and reduce the cost of power for 7,000 businesses, primarily in Nigeria, the Democratic Republic of the Congo (DRC) and Sierra Leone.



418 MW

renewable energy capacity to be installed

690,000

tCO₂e emissions to be avoided annually

26,600

new connections to be created



> GREEN ENERGY & INFRASTRUCTURE

IFU's green energy and infrastructure portfolio

During the years, IFU has built a large portfolio within green energy and infrastructure. In total, the active portfolio at the end of 2023 consisted of 44 investments with a total outstanding invested volume of DKK 2.9bn.

The investments are distributed across regions with most of the outstanding investment volume in Latin America accounting for 37 per cent. Asia and Africa represent 23 and 22 per cent, respectively, and 11 per cent of the outstanding investment volume is in Ukraine.

End of 2023, the project companies had installed and commissioned close to 3,000 megawatts of renewable energy based on wind, solar, hydropower and biogas. Total annual electricity production was 5,751 GWh that led to a total estimated avoidance of 3.8 million tonnes CO₂e. Based on IFU's

share of the investment in the project companies 234,000 tonnes CO₂e avoidance can be attributed to IFU.

The investments supported close to 32,000 direct jobs. 26 per cent of the employees were women, and 21 per cent young people under the age of 30.

Distribution on strategic impact targets

Even though each sector has specific impact priorities they contribute to the overall portfolio impact targets set for IFU. Obviously, the green energy and infrastructure sector has a high impact on IFU's efforts towards climate action with 85 per cent of the outstanding investment volume qualifying as climate finance.

More than 60 per cent of the outstanding investment volume is invested in companies that are or have plans to do an extra effort on gender equality, for example by being 2X Challenge eligible. Consequently, the project companies also contribute to building more just and inclusive societies by promoting women's rights and opportunities.

To a varying degree the investments also supports IFU's ambition to invest in Africa and poorer developing countries. 25 per cent of the investment volume is in lower and middle-income countries, 22 per cent in Africa and 15 per cent in poor & fragile countries.

GREEN ENERGY AND INFRASTRUCTURE IMPACTS



2,844 MW
renewable energy
capacity installed

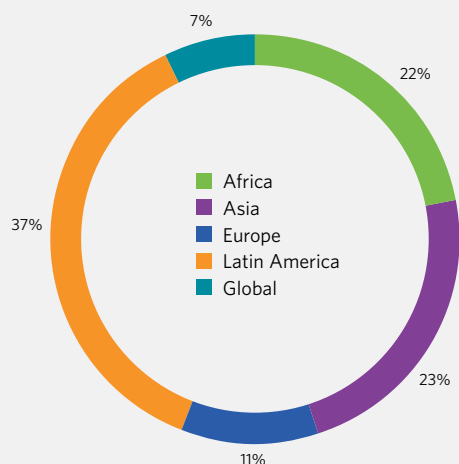


5,751 GWH
renewable energy
generated

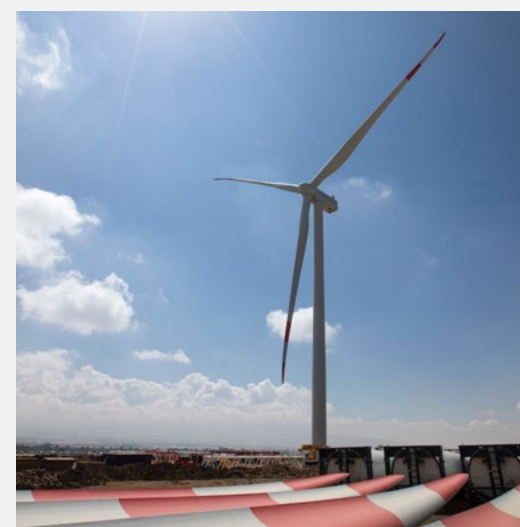
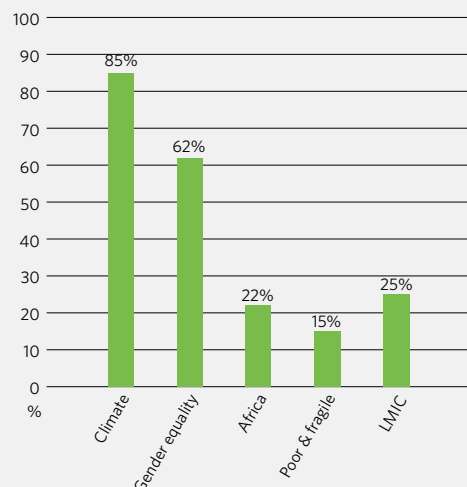


3.8 MILLION
tCO₂e avoided
GHG emissions

Regional distribution of investments (%)



Distribution on focus areas



Assela Wind Farm, Ethiopia.



GREEN ENERGY & INFRASTRUCTURE

CASE

POWERGEN - AFRICA

Huge lack of access to power – PowerGen propels capacity and connections

Access to affordable and reliable electricity remains a big challenge in Africa. Especially in the poorest countries in sub-Saharan Africa, where 570 million people currently live without connection to power.

Deploying 120 MW of renewable energy

PowerGen is a leading distributed renewable energy (DRE) company striving to provide clean, reliable and affordable power across Africa. The company will deploy 120 megawatts of clean energy in rural Africa, which is expected to increase new power connections by more than 26,000 and reduce the cost of power for 7,000 businesses. The initial focus will be on Nigeria, the Democratic Republic of the Congo (DRC) and Sierra Leone.

FACTS

Investment year: 2024

IFU investment: DKK 105.9m

Investment fund: IFU



SDGs

Primary:



Secondary:



EXPECTED IMPACTS

**26,600**
new power
connections**7,000**
businesses with reduced
cost of power**120**
megawatts of renewable
power



FINANCIAL SERVICES

Globally, 1.7 billion people are unbanked. Furthermore, micro, small and medium enterprises (MSME) across the developing markets are often not able to access finance to grow their businesses. MSMEs are the growth engines for emerging economies, as well as the backbone for employment. They are providing billions of people with a livelihood and are critical to achieving the SDGs and climate goals.

Impact priorities

By investing in financial services, IFU's ambition is to increase financial inclusion, drive economic growth and job creation, as well as reduce inequality. Moreover, the ambition is to work with financial institutions to promote their contribution to the green transition, and work towards increased adoption of digital technologies increasing resilience and outreach simultaneously. IFU also aims to work with financial institutions that provide insurance solutions to protect the vulnerable.

Focus areas

• Microfinance

Microfinance provides access to finance to people, not least in rural areas, through small loans that are used for livelihood enhancement activities. This helps improve their living conditions

while also providing access to savings that help improve resilience. Most microfinance clients are women, who are empowered to improve their rights through access to finance.

• MSME financing

Providing finance for banks and other financial institutions that serve MSMEs is in focus as well. More small companies and entrepreneurs get access to financial services that help them grow their businesses and, in many instances, adopt greener practices.

• Development banks

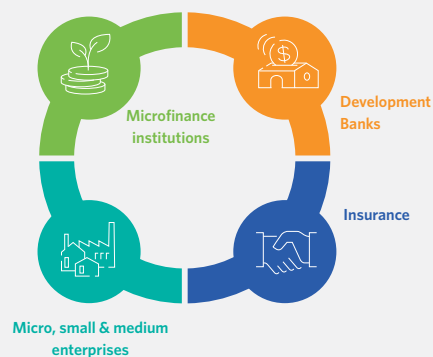
Investing in development banks in Africa that drive financing for infrastructure, including green financing for renewable energy, energy-efficient technologies and climate-resilient infrastructure, contributes towards sustainable development, including economic growth and climate transition.

• Insurance

Accessible insurance protects against impacts like natural disasters, climate change and economic shocks, e.g. due to illness or death, enhancing resilience for underserved communities.

- IMPACT PRIORITIES**
- Inclusion
 - Growth/jobs
 - Green finance
 - Gender equality

FOCUS AREAS



SELECTED SDGs



Project name	Country	IFU's contracted investments in DKKm		
		Shares	Loans	Total
New investments				
Europe				
Bank Lviv	Ukraine		52.2	52.2
TBC Bank	Georgia		111.8	111.8
Global				
Abler Nordic Fund V KS	Global	107.8		107.8
Abler Nordic Fund V GP	Global	12.0		12.0
Additional financing of ongoing investees				
Asia				
BOPA PTE Ltd	Asia (Regional)		16.8	16.8
TOTAL		119.8	180.80	300.6

Investments in 2024

In 2024, IFU made three new investments at a total of DKK 284m within the financial service sector. These included an investment in a microfinance fund and in two banks in Ukraine and Georgia, respectively.

Additional finance was provided for one ongoing investments at a total of DKK 17m.

Expected impacts from new investments

The new investments will further support the development of the financial and banking sector in the investment countries. The two bank investments will contribute to increase available local financing with more than DKK 2.7 bn for small and medium-sized companies, which are important drivers for economic growth.

Moreover, both banks have a focus on green lending supporting the green transition in the two countries. The investment in Abler Nordic will improve access to microfinance across developing countries and aims to increase the number of voluntary depositors by more than 50 per cent.



DKK 2.7 BN

loan financing for SMEs

50%

increase in voluntary depositors reached

> 30%

portfolio companies complying with 2X Global criteria





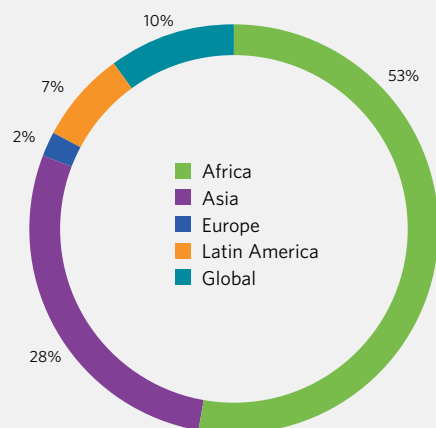
FINANCIAL SERVICES

IFU's portfolio in the financial sector

Overall, IFU had an active portfolio of 46 investments within the financial sector at the end of 2023. Total outstanding invested volume was DKK 2.6bn with just more than half invested in Africa, where there is a distinct lack of access to financial services for people and businesses. 28 per cent was invested in Asia and 7 per cent in Latin America.

The microfinance institutions served more than 20 million clients, of whom 86 per cent were women. The other financial institutions, including banks, reached close to 1.4 million small and medium-sized businesses. Several of the investments are made in funds that provide capital and advisory services for local companies that are normally difficult for IFU to reach with direct investments. The active fund investments had a total portfolio of more than 200 local companies.

Regional distribution of investments (%)

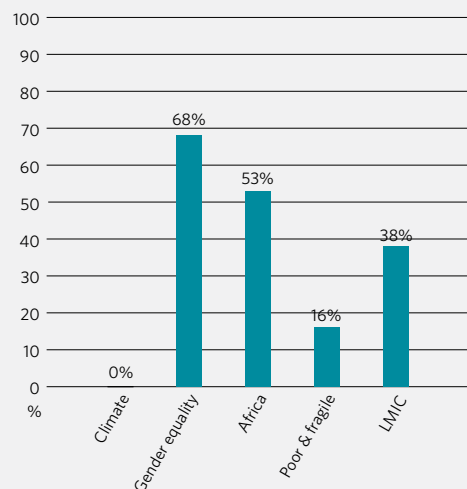


The financial institutions and investment funds are strong generators of jobs, and at the end of 2023 they supported close to 325,000 direct jobs. More than 35 per cent of the employees were women, and two out of ten were young people under 30 years.

Distribution on strategic impact targets

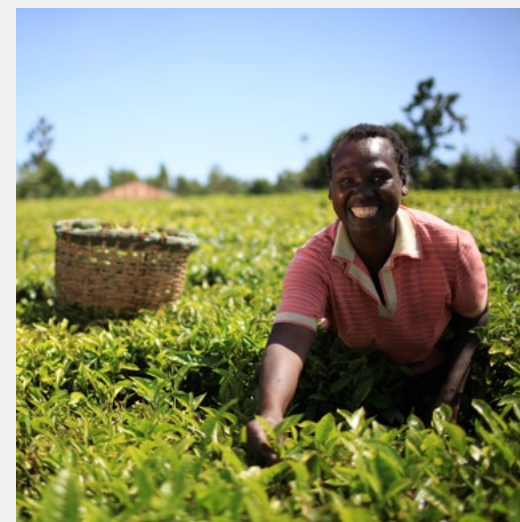
The financial sector has a strong impact on IFU's overall portfolio impact targets. Close to 70 per cent of the outstanding investments are in funds and institutions that support gender equality or have plans to do so. More than half of the outstanding portfolio is invested in Africa thus supporting IFU's strategic priority towards increasing investments on the continent thereby assisting people in improving their livelihood and local companies in growing their business.

Distribution on focus areas



16 per cent of the outstanding portfolio is invested in poor & fragile countries, which in general are the countries with the highest risk and therefore have the greatest challenges in attracting foreign capital. This is for example the case in Somalia where IFU has invested in a fund, and in DRC where IFU has provided financing for a bank.

The financial sector did not contribute to climate according to the distribution in below bar chart. But in recent years IFU has increased its focus on supporting financial institutions and banks that are providing green loans and services, for example. But as the climate finance component is insufficient to qualify these investments as climate finance according to IFU's definition the result is zero.



Customer of Juhudi Kilimo, Kenya, Abler Nordic portfolio company.

FINANCIAL SERVICES IMPACTS



20.2

million total
microfinance clients



323,223

total direct employees



1,379,743

total SME clients of
financial institutions



FINANCIAL SERVICES

CASE

ABLER NORDIC – AFRICA AND ASIA

Increasing financial inclusion in low-income areas

Abler Nordic Fund V is a public-private partnership supporting financial inclusion. The Fund provides finance for microfinance institutions providing loans to people as well as micro, small and medium enterprises (MSME), primarily in low-income areas in sub-Saharan Africa, South and Southeast Asia.

Improving financial stability and savings

With the investment, the fund will be able to provide even more loans to MSME costumers, who often face challenges in obtaining finance. This will significantly improve the financial inclusion of unbanked and underbanked people in rural areas. With more costumers given access to loans, Abler Nordic fund will improve the financial stability of the local areas while increasing household savings and capacity to finance household needs, such as health and education.

FACTS

Investment year: 2024

IFU investment: DKK 119.8m

Investment fund: IFU

SDGs

Primary:



INCREASED

access to financial services
in rural areas



IMPROVED

financial inclusion of women-led
and owned MSMEs



HIGHER

household
savings



PHOTO BY THOUGHT LEADER GLOBAL



SUSTAINABLE FOOD SYSTEMS

Producing enough food to feed the global population is a major challenge. Today, around 800 million people in the world do not have enough food to live a healthy, active life, and with a growing population food waste must be reduced and food production needs to increase. The latter will put further pressure on global warming, as 30 per cent of global GHG emissions stems from agriculture and food processing activities.

Impact priorities

By investing in sustainable food systems IFU wants to support and promote access to healthy food products. Focus is on sustainable production and processing from farm to fork especially for smallholder farmers, which are the main producers of food in developing countries. As output per hectare is normally low, and farmers often lack access to value-adding processing and distribution systems, IFU gives priority to investments based on fair trade and increased productivity. Thereby IFU can improve living conditions for people that are dependent on farming.

Focus areas

- *Climate smart farming*

IFU promotes investments in climate-smart farming that can

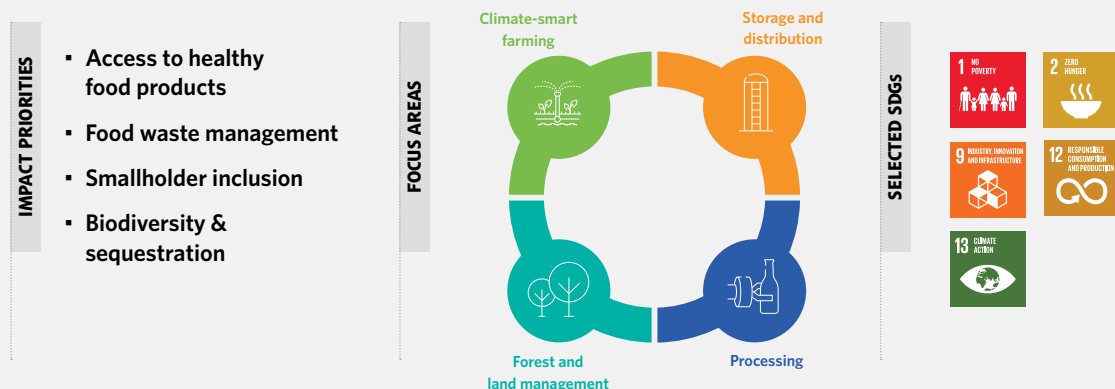
increase yields and reduce the climate footprint by introducing and implementing sustainable cultivation and production methods when producing food. Priority is on crops that can provide affordable food products with high nutrition. As developing countries are the most vulnerable and less prepared for climate change, IFU also has focus on adaptation, including drought resilient crops and irrigation.

- *Storage and distribution*

Annually around one third of global food production is wasted. In developing countries most waste is due to inadequate and insufficient storage and distribution infrastructure. Consequently, IFU promotes investments that will improve waste management systems, as this will reduce pressure on land resources and GHG emissions.

- *Processing*

In many developing countries, raw materials are often exported to be processed elsewhere, which limits local income. To address this, IFU supports investments in businesses that introduce and develop local value-added processing systems, enhancing the economic benefits for the investment countries.



Project name	Country	IFU's contracted investments in DKKm		
		Shares	Loans	Total
New investments				
Africa				
Imperium Holding	Morocco	91.8		91.8
Verdant Orchards	South Africa		101.8	101.8
Europe				
Agrofusion Mykolaiv	Ukraine		74.6	74.6
Latin America				
Amazonia Nativa	Colombia		7.8	7.8
ProNuvo insects	Costa Rica		13.3	13.3
SA Impact Forestry Fund	Paraguay	146.0		146.0
TOTAL		237.8	197.5	435.3

- *Forest and land management*

Deforestation and biodiversity loss are significant global issues. By investing in sustainable forestry projects, IFU can help protect existing forests, restore modified habitats by planting new trees, and establish conservation areas to maintain or enhance biodiversity.

Additionally, investments in forestry contribute to carbon sequestration/ removal, thereby positively contributing towards IFU's ambition of moving towards a neutral and net-zero emissions portfolio.

Investment in 2024

In 2024, IFU made six new investments at a total of DKK 435m. Two of the investments were in sustainable forestry that includes planting of new trees on degraded grasslands and areas set aside for biodiversity. These two investments will also have a positive impact on sequestering of greenhouse gasses thereby supporting IFU's ambition to have a net zero portfolio by 2040 at the latest. IFU also invested in a business that is producing insect-based protein,



63,500 HA
forest area planted

27,350
conserved forest area

18.7 MILLION
tCO₂e sequestered



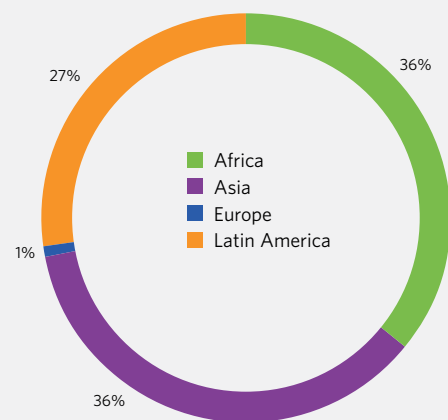
SUSTAINABLE FOOD SYSTEMS

an investment in agribusiness covering Mozambique, Zambia and South Africa, as well as a tea company in Morocco where around eight out of ten employees are women.

Expected impact from new investments

The new investments in forestry are expected to plant more than 60,000 ha with new forest and set aside around 27,000 ha for conservation leading to improved biodiversity. The overall CO₂e sequestered from the new investments is expected to be close to 19 million tonnes. The investments in Africa will lead to increased agribusiness activities and are expected to create 1,200 – 1,300 new jobs, of which women will take up a large part.

Regional distribution of investments (%)

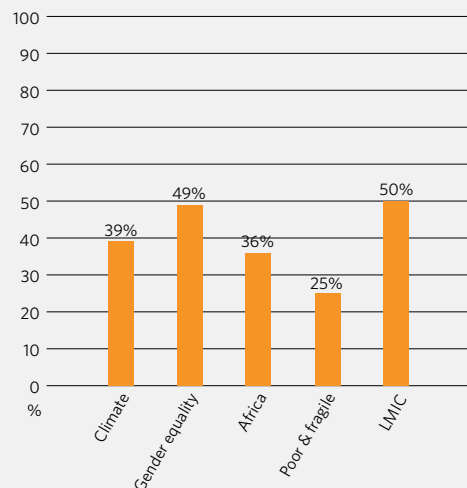


IFU's portfolio in sustainable food

Overall, IFU had an active portfolio of 23 investments within sustainable food systems at the end of 2023. Total outstanding invested amount was DKK 857m. The portfolio is distributed with just around a third in Africa and Asia, respectively. More than one quarter of the volume is invested in Latin America and a small residual part in Europe (Ukraine).

In total, IFU's portfolio was supporting around 1.4 million smallholders, of whom more than 900,000 are supported by investments in the portfolio of sustainable food systems. The remaining part is supported by investments within the financial services portfolio or by legacy projects, including agribusiness investments that do not meet the criteria for being classified as sustainable.

Distribution on focus areas



End of 2023, the investments supported more than 20,000 direct jobs. Over 35 per cent of the employees were women, and one quarter were young people under 30 years.

Distribution on strategic impact targets

Sustainable food systems are also contributing to IFU's strategic impact targets. 39 per cent of the outstanding volume was invested in projects qualifying as climate finance and 49 per cent supported gender equality.

50 per cent of outstanding investments are in lower and middle-income countries, and 25 per cent is in poor & fragile countries. This illustrates that the investments are contributing strongly to creating just and inclusive societies by improving gender equality and focus investments in countries where the agribusiness sector is highly dominant and holds a large proportion of smallholder farmers.



Verdant Orchards, growing of perennial crops, South Africa.

SUSTAINABLE FOOD SYSTEMS IMPACTS



1,407,801

Smallholder farmers supported



923,288

Small holder farmers supported by sustainable food system portfolio



20,686

total direct wmployees





SUSTAINABLE FOOD SYSTEMS

CASE

IMPERIUM HOLDING – MOROCCO

Increasing female employment in a male-dominated workforce

Imperium Holding is a global leader in luxury tea and infusion packaging, and with the investment, the company will be able to double the capacity of their core products.

Close to 850 new jobs

Currently, fewer than one in four women in Morocco are active in the labour force, a challenge that Imperium Holding is addressing head-on. The company is already a leader in gender inclusion, with a significant proportion of its workforce being female. The investment will enable Imperium Holding to keep focusing on women-employment as it is expected to create 847 new full-time jobs, of which around 95 per cent will be women.

FACTS

Investment year: 2024

IFU investment: DKK 91.8m

Investment fund: IFU



SDGs

Primary:



EXPECTED IMPACTS

**847**full-time jobs
created**INCREASED**

gender equality

**INCREASED**income in local
communities



HEALTHCARE

Poor health and health inequality continue to limit economic prosperity in developing countries and emerging markets. Around 400 million people lack access to vital healthcare services, resulting in high mortality rates, lost productivity and poverty. Moreover, healthcare services are often out-of-pocket expenses, which significantly impact accessibility and exacerbate the financial burden on low-income groups.

Impact priorities

By investing in healthcare IFU wants to increase access to affordable and high-quality healthcare services, especially for middle and low-income people. Focus is on business models supported by universal healthcare programmes or insurance schemes. Moreover, IFU's investments should complement public healthcare strategies by introducing new technologies, educating staff, and engaging in outreach activities targeting low-income groups, maternal and child health and people living in rural areas, for example. Upgrading the healthcare system will also make it more attractive for doctors and nurses to stay at home or return from abroad, thereby reducing brain drain.

Focus areas

• Hospitals and clinics

Hospitals and clinics play a crucial role in delivering high-quality healthcare to patients. IFU's investments contribute to the development and enhancement of local healthcare infrastructure, allowing for better access and high-quality treatment. Outreach through local clinics is essential for reaching non-urban and rural areas where access to healthcare services is limited and treatment options are scarce.

• Pharmacy chains

Pharmacies are an important part of the healthcare infrastructure providing medicine to patients. IFU has focus on pharmacy chains that supply affordable and high-quality medical products and aim to increase their presence and services beyond urban areas thereby improving access.

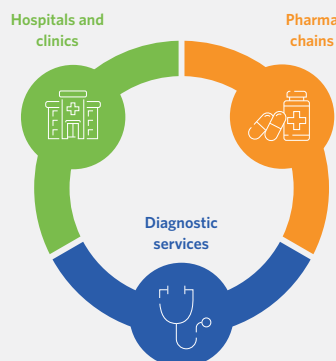
• Diagnostic services

IFU also focuses on investments within diagnostic technologies and pharmaceutical companies to improve prevention and treatment as well as provide better access to medicine.

IMPACT PRIORITIES

- Accessibility
- Affordability
- Quality
- Giving back/adding value

FOCUS AREAS



SELECTED SDGs



Project name	Country	IFU's contracted investments in DKKm		
		Shares	Loans	Total
New investments				
Africa				
MYDAWA	Kenya		63.5	63.5
Asia				
AKS Pharmacies	Bangladesh	88.3		88.3
Redcliffe Labs	India	134.6		134.6
TOTAL		222.8	63.5	286.4

Investments in 2024

In 2024, IFU made new investments at a total of DKK 286m in three healthcare companies. All three investments were made in companies operating pharmacies and diagnostic services in Asia and Africa.

Expected impact from new investments

All the new investments are planning to expand their business with a strong focus on extending their services to non-urban and rural areas where access to basic healthcare services including medicine and diagnostic is scarce. The countries of operation cover Kenya, Uganda, Bangladesh and India. It is expected that the companies will reach more than 33 million people annually with healthcare products and services when fully implemented. Moreover, around 16 million people annually will receive consultations via telemedicine from the 169 certified and accredited pharmacies and labs that the companies expect to operate.



33 MILLION

patients reached by healthcare product and services annually

16 MILLION

healthcare consultations annually

169

certified pharmacies and accredited labs



HEALTHCARE

IFU's portfolio in healthcare

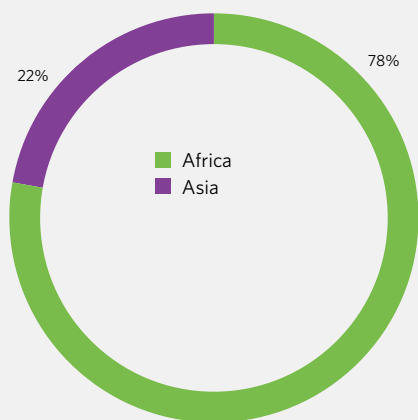
The healthcare sector is a fairly new investment area for IFU, but important in assisting developing countries in increasing access to quality and affordable healthcare, which is a prerequisite for building just and inclusive societies. Overall, IFU had an active portfolio of four investments within healthcare at the end of 2023. Total outstanding investment was DKK 325m.

The investment volume was distributed across Africa and Asia with 78 and 22 per cent, respectively.

During 2023, the investments served almost 1.3 million patients, of whom close to 500,000 were women.

In total, the investments supported close to 4,300 direct jobs. Just above 30 per cent of the employees were women, and more than 50 per cent young people under 30 years.

Regional distribution of investments (%)



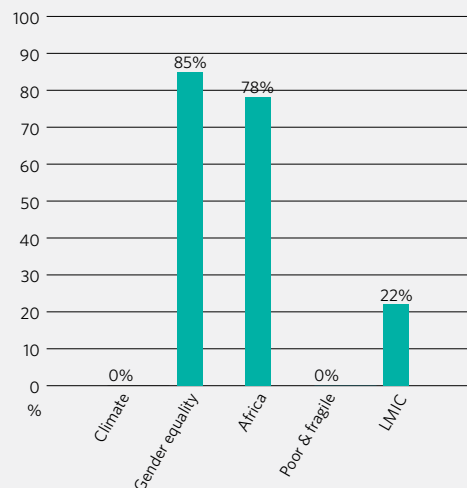
Distribution on strategic impact targets

Besides providing important services within healthcare, the sector also contributes to IFU's overall portfolio impact targets. Of the outstanding volume 85 per cent is invested in companies supporting gender equality by either being or having plans to become 2X Challenge eligible thereby contributing to building more just and inclusive societies.

As mentioned, 78 per cent is invested in Africa where millions of people do not have access to healthcare services.

No investments in the 2023 active portfolio were in poor & fragile countries. However, with the new investments made in 2024 covering Uganda and Kenya the portfolio will going forward include healthcare investments also in poor & fragile countries.

Distribution on focus areas



HEALTHCARE IMPACTS



1.31 MILLION
patients served



497,445
Female patients served



4,295
total direct
employees



MYDAWA, pharmacy and telehealth provider in East Africa.



HEALTHCARE

CASE

AKS PHARMACIES – BANGLADESH

Boosting access to healthcare

AKS Khan Pharmaceuticals (AKPL) is a leading chain pharmacy operator in Bangladesh' striving to increase access to world-class healthcare across the country. The investment will enable the company to expand its ecosystem of pharmacies and diagnostics, as well as scaling up innovative services including home Xray and ultra-sound for vulnerable and elderly patients. Additionally, the funds will support AKPL to roll out a wide range of programmes on clinical quality and patient services, enhancing the quality and reliability of diagnostic services and medicines available.

Targeting underserved patients

A major component of the growth strategy will focus on increasing the company's presence beyond the capital Dhaka. This expansion is crucial for ensuring that underserved patients of Bangladesh gain improved access to quality healthcare. With the investment, AKPL will be able to reach 8 million patients annually within five years.

FACTS

Investment year: 2024

IFU investment: DKK 88.3m

Investment fund: IFU

SDGs

Primary:

**8 MILLION**patients reached
annually**50 NEW**pharmacy
outlets**30 NEW**diagnostic
centres



REPORTING ON FUNDS AND FACILITIES MANAGED BY IFU

IFU is fund manager of several investment funds and facilities based on public or public-private capital having selected investment mandates and geographic focus. The return requirements of the funds and facilities span from a risk reflective return to grant financing with no return requirements. The different funds and facilities reflect IFU's broad development mandate and its funding from private as well as public sources.

All funds and facilities have dedicated information on basic data, key financial figures and selected impacts. This enables a full comparable overview of activities within the managed funds and facilities.

As for the annual report in general, financial figures are from 2024 and impact data from 2023.

THE DANISH SDG INVESTMENT FUND

THE DANISH SDG INVESTMENT FUND II

THE DANISH CLIMATE INVESTMENT FUND

THE DANISH AGRIBUSINESS FUND

DENMARK'S GREEN FUTURE FUND

HIGH RISK HIGH IMPACT

INDIA CLIMATE FINANCE INITIATIVE

THE UKRAINE FACILITY

IFU DEVELOPMENT GUARANTEE FACILITY

DANIDA SUSTAINABLE INFRASTRUCTURE FINANCE





THE DANISH SDG INVESTMENT FUND

Fund	Danish SDG Investment Fund
Inception year / lifetime	2018/2018 - 2029
Committed capital (DKK)	4.86 billion
Investors	40% IFU and 60% private and institutional investors including six Danish pension funds.
Investment mandate	Investments in private sector companies within green energy & infrastructure, financial inclusion, sustainable food systems and healthcare
Investment geography	All DAC developing countries
Instruments	Equity and equity-like
Expected return	Fully risk-reflective return, target annual return of 10 - 12 % net in DKK

The establishment of the Danish SDG Investment Fund (SDG Fund) in 2018 was a groundbreaking example of blended finance using public funds as a lever for mobilising private capital to be invested in developing countries in support of the Sustainable Development Goals.

Key figures 2024

Investments contracted 2024 (DKKm)	137
Total investments contracted (DKKm)*	3,834
Total disbursements (DKKm)	3,562
Gross contribution from investments in 2024 (DKKm)	104
Yield from investments in 2024 (%)	3.0%
Gross IRR since inception (%)	9.6%
Investments total (no)	27
Investments active (no)	21

* Stated amount after cancellations.
Amount before cancellations is DKK 4,039m

The fund offers the private investors a fully risk-reflective return by a split in the committed capital, where IFU is providing 40 per cent and the private investors 60 per cent combined with a preference return for the private investors. This makes it more attractive for private investors to participate in impact investments in emerging markets and developing countries where political and commercial risks are relatively high.

The investments are made on commercial terms combined with requirements for creating positive impacts in the support of the Sustainable Development Goals.

The fund is fully invested

In 2023, the fund was fully invested with the remainder of the fund being set off for possible follow-up investments and management costs. Including a follow-up investment of DKK 137m in 2024, total contracted investments is DKK 3.8 bn.

Economic performance

The SDG Fund is a close-ended fund and is currently in the holding period. The fund's first exit was made in 2022, and subsequently four more investments have been exited with

favourable returns. In 2024, the gross contribution from the investments was DKK 104m, and the gross IRR since inception was 9.6 per cent.

The remaining investments will be exited towards 2029, and the current expectation is that the fund will meet its target of an annual return of 10 - 12 per cent net in DKK.

Creating impact

During the years, the fund has created solid impact through its investments. This includes the installation of close to 2,500 megawatts of renewable energy with an annual avoidance of around 2.3 million tonnes CO₂e. In 2023, the investments supported some 187,000 smallholder farmers, provided healthcare service for 1.3 million patients and served 280,000 million people with microfinance. More information on impact and support of the Sustainable Development Goals can be found in the fund's annual Impact Report, which is available at ifu.dk.

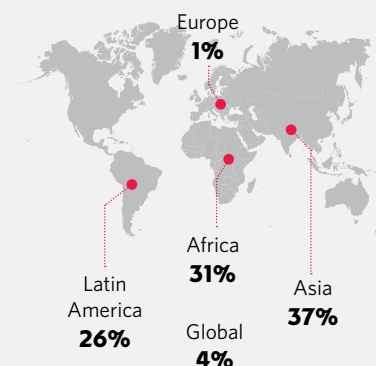
Most investments in Asia and Africa

More than two-thirds of the investments were made in Asia and Africa with 37 and 31 per cent, respectively. 26 per cent was invested in Latin America and minor parts in Ukraine and an investment in a company with a global mandate operating in Africa as well as Asia.

More than half of investments made in green energy and infrastructure

More than half of the investment volume was within green energy and infrastructure. 15 per cent was within healthcare and the same amount within financial services. 11 per cent was invested within sustainable food systems and 4 per cent was invested in companies outside the four primary sectors.

REGIONAL DISTRIBUTION OF INVESTMENT VOLUME



SELECTED IMPACTS FROM INVESTMENTS



2,455 MW
renewable energy
capacity installed



187,000
smallholder farmers
supported



1.3 M
healthcare patients
served



278,498
microfinance clients
served



THE DANISH SDG INVESTMENT FUND II

Fund	Danish SDG Investment Fund II
Inception year / lifetime	2024 /2024 - 2035
Committed capital (DKK)	2.7 billion
Investors	40% IFU and 60% private and institutional investors, including four Danish pension funds
Investment mandate	Investments in private sector companies within green energy & infrastructure, financial inclusion, sustainable food systems and healthcare
Investment geography	All DAC developing countries
Instruments	Equity and equity-like
Expected return	Fully risk-reflective return, target annual return of 12 - 15 % net in DKK

In 2024, IFU and four Danish pension funds – PKA, PFA, P+ and Pensam – launched the Danish SDG Investment Fund II (SDG Fund II). The total capital committed in the first closing was DKK 2.7bn with an expected increase to DKK 5bn in a final closing during 2025.

Reducing risk for private investors

The SDG Fund II is a so-called blended finance instrument offering private investors a fully risk-reflective return by a split in the committed capital combined with a preference return and a loss guarantee for the private investors.

Accordingly, IFU provides 40 per cent and the private investors 60 per cent of the committed capital. The preference return gives the private investors a first right of return of 6 per cent with a subsequent catch-up for IFU, and any losses incurred by the private investors on individual investments can be covered up to DKK 535m. The loss guarantee is issued by the European Commission.

Overall, this makes it more attractive for private investors

to participate in impact investments in emerging markets and developing countries where political and commercial risks are relatively high.

The fund is expected to provide an annual net return of 12-15 per cent in DKK.

Investments and impact

SDG Fund II will invest in the private sector in several developing countries within targeted sectors, including green energy and infrastructure, sustainable food systems, healthcare and financial services. The investments must create sustainable companies that can contribute to the green transition, as well as just and inclusive development.

With its investment strategy, the Fund will make a positive contribution to the SDGs. Across the investments, the fund will in particular contribute to SDGs 5, 8, 10 and 13, which cover 'gender equality', 'decent jobs', 'reduced inequality' and 'climate action'. In addition, investments in individual sectors will impact other SDGs.

The fund will continuously measure and report on how it contributes to achieving the SDGs.

Increasing private investments five times

The fund is expected to make around 20 investments primarily as equity investments with a ticket size ranging from DKK 150m to DKK 300m. The fund's investments will mobilise additional capital from other investors, and based on experience from the first Danish SDG Investment Fund it is expected that the fund for every public DKK invested by IFU will mobilise an additional five DKK in private capital.

13 focus countries in Africa, Asia and Latin America

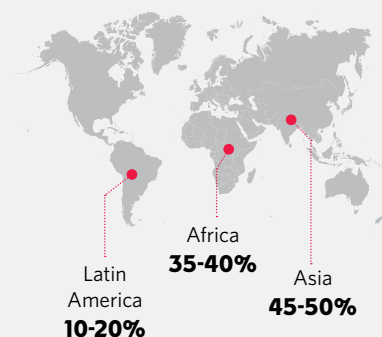
The fund has 13 focus countries where most of the investments are expected to be made. The 13 countries are: India, Indonesia, Vietnam, Egypt, Kenya, Morocco, Nigeria, Senegal, South Africa, Brazil, Colombia, Mexico and Peru.

It is expected that 40 to 50 per cent of the fund's capital will be invested in Asia, 30 to 40 per cent in Africa and 10 to 20 per cent in Latin America.

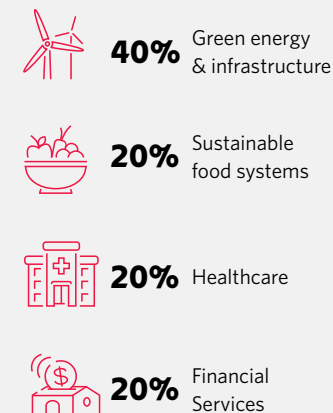
An article 9 fund

The fund has a dedicated sustainability purpose and meets the criteria set out in article 9 of the EU's SFDR regulation. Besides such a purpose the funds must also comply with the principle of "do no significant harm" and demonstrate good governance. For IFU this aligns with a best-in-class approach to impact investing.

TARGET REGIONAL DISTRIBUTION



TARGET SECTOR DISTRIBUTION





THE DANISH CLIMATE INVESTMENT FUND

Fund	The Danish Climate Investment Fund
Inception year / lifetime	2014/ 2014 - 2026
Committed capital (DKK)	1.29 billion
Investors	39.9% IFU and 60.1% private and institutional investors, including five Danish pension funds and private investors.
Investment mandate	Investments in private sector companies within green energy & infrastructure
Investment geography	All DAC developing countries
Instruments	Equity and loans
Expected return	Fully risk-reflective return, target annual return of 12 % net in DKK

The Danish Climate Investment Fund was established as a public-private partnership in 2014. The purpose was to mobilise additional private capital to support the green transition as agreed first time at the Copenhagen Summit on Climate held in 2009. IFU and five Danish pension funds and private

investors committed a total of DKK 1.29bn. IFU provided 40 per cent and the private investors provided 60 per cent, of the total committed capital.

To reduce the risk and provide a fully risk reflected return the fund introduced a preference return for the private investors up to 6 per cent with a catch up for IFU. Losses are shared equally.

The fund is fully invested

In total, the fund has made 14 investments across Africa, Asia, Latin America and Europe. One of the investments was made in Lake Turkana Wind Power in Kenya, which is the largest wind park in Africa. It consists of 365 wind turbines supplied by Vestas. The total capacity is 310 MW, and today it produces around 15 per cent of Kenya's electricity supply. The investment in Lake Turkana was sold to new investors in 2024.

The fund is fully invested, and in its holding period continuing to exit investments. In total, eight investments have been exited with six remaining in the active portfolio.

Economic performance

The Danish Climate Investment Fund has contracted investments at a total of DKK 1bn. Gross contribution from investments in 2024 was DKK 16m and gross IRR since inception was 1.7 per cent.

Creating impact

Overall, the fund has supported the installation of 467 MW of renewable energy, which produced around 1,893 GWh annually. Total annual GHG emissions avoided was around 305,000 tCO_{2e}. Moreover, the fund supported energy efficiency and wastewater treatment.

SELECTED IMPACTS FROM INVESTMENTS



467 MW

renewable energy
capacity installed



1,893 GWH

renewable energy
generated



305,389

Total GHG emissions
avoided (tCO_{2e})

Key figures 2024

Investments contracted 2024 (DKKm)	0
Total investments contracted (DKKm)*	1,000
Total disbursements (DKKm)	756
Gross contribution from investments in 2024 (DKKm)	16
Yield from investments in 2024 (%)	3.9%
Gross IRR since inception (%)	1.7%
Investments total (no)	14
Investments active (no)	6

* Stated amount after cancellations.
Amount before cancellations is DKK 1,071m



THE DANISH AGRIBUSINESS FUND

Fund	The Danish Agribusiness Fund
Inception year / lifetime	2016/2016 - 2028
Committed capital (DKK)	800 million
Investors	37.5 % IFU and 62.5 % private and institutional investors, including six Danish pension funds.
Investment mandate	Investments in private sector companies within agribusiness across the full value chain
Investment geography	All DAC developing countries
Instruments	Equity and loans
Expected return	Fully risk-reflective return, target annual return of 10 % net in DKK

In 2016, the Danish Agribusiness Fund was established as a public-private partnership. Including a subsequent second close, total capital committed to DAF reached DKK 800 million.

Key figures 2024

Investments contracted 2024 (DKKm)	0
Total investments contracted (DKKm)*	307
Total disbursements (DKKm)	279
Gross contribution from investments in 2024 (DKKm)	15
Yield from investments in 2024 (%)	4.5%
Gross IRR since inception (%)	5.0%
Investments total (no)	7
Investments active (no)	2

* Stated amount after cancellations.
Amount before cancellations is DKK 412m

Three institutional investors committed DKK 500 million. The Danish government and IFU committed in total DKK 300 million.

Due to the establishment of the Danish SDG Investment Fund, it was decided with the investors in DAF to end DAF's investment period ahead of schedule, and from 2019 the fund stopped making new investments. Consequently, the commitment from investors has been lowered to DKK 450 million.

The fund is fully invested

DAF has invested in projects across the value chain from farm to fork, e.g. primary production (crops and livestock, etc.), processing of food and beverages and production of fertilizers.

In total, the fund has invested in seven projects in Asia, Latin America and Africa. The fund is fully invested and in its holding period continuing to exit investments. In total, five investments have been exited with two remaining in the active portfolio.

SELECTED IMPACTS FROM INVESTMENTS



31,784

direct jobs
supported (FTE)



54,539

indirect jobs
supported (FTE)



17,675 M

value added
(DKKm)

Economic performance

In total, the fund has contracted investments of DKK 307m. Gross contribution from investments in 2024 was DKK 15m, and gross IRR since inception was five per cent.

Creating impact

Overall, the fund has supported close to 32,000 direct jobs and 55,000 indirect jobs. Local value added through the companies' economic activities is annually around DKK 675m.



DENMARK'S GREEN FUTURE FUND

Fund	Denmark's Green Future Fund
Inception year / investment period	2020 / 2020 - 2025
Allocated capital (DKK)	1,000 million
Capital contributor	Government re-lending scheme at Danmarks Nationalbank
Investment mandate	Investments in innovative private sector companies supporting the green transition and reducing CO ₂ emissions
Investment geography	DAC countries
Instruments	Loans
Expected return	N/A

IFU is managing a part of Denmark's Green Future Fund, which was set up by the Danish State to support the national and global green transition. The total fund size of Denmark's Green Future Fund is DKK 25bn, of which DKK 1bn has been

Key figures 2024

Investments contracted in 2024 (DKKm)	328
Total investments contracted (DKKm)*	991
Total disbursements (DKKm)	710
Gross contribution from investments in 2024 (DKKm)	71
Yield from investments in 2024 (%)	13%
Gross IRR since inception (%)	9%
Investments total (no)	12
Investments active (no)	11

* Stated amount after cancellations.
Amount before cancellations is DKK 1,114m

allocated to IFU through access to the central government re-lending scheme at Danmarks Nationalbank.

The funding has allowed IFU to increase its lending and mobilise additional capital to climate-related projects across the DAC countries. This includes investments in renewable energy, recycling, climate smart agriculture and green financing targeting local companies.

Invested in forestry and biodiversity

In 2024, investments of DKK 328m were made in three projects. One of the projects was a forestry fund in Paraguay, which will build a commercial forestry business by restoring modified habitats by planting new trees, combined with protecting existing forests and establishing conservation areas to enhance biodiversity

Economic performance

The Green Future Fund has in total contracted investments of DKK 991m in 12 projects and is close to being fully invested. Gross contribution from investments in 2024 was DKK 71m, and gross IRR since inception was 9 per cent.

SELECTED IMPACTS FROM INVESTMENTS



115 MW

renewable energy
capacity installed



55 GWH

renewable energy
generated



21,691

total GHG emissions
avoided (tCO₂e)

Creating impact

The investments have so far supported the installation of 115 MW renewable energy leading to a current generation of 55 GWh energy annually. The total avoided emission of greenhouse gasses is close to 22,000 tCO₂e. Moreover, it is expected that around 14,000 direct jobs will be created or supported by the investments.



HIGH RISK HIGH IMPACT

Fund	High Risk High Impact
Inception year / investment period	2019/ 2019 - 2024
Allocated capital (DKK)	350 million
Capital contributor	Danish state (Ministry of Foreign Affairs)
Investment mandate	Investments in private sector companies to support sustainable development
Investment geography	35 of the poorer countries in Africa
Instruments	Equity and loans
Expected return	N/A

The High Risk High Impact (HRHI) initiative was initiated by the Ministry of Foreign Affairs and IFU to accelerate private sector investments in the poorer African countries.

Key figures 2024

Investments contracted in 2024 (DKKm)	40
Total investments contracted (DKKm)*	352
Total disbursements (DKKm)	312
Gross contribution from investments in 2024 (DKKm)	14
Yield from investments in 2024 (%)	4%
Gross IRR since inception (%)	6%
Investments total (no)	9
Investments active (no)	9

* Stated amount after cancellations.
Amount before cancellations DKK 376m

The initiative covers a group of 35 countries in Africa defined as having a maximum GNI per capita of 40 per cent of the upper limit for Lower Middle-Income Countries, according to the World Bank's classification. This includes countries like DR Congo, Benin, Malawi, Zambia, Somalia and Uganda, for example.

Investing more in poorer African countries

The Ministry of Foreign Affairs has allocated DKK 350m to the initiative, of which DKK 50m must be invested in projects that can be reported as 100 per cent climate relevant in accordance with the Rio markers. To further support the initiative, the target was that IFU should deploy at least 30 per cent of its own capital on average in the period in the countries included in the initiative. From 2020-2024 the percentage was 20 and was impacted by restrictions during the period on IFU's ability to commit new investments out of own capital.

In 2024, IFU made an investment in PowerGen aiming at installing off-grid renewable power solutions in primarily Nigeria, Sierra Leone and DR Congo. Part of the investment was financed by the HRHI initiative.

Other investments have been made in project companies operating across the 35 countries. This includes aBi Finance providing finance to primarily smallholder farmers in Uganda and The Horn of Africa Fund providing finance for small and medium-sized companies in Somalia.

Economic performance

Overall, the HRHI initiative has provided finance for nine projects at a total of DKK 352m. Thereby all allocated funds have been invested. Gross contribution from investments in 2024 was DKK 14m, and gross IRR since inception was six per cent.

Creating impact

The HRHI initiative has contributed with solid impact. Close to 4,000 direct jobs have been supported. The investments have also reached more than 74,000 microfinance clients and provided almost 37,000 small and medium-sized companies with financial services.

SELECTED IMPACTS FROM INVESTMENTS



3,759
direct jobs
supported (FTE)



36,843
SME clients
served



74,264
microfinance clients
reached



INDIA CLIMATE FINANCE INITIATIVE

Fund	India Climate Finance Initiative
Inception year / investment period	2022 / 2022 - 2025
Allocated capital (DKK)	200 million
Capital contributor	Danish state (Ministry of Foreign Affairs)
Investment mandate	Investments in innovative private sector companies supporting the green transition and reducing CO ₂ emissions
Investment geography	India
Instruments	Equity and loans
Expected return	N/A

In 2020, Denmark and India signed the Green Strategic Partnership Agreement. The purpose is to support India's green transition and strengthen Denmark's engagement in India.

Key figures 2024

Investments contracted in 2024 (DKKm)	0
Total investments contracted (DKKm)*	27
Total disbursements (DKKm)	16
Gross contribution from investments in 2024 (DKKm)	N/A
Yield from investments in 2024 (%)	N/A
Gross IRR since inception (%)	N/A
Investments total (no)	1
Investments active (no)	1

Under this agreement the Ministry of Foreign Affairs has allocated a capital contribution to IFU of DKK 200m for an India Climate Finance Initiative (ICFI).

Mobilising additional private capital

The ICFI will allow IFU to be more innovative and engage in green and climate related investments that might not be possible with IFU's current instruments.

The initiative runs in the four-year investment period 2022 - 2025 and is expected to make two-three investments that will counter climate change and reduce GHG emissions. The investments are expected to mobilise additional private capital and contribute to reduce the current financing gap for climate-related investments in India.

Economic performance

So far, one investment of DKK 27m has been contracted in the Indian company Smart Joules providing cooling solutions for commercial and industrial buildings. The company will

support the Indian government's Cooling Action Plan, which aims to reduce the need for cooling of buildings that consumes a large part of the country's energy supply.

Creating impact

The investment in Smart Joules is expected to reduce energy consumption and GHG emissions as well as creating local jobs.

SELECTED IMPACTS FROM INVESTMENTS



380

direct jobs
supported (no.)



400 MWh

energy consumption
reduced



304

total GHG emissions
avoided (tCO₂e)



THE UKRAINE FACILITY

Fund	The Ukraine Facility
Inception year / investment period	2023 / open-ended
Allocated capital (DKK)	148 million
Capital contributor	Danish state (the Ukraine Fund)
Investment mandate	Investments in private sector companies to support the rebuilding of Ukraine
Investment geography	Ukraine
Instruments	Equity and loans
Expected return	N/A

The funding for the Ukraine Facility has been provided by the Danish state that has set up a dedicated fund for Ukraine to support the country's military efforts and civilian initiatives. In total, DKK 148m has been allocated to IFU for private sector

Key figures 2024

Investments contracted in 2024 (DKKm)	132
Total investments contracted (DKKm)	181
Total disbursements (DKKm)	76
Gross contribution from investments in 2024 (DKKm)	(17)
Yield from investments in 2024 (%)	Negative
Gross IRR since inception (%)	Negative
Investments total (no)	6
Investments active (no)	6

funding. It is expected that an additional DKK 100m will be allocated to the Ukraine Facility in 2025.

IFU has for several years been investing in Ukraine, and the allocated additional funding has allowed IFU to continue to invest in Ukraine despite high commercial and political risk following the full-scale Russian invasion.

Continued to invest in 2024

In 2024, IFU made three new investments in Ukraine. The investments included an investment in Bank Lviv, which is supporting local SME companies in relocating from the war zone or to build up stronger companies to sustain the economic development. IFU also invested in a Danish owned company being one of the most technologically advanced electronics components producers in western Ukraine providing electronics manufacturing services to customers in the EU and Ukraine. Finally, IFU contributed finance to a large agro-business.

Economic performance

In 2024, total contracted investments were DKK 132m. Including investments in 2023 IFU has exhausted the allocated capital for the Ukraine Facility and in addition invested DKK 33m of its own capital. Gross contribution from investments in 2024 was negative by 17m.

At year-end 2024, IFU had an active portfolio of 19 investments, of which six are financed by the Ukraine facility.

Creating impact

The investments are supporting the investees in up-holding and increasing their businesses benefiting the Ukrainian economy. In total the investees supported 183 direct jobs and close to 4,000 indirect jobs. The local value added from the business activity was around DKK 40m annually.

SELECTED IMPACTS FROM INVESTMENTS



183
direct jobs
supported



3,906
indirect jobs
supported



40 MILLION
value added
(DKKm)



IFU DEVELOPMENT GUARANTEE FACILITY

Fund	IFU Development Guarantee Facility
Inception year / investment period	2022 / 2022 - 2025
Guarantee frame (DKK)	2 billion
Capital contributor	Danish State (Ministry of Foreign Affairs)
Guarantee mandate	Mobilise climate finance (adaptation/mitigation) and increase access to finance for SMEs, primarily in Africa, incl. for women and young entrepreneurs
Investment geography	Africa and other DAC countries for climate engagements
Instruments	Guarantees
Expected return	N/A

In 2022, the Danish Government mandated IFU to issue sovereign development guarantees to mobilise capital for sustainable development, with a special focus on mobilisation of climate finance in developing countries. The guarantees contribute to reducing the risk of commercial capital and thereby

Key figures 2024	DKKm	USDm
Guarantees issued in 2024	746	106
Total guarantees issued	746	106
Total guarantees issued (No)	2	2
Total guarantees active (No)	2	2

create access to increased mobilisation of private capital to projects in developing countries.

The guarantee frame is DKK 2bn during a pilot phase for 2022-2025, and losses under the guarantees are covered by the state reserve account. The model is backed by Denmark's AAA rating and is like that of an insurance company, where the premium payments cover the costs of claims (credit losses). The goal is to break even in the long run - neither profit, nor loss.

First guarantees issued

IFU's Development Guarantee Facility made its first two deals in 2024. The first deal was a DKK 706m / USD 100m guarantee to support the Asian Development Bank's (ADB) groundbreaking Innovative Finance for Climate in Asia and the Pacific Initiative (IF-CAP). The objective of the initiative is to provide scalable, replicable financial solutions to help countries in Asia and the Pacific to achieve their climate goals and drive sustainable economic growth for the benefit of people and planet.

The second deal was a guarantee of DKK 40m / USD 5.6m to BPR Bank Rwanda to support lending to small and medium-sized enterprises (SME). Due to high collateral requirements only 10 per cent of the bank's close to 40,000 SME clients are also borrowing clients. With the new guarantee covering 70 per cent of the bank's risk on its SME lending, the bank is in a better position to provide loans to SME clients.

Economic performance

The total guarantees issued are two with a total guarantee sum of DKK 746m / USD 106m. This leaves an additional DKK 1.25bn for new guarantees to be issued.

Creating impact

The guarantees are expected to mobilise DKK 3.2bn in additional combined capital for green and sustainable investments, of which climate finance amounts to DKK 3,177 million.

SELECTED IMPACTS FROM INVESTMENTS



3,234

in total mobilised
capital



DKK 3.177

million in climate
finance



DANIDA SUSTAINABLE INFRASTRUCTURE FINANCE

Fund	Danida Sustainable Infrastructure Finance
Inception year / investment period	2024 / Open-ended
Allocated capital (DKK)	Loan financing DKK 5.4 billion / grants DKK 2.8 billion
Capital contributor	Danish State (Ministry of Foreign Affairs) / Danish state on-lending facility
Investment mandate	Concessional financing and grants for public infrastructure projects
Investment geography	DAC countries
Instruments	Loans and grants
Expected return	N/A

Danida Sustainable Infrastructure Finance (DSIF) is the Danish aid mechanism providing access to loan finance for investments in public infrastructure projects in developing countries. Since 2017, DSIF has been managed by IFU on behalf of the Ministry of Foreign Affairs, whereas approval of investments remained in the ministry. DSIF has now become fully

integrated in IFU's operations, including the responsibility for the investment decisions, alongside the strategic and operational management.

New framework document 2024 - 2030

The overall objective of DSIF remains unchanged: to address the need for public infrastructure access, particularly for the poorest and most underserved populations in developing countries. The results framework and operational guidelines for DSIF have been defined with the Ministry of Foreign Affairs in a new framework document covering 2024 - 2030.

The future funding of DSIF's activities will be based on grants provided by the Ministry of Foreign Affairs and loan financing provided by IFU through the Danish state's on-lending facility with a guarantee from the Ministry of Foreign Affairs. Towards 2030, DKK 2.8 billion has been allocated for grant financing and DKK 5.4 billion for loan financing.

Increased poverty focus

Going forward, two thirds of DSIF's loan portfolio will be deployed in Africa and the remaining one-third in other

developing countries. Moreover, there is a strong focus on supporting the green transition with a target of 50 per cent of the loan financing to be classified as climate related.

DSIF has been un-tied from financing project costs related to supply by Danish companies only. The adjustment will allow DSIF to increase the poverty focus on its grant financing so 80 per cent of grants will be allocated to poor & fragile countries and 75 per cent in Africa. Despite the un-tying, IFU will continue to seek cooperation with Danish companies.

Aligned with IFU sector focus

DSIF financing will align with IFU's sector focus, including green energy & infrastructure, healthcare, sustainable food systems and financial services.

Creating impact

In 2024, DSIF issued new grants to four projects in Ukraine related to wastewater and energy, at a total of DKK 235 million. Upon implementation, these projects are reducing the overall CO₂ emission by an estimated 13,000 tonnes annually.

From 2013 to 2024, DSIF has provided financing to 15 projects within the water and energy sectors. The cumulative financing of these projects amounts to DKK 7.8 billion. DSIF anticipates that these initiatives will grant over 11 million people access to clean water or wastewater treatment, clean energy for 3.2 million people, as well as reduce CO₂ emissions by more than 300,000 tonnes per year.

SELECTED IMPACTS FROM INVESTMENTS



11.2 MILLION

people with access to water
or wastewater treatment



3.2 MILLION

people with access to
clean energy



334,000

Tonnes of CO₂ equivalent
reduced per year

Key figures 2024

Loans contracted 2024 (DKKm)	0
New grants issued (DKKm)	235
Total financing provided (DKKm)	7,800
Total disbursements 2024 - loan (DKKm)	129
Total disbursements 2024 - grants (DKKm)	258
Investments active (no)	15



NEW INVESTMENTS DURING THE YEAR – AN OVERVIEW

PROJECT NAME	COUNTRY	FUND/ FACILITY	IFU'S CONTRACTED INVESTMENTS IN DKKM		
			SHARES*	LOANS**	TOTAL
NEW INVESTMENTS					
AFRICA					
1 Imperium Holding	Morocco	IFU	91.8		91.8
2 MYDAWA	Kenya	IFU		63.5	63.5
3 PowerGen	Africa (Regional)	IFU/HRHI	105.9		105.9
4 Sturdee Energy RSA	South Africa	IFU	148.3	7.3	155.5
5 SME Guarantee Rwanda	Rwanda	DGF		40.0	40.0
6 Verdant Orchards	South Africa	IFU/GL		101.8	101.8
Subtotal Africa			346.0	212.6	558.6
ASIA					
7 ADB IF-CAP	Asia (Regional)	DGF		706.1	706.1
8 AKS Pharmacies	Bangladesh	IFU	88.3		88.3
9 CPC Vietnam	Vietnam	IFU/GFF		70.4	70.4
10 Redcliffe Labs	India	IFU	134.6		134.6
Subtotal Asia			222.8	776.5	999.4
EUROPE					
11 Agrofusion Mykolaiv	Ukraine	IFU/UAF		74.6	74.6
12 Bank Lviv	Ukraine	IFU/UAF		52.2	52.2
13 TBC Bank	Georgia	IFU/GFF		111.8	111.8
14 Techto 2	Ukraine	IFU/UAF		4.8	4.8
Subtotal Europe				243.4	243.4
LATIN AMERICA					
15 Amazonia Nativa	Colombia	IFU/PDP		7.8	7.8
16 ProNuvo insects	Costa Rica	IFU/PDP		13.3	13.3
17 SA Impact Forestry Fund	Paraguay	IFU/GFF	146.0		146.0
18 Scatec Urucuia	Brazil	IFU/GL		186.4	186.4
Subtotal Latin America			146.0	207.6	353.5

GLOBAL					
19 Abler Nordic Fund V KS	Global	IFU	107.8		107.8
20 Abler Nordic Fund V GP	Global	IFU	12.0		12.0
Subtotal Global			119.8		119.8
TOTAL NEW PROJECTS				834.6	1,440.1
					2,274.7

PROJECT NAME	COUNTRY	FUND/ FACILITY	IFU'S CONTRACTED INVESTMENTS IN DKKM		
			SHARES*	LOANS**	TOTAL
ADDITIONAL FINANCING OF ONGOING INVESTEEES					
AFRICA					
21 Ben Ban Swicorp Solar	Egypt	IFU	0.9		0.9
Subtotal Africa			0.9		0.9
ASIA					
22 BOPA PTE Ltd	Asia (Regional)	IFU		16.8	16.8
Subtotal Asia				16.8	16.8
LATIN AMERICA					
23 Augment Origo DG	Brazil	SDG	0.2		0.2
24 Vinte	Mexico	SDG	137.1		137.1
Subtotal Latin America			137.3		137.3
TOTAL ADDITIONAL FINANCING			138.2	16.8	155.0


NEW INVESTMENTS DURING THE YEAR – AN OVERVIEW – CONTINUED

TOTAL IFU***	IFU'S CONTRACTED INVESTMENTS IN DKKM		
	SHARES*	LOANS**	TOTAL
Total new projects	834.6	694.0	1,528.6
Total additional financing	0.9	16.8	17.7
TOTAL	835.4	710.9	1,546.3
<i>of which financed by High Risk High Impact (HRHI)</i>	40.2		40.2
<i>of which financed by Denmark's Green Future Fund (GFF)</i>	146.0	182.2	328.2
<i>of which financed by Ukraine Facility (UAF)</i>		98.9	98.9
<i>of which financed by Project Development Programme (PDP)</i>		21.1	21.1
<i>of which financed by Green loans (GL)</i>		288.3	288.3
TOTAL DANISH SDG INVESTMENT FUND (SDG)			
Total new projects			
Total additional financing	137.3		137.3
TOTAL	137.3		137.3
TOTAL DEVELOPMENT GUARANTEE FACILITY (DGF)			
Total new guarantees		746.1	746.1
Total additional guarantees			
TOTAL		746.1	746.1

TOTAL IFU + SDG + DGF	IFU'S CONTRACTED INVESTMENTS IN DKKM		
	SHARES*	LOANS**	TOTAL
20 Total new projects	834.6	1,440.1	2,274.7
4 Total additional financing	138.2	16.8	155.0
GRAND TOTAL IFU AND IFU MANAGED FUNDS	972.7	1,457.0	2,429.7

Total may not add up due to rounded figures.

* Including overrun commitments.

** Including guarantees.

*** Does not include IFU's commitment of DKK 1,1 billion to the Danish SDG Investment Fund II



IFU AND IFU MANAGED FUNDS AND FACILITIES – AN OVERVIEW

	Established	Purpose	Capital** DKK m end of 2024	Capital available to be deployed DKK m from 2025****	Capital provided by
IFU's own account and facilities – state capital and borrowing					
IFU's own capital	1967	Private sector development in developing countries supporting the SDGs	6,362	N/A (revolving fund)	State and accumulated profit
<i>Facilities included in IFU's capital or financed by borrowing and IØ</i>					
Project Development Programme (PDP)	2016	Project development	65	11	State
IFU Impact Ventures (IIV)	2024	Project development	50	50	State
High Risk High Impact (HRHI)*	2019	High risk investments in Africa with high impact and climate potential	350	0	State
India Climate Finance Initiative (ICFI)	2022	Projects that will contribute to the green transition and counter climate change in India	200	83	State
Ukraine Facility (UAF)	2023	Investments in Ukraine to help rebuild the country (DKK 100m fill-up expected in 2025)	148	0	State
Blended Finance for Energy Transition	2023	Supporting reduction or avoidance of GHG emissions in high-emitting countries through promotion of renewable energy generation.	99	99	State
Sharaka Capital Fund	2024	SME credit fund targeting four MENA countries: Morocco, Egypt, Tunisia, and Jordan	75	0	State
DSDG Fund I	2018	Financing of IFU's contribution to the SDG Fund I	800	165	Danmarks Nationalbank (lending line)
DSDG Fund II	2024	Financing of IFU's contribution to the SDG Fund II	800	738	Danmarks Nationalbank (lending line)
Nordic Investment Bank	2019	Refinancing of IFU loans fulfilling NIB mandate	52	0 (line closed)	The Nordic Investment Bank lending line
Denmark's Green Future Fund (GFF)	2020	Financing for climate investments in developing countries	1,000	10	Danmarks Nationalbank (lending line)
EU Facility	2022	Project specific funding	174	0	European Union
Green projects	2024	Financing for green and inclusive investments in developing countries (figures include increase in line of DKK 1,000m in 2025)	1,500	1,300	Danmarks Nationalbank (lending line)
Investment Fund for Central and Eastern Europe* ***	1989	Private sector development in Eastern Europe (being wound down)	3	N/A (winding down)	State and accumulated profit
Total			8,467		





	Established	Purpose	Capital** DKKm end of 2024	Capital available to be deployed DKKm from 2025****	Capital provided by
IFU managed funds (including IFU's share of the funds)					
IFU Investment Partners*	2012	Joint investments in larger IFU projects	385	0 (holding period)	Two Danish pension funds
Danish Climate Investment Fund*	2014	Climate investments in developing countries	769	0 (holding period)	IFU and institutional and private investors
Danish Agribusiness Fund*	2016	Agribusiness and food investments in developing countries	420	0 (holding period)	IFU and institutional investors
Danish SDG Investment Fund I	2018	Large investments supporting the SDGs in developing countries	4,599	0 (holding period)	IFU and institutional and private investors
Danish SDG Investment Fund II	2024	Large investments supporting the SDGs in developing countries	2,667	2,279	IFU and institutional and private investors
Total			8,840		
of which private capital included in capital under management			5,469		
IFU managed facilities - Danida Sustainable Infrastructure Finance (DSIF) and IFU Development Guarantee Facility					
Danida Sustainable Infrastructure Finance	1993	Guaranteed loans with a grant element for public infrastructure projects, which cannot be funded through private investments	2,034	300 in grant capital	State
IFU Development Guarantee Facility	2022	Guarantees that contribute to reducing the risk of investors and thereby create access to increased mobilisation of private capital in developing countries.	2,139	1,384	State
Total			4,172		
Grand total (capital under management)			18,108		
Other – grant facilities not included in capital under management					
Project Development Facility - DSIF	2017	Project development of infrastructure proposals for possible financing under DSIF	100	29	State
IFU Sustainability Facility	2019	Grants to IFU projects for training and other support related to ESG, impact and Covid-19 relief	26	9	IFU
Danida Sustainable Infrastructure Finance	2022	Grants for emergency measures to rebuild Ukraine	93	0	State

Notes:

* Closed for new investments

** Either current equity capital for IFU and IØ, outstanding guarantee commitment for DSIF, available guarantee commitment for DGF, full lending lines, i.e. both outstanding and available, from Nationalbanken or outstanding borrowing from NIB and capital procured from EU. For facilities included in IFU's equity the amount is full contribution received. For managed funds, the amounts stated are either capital committed from investors (the investment period) or NAV plus undisbursed commitments (holding period).

*** Total capital contribution to IØ was DKK 1,898m in the period 1990-2001, and DKK 3,800m has been paid back as per end of 2024. Both figures in nominal prices.

**** For new commitments in active funds/facilities at balance sheet date. Stated amount after deduction of internally approved commitments (binding commitments), that may not materialise into contracts. Stated amounts for the lending lines is amount available for new commitments for these initiative and not amounts drawn on the lending lines

Note:

Comprised of i) IFU and IØ equity, loan facilities from Danmarks Nationalbank (drawn and available) and the Nordic Investment Bank (outstanding) and capital procured from the EU ii) for the PPP funds (SDG, DCIF, DAF and IIP) either capital from private investors (the investment period) or private investors share of NAV plus undisbursed commitments (holding period) iii) guarantees outstanding for DSIF and outstanding and available guarantee amount under the IFU Development Guarantee Facility.



SUSTAINABILITY STATEMENT



GENERAL INFORMATION

CSRD inspired reporting

IFU supports the purpose of the EU sustainable finance legislation and recognises the value and effort required to align annual reporting to the EU's Corporate Sustainability Reporting Directive (CSRD). In 2024, IFU started developing its sustainability reporting towards CSRD and related disclosure requirements detailed in the EU Sustainability Reporting Standards (ESRS), as implemented in Danish law by the Financial Statements Act, the Auditors Act and other acts. IFU is currently subject to CSRD reporting for the financial reporting year 2025, and this 2024 sustainability statement has been developed as a pilot where IFU takes the first steps towards CSRD-aligned reporting based on available sustainability information and data from 2023. However, the recent publication of the EU Omnibus proposal, suggesting amendments to CSRD, if approved IFU is not in scope to report under CSRD in the 2nd wave of reporting in 2026. IFU is assessing the situation and will develop a position and approach to future sustainability reporting, once the proposed amendments are anchored in the law.

Disclosure requirements covered by the sustainability statement

IFU conducted a double materiality assessment (DMA) in 2024, see p. 59, and all 10 topical ESRS were assessed to be material. To manage the effort required for CSRD-aligned annual reporting, a requirement during the preparation of the report, a phasing in of the topical standards was adopted. In

this pilot, IFU focuses on aligning with disclosures within the following standards:

- ESRS 2 General information
- ESRS E1 Climate change
- ESRS G1 Business conduct

To determine which disclosures and data points are material, IFU has used the following considerations:

- A data point is material when it relates to a material sub-topic.
- Data points relating to financial risks and/or opportunities are considered only if such material financial risks and/or opportunities have been identified.
- Data points requiring information on IFU's own operations are only considered if they relate to a sub-topic material for IFU's own operations.

Phase-in options on specific disclosures under the ESRS are furthermore applied. The remaining topical ESRS are included structurally, yet do not fully align with the disclosure requirements. The assumption was that these would be phased-in and developed in future years, yet the recent and proposed legislative changes need to settle and inform the way forward.



Assela Wind Farm, Ethiopia.



BASIS FOR PREPARATION

Scope of consolidation and time horizons

The sustainability statement has been prepared on a consolidated basis. The data from IFU's investees are consolidated to present portfolio-wide metrics on sustainability. The sub-sectors considered in the DMA and the sustainability statement are represented in IFU's investment portfolio and financial statement.

The scope of consolidation for the sustainability statement however differs from the financial statement with regards to attribution, with exception to greenhouse gas (GHG) emissions data. In other words, the sustainability data from IFU's portfolio, with exception to GHG emissions data, is not attributed and does not reflect IFU's sole contribution. This is typical to development finance institution (DFI) practices, in that IFU reports on sustainability metrics as a total related to the investment, as opposed to attributed to its share of sustainability impacts.

Attribution is applied to GHG emissions metrics, since international standards for attribution are established via the Partnership for Carbon Accounting Financials (PCAF), see p. 84 for more details. In the case of GHG emissions, IFU reports on both total and attributed metrics.

Finally, IFU is in the process of aligning the reporting period on sustainability data collected from the portfolio to align with the financial reporting period and is assessing the road ahead, based on the recent changes proposed by the EU.

IFU uses the time horizons for reporting purposes, as defined in ESRS 1, as follows:

- Short-term impacts, risks and opportunities (IROs) relate to IROs occurring over IFU's next financial year.
- Medium-term IROs are related to IROs occurring within 2-5 years.
- Long-term IROs would occur after 5 years.

Data sources and uncertainties

IFU collects a broad range of sustainability data from all investees in the portfolio, as a basis for the sustainability statement. IFU also uses indirect data sources, such as sector-average data embedded in the Joint Impact Model (JIM) for calculating GHG emissions, where data collected from the investee is unreliable or not available. The JIM is also used to calculate both the number of indirect jobs and value added in USD, representing the contribution to gross domestic product (GDP) resulting from the investments. The JIM is a common framework used amongst European Development Finance Institutions (EDFI) and aligns with the PCAF methodology on GHG emissions calculation. The JIM includes an assessment of data accuracy through data quality scoring, which has improved year on year since 2020, see p. 69. IFU also continuously improves data accuracy through strengthening data quality collected from its investees and used in the JIM.

Financial data is audited and therefore associated with a low level of uncertainty. In contrast sustainability data is not audited and introduces a range to the level of uncertainty in the data. IFU strengthens data quality on a best effort basis and cross-checks data against previous reporting periods, as well as with similar investments within the portfolio. It is well understood that the self-reported data from investees in emerging markets will vary in quality and may include data with higher levels of uncertainty.

IFU does not disclose any forward-looking information, except for the medium to long-term time scales built into the scoring of IROs in the DMA.

Data corrections

IFU discloses all changes and reasons in the preparation and presentation of sustainability data. These are detailed in relevant sections of the sustainability statement and/or in the reporting principles.



Strategy, business model and value chain

Sustainability is integral to IFU's business model and is centrally placed in the investment strategy. IFU's investment strategy and impact model are presented in detail on p. 11-14, as summarised below:

- IFU provides access to a range of financial products, knowledge and investment competences in emerging markets and developing economies, with a focus on four sectors, described as green energy & infrastructure, financial services, sustainable food systems and healthcare.
- IFU supports investments that have an impact priority of supporting green, and/or just and inclusive societies, and thereby contributing to decent work and economic growth (SDG 8), reduced inequalities (SDG 10), and climate action (SDG 13). Gender equality (SDG 5) is also a focus area for IFU and supports reduced inequality (SDG 10).
- IFU aims to maintain its position as a leading impact investor, as verified by BlueMark in 2024, by practising a best-in-class approach to impact management and ensuring critical solutions are put in place to address critical global challenges linked to climate change and social inequality.

This sustainability statement considers both IFU's upstream and downstream value chain.

The extent of coverage in the upstream value chain focuses on what has been assessed to be financially material to IFU, being its sources of funding from the Danish Ministry of Foreign Affairs (MFA) and private sector investors. Other upstream considerations include IFU's suppliers.

The extent of coverage in the downstream value chain focuses on what has been assessed to be material from an impact perspective, being IFU's investment portfolio and hot spots in the investee's value chains. Both impacts that IFU causes through its own operations, directly contributes to in its investments, and is linked to through its investments, are included in the materiality consideration.



United Exports, blueberry farms in southern Africa, exited by the SDG Fund in 2022.

IFU's value chain

Upstream value chain	Own operations	Downstream value chain	
Sources of funding Suppliers	IFU offices Staff	Tier 1: Investment portfolio Investee employees	Further tiers: Investee value chains



Sustainability policy framework

IFU operates within a sustainability policy framework defined by international best practice and anchored by approaches developed together with other members of EDFI. The framework is steered by IFU's overarching Sustainable Investment Policy¹, which was approved in December 2024 and replaces the former Sustainability Policy from 2022. The general objective of the policy is to explain how IFU aligns its investment activities with best practice international ESG and impact standards, as well as applicable EU and Danish law. The policy applies to IFU's investment process, IFU's core capital, facilities and capital under management, and it determines IFU's commitments in its investment practice as to:

- Be a best-in-class impact investor
- Establish robust sustainability requirements for its investees
- Implement best-in-class thematic sustainability policies across its portfolio
- Apply its sustainability requirements to business segments and industries using risk and opportunity-based methodologies

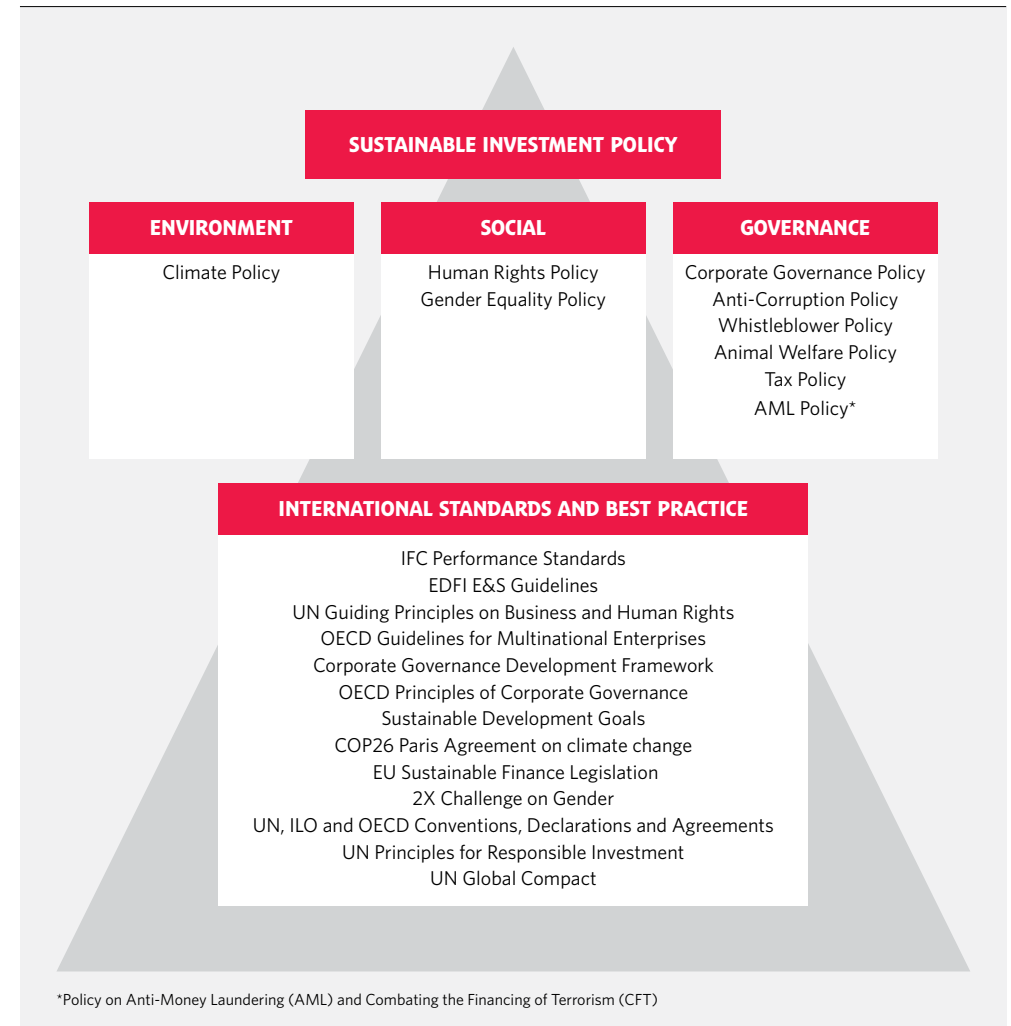
The Sustainable Investment Policy and related thematic sustainability policies, see policy framework figure, define IFU's commitments and approach to identifying, assessing and managing sustainability within the investment portfolio. The monitoring of the implementation of the policies is part of IFU's investment process.

The most senior level accountable for the implementation of all policies is the executive management. All policies are approved by IFU's board of directors and are reviewed regularly at its statutory annual policy review. The Sustainability & Impact team monitors developments in relevant international conventions and sustainability trends and proposes policy adjustments annually, if needed. Consideration given to the interests of key stakeholders in setting the policies is ensured through consultation with stakeholders in IFU's Sustainability Advisory Board. Selected thematic policies will be updated in 2025, including the development of a new biodiversity policy, to align with EU legislative requirements and address dominant trends amongst DFIs.

Generally, the suite of policies is relevant for all IFU employees and IFU operations, including third parties acting on behalf of IFU. All policies are accessible on IFU's website and the intranet IFUConnect and communicated to all relevant stakeholders internally and externally.



IFU's sustainable investment policy framework



1) <https://www.ifu.dk/wp-content/uploads/2025/01/ifu-sustainable-investment-policy.pdf>



SUSTAINABILITY GOVERNANCE

The role of the administrative, management and supervisory bodies

The governance of sustainability is anchored at the level of IFU's Board of Directors. The board has a formal mandate to ensure that IFU carries out investments in developing countries that are deemed to have a positive effect on local sustainable business development. For details, see IFU's Statutes². Moreover, the various supervisory processes, as well as the responsibilities of the board, are outlined in the strategic ownership document for IFU³.

The executive management is responsible for policy implementation and assigns responsibility and resources to ensure effective business conduct. Executive management also provides guidance and oversight of cross-cutting sustainability issues, including business conduct, and assigns first-line ownership of business integrity risks and opportunities in specific business activities. IFU's Anti-corruption Policy, IFU's Whistleblower Policy and IFU's Corporate Governance Policy describe how IFU approaches corporate governance and implements responsible business conduct measures, see p. 79-80. An example would be IFU's established Investigations Oversight Committee (IOC), which is chaired by a member of executive management.

IFU's business units have operational responsibility to manage material IROs and are structured under and report to the executive management on a regular basis, both in the context of specific investment cases and organisational improvements. Dedicated control and procedures related to IROs are core to IFU's business and management thereof and are inte-

grated into IFU's investment process and daily operational activities. The executive management reports to IFU's board every second month on progress and performance.

Skills and expertise

The IFU board, executive management and staff either have sustainability-related expertise or have access to experts or training as related to the sectors and geographies where IFU operates. IFU's board itself displays exposure to sustainability topics and responsible business conduct, from their experience in the financial sector, building industry, healthcare sector, policy development and business management and involvement with non-governmental organisations. The collective expertise of the board ensures insight into creating and implementing policy frameworks that enable and maintain rigorous corporate governance standards and support long-term growth aligned with ethical business principles.

The executive management has substantial experience in leadership and strategic management from recognised financial institutions and considerable knowledge of private equity, impact investment and development finance in emerging markets. This enables executive management to navigate the complex IFU business environment and focus on ethical and responsible business conduct and decision-making.

IFU's Sustainability & Impact team has substantial experience in environmental and social risk management, impact management, corporate governance, climate change, biodiversity, gender equality and human rights. This allows coverage across all ESRS topics and sub-topics and ensures the relevant



IFU's roles and responsibilities related to sustainability governance



2) <https://www.ifu.dk/wp-content/uploads/2024/08/ifu-vedtaegt-final-20240620-signed.pdf>

3) <https://www.ifu.dk/wp-content/uploads/2023/10/strategisk-ejerskabsdokument-for-ifu-endelig-version-pdf.pdf>



competence is in place to manage IFU's material IROs in alignment with international best practise standards.

IFU also has a sustainability advisory board with external representatives who collectively have experience in climate change, diversity, equity, and inclusion, human rights, business integrity, corporate governance, biodiversity, development impact and additionality, as well as corporate sustainability accounting and reporting.

Information provided and sustainability matters addressed

Both the executive management and the board have been informed of the results of the double materiality assessment, and the material IROs identified corresponds to IROs addressed in IFU's core business activities and daily operations.

IROs are considered during strategy development and for each investment transaction, where both the financial and sustainability aspects are assessed. Risk management is embedded into the entire investment process and trade-offs are avoided by ensuring that all investments provide a substantial contribution, as well as ensuring that no significant harm is caused, and minimum social safeguards are implemented.

The board is informed about the results and effectiveness of policies, actions, metrics and targets adopted to address material IROs through board meetings every second month. Specific sustainability matters addressed in 2024 included:

- Review of sustainability-related policies and update of Sustainable Investment Policy approved in December 2024, see p. 52.

- Initiating the development of a climate transition plan for IFU to achieve a net-zero portfolio in 2040, see p. 66.
- Strengthening of corporate governance measures with related tools and training throughout the organisation, see p. 81.

Statement on due diligence

IFU's approach to due diligence is based on the IFC Performance Standards and follows the UN Guiding Principles on Business and Human Rights (UNGPs) and OECD Guidelines for Multinational Enterprises on Responsible Business Conduct. The due diligence

process is addressed by IFU's investment strategy, anchored in IFU's sustainable investment policy and operationalised in the investment process. The following table provides a mapping of how and where the main aspects and steps of the due diligence process are reflected in this sustainability statement.

Core elements of due diligence	Reference in this sustainability statement
Embedding due diligence in governance, strategy and business model	IFU's investment strategy defines IFU's impact priorities, see p. 11, which is the basis of identifying positive impacts related to investments. IFU's sustainability policy framework details the requirements and standards against which investment opportunities are assessed during due diligence, see p. 52.
Engaging with affected stakeholders in all key steps of the due diligence	IFU ensures that stakeholders affected by its investments are consulted during due diligence on an informed and participatory basis that promotes inclusiveness, see p. 77.
Identifying and assessing adverse impacts	IFU conducts thorough due diligence for each investment, identifying and assessing risk and adverse impacts, as well as opportunities for value and impact creation, see p. 55. For climate-related assessments, see p. 67. For assessment in relation to business conduct, see p. 81-82.
Taking actions to address those adverse impacts	IFU works with investees to identify adverse impacts and related mitigation measures, detailing and implementing actions that fill gaps that emerge during due diligence. These requirements are detailed in IFU's sustainable investment policy and underlying thematic policies, which define the relevant international standards, see p. 52.
Tracking the effectiveness of these efforts and communicating	IFU monitors investees' sustainability performance as related to positive and negative impacts, as well as the implementation of action plans annually to drive impact and value creation, p. 55. IFU reports on its overall sustainability progress through this sustainability statement.



IFU's INVESTMENT PROCESS

IFU has a well-defined investment process covering multiple phases of the investment process, from the moment a potential investment is identified, to the point when IFU exits the investment. The investment process is guided by IFU's impact priorities and financial return requirements, via sector focus areas and involves comprehensive and thorough end-to-end due diligence across all sustainability topics.

Investment phase	Key activities
Purpose	
Sourcing and screening Identify potential investments within IFU's focus sectors that contribute to IFU's impact criteria and financial returns.	- Utilise extensive network of advisors, investment bankers, fund managers and like-minded investors to identify investment opportunities. - Maintain strong local presence through regional offices and participate in events to expand network and keep IFU top of mind with companies in IFU's focus sectors that are looking to raise capital. - Screen investment opportunities against IFU's exclusion list and exclude companies whose business activities are not compliant. - Screen investment opportunities against IFU's impact priorities to ensure strategic alignment and high impact creation, including the consideration of financial and non-financial additionality.
Assessment and agreement Identify and assess material impacts and ESG risks to be addressed and define impact and value creation.	- Conduct comprehensive assessment of potential and actual investment-related impacts and ESG risks (applying the risk mitigation hierarchy). - Identify how the investment will create positive development impact and agree with the investee on an impact creation plan, including an impact results framework that establishes impact indicators with related baselines and annual targets, to monitor impact performance during the investment period. - In case of non-compliance with IFU's policy requirements, as related to relevant international sustainability standards, agree with the investee on sustainability action plans detailing mitigation measures to be implemented within agreed timeframes. - Negotiate and sign the transaction agreement that includes contractually binding commitments on impact creation plans and ESG action plans. - Define provisional criteria to exit the investment at a specified date.
Active ownership Drive impact and value creation with partners	- Participate in board meetings and use IFU's leverage to ensure impact and financial performance. - Monitor the investee's performance and mitigate in response to deviations from the impact results framework and sustainability action plans. - Review and approve annual sustainability report and annual progress reporting on the targets in the impact results framework, to evaluate the investee's sustainability performance. - Review exit planning with investee.
Exit Conclude the ownership with due consideration of a responsible exit.	- Evaluate the investment results, including the impact and value creation achieved during the investment period. - Define exit route, considering how to take precautionary measures to ensure the investee maintain focus on impact creation and mitigating ESG risks. - Support investee in attracting like-minded buyers with high ambitions for impact and value creation and negotiate with potential buyers.



Risk management and internal controls over sustainability reporting

The scope of risk management and internal control processes in relation to sustainability reporting spans across all IFU's investments and the main features span across the ESRS topics. Categorisation of risk into high, medium and low risk categories occurs and is applied using methodologies relevant to each area investigated during due diligence.

ESG risks for each investment are integral to investment decisions and are considered by IFU's investment committee and IFU's board of directors.

The typical ESG risks that are identified, mitigated and monitored in the investment process include the following:

- Lack of ESG policy, environmental and social management systems and adequate corporate governance procedures.

- Lack of internal ESG capacity, in other words dedicated staff assigned to sustainability management and/or technical expertise.
- Lack of grievance mechanism for internal and external grievances.
- Lack of adequate human rights risk management across the organisation, including consideration of gender-based violence and harassment.
- Lack of climate risk assessment and the consideration financial risks related to climate change.

ESG risk management is core to IFU's operations and value-add, and IFU's approach is a key dimension that is integrated into the double materiality assessment, which also addressed IFU's financial risks. For details on IFU's management of additional financial and commercial risks, see p. 89.

Interests and views of stakeholders

IFU is committed to actively engaging stakeholders representing a wide variety of interests, knowledge and insights into topics that are relevant for IFU to consider when making investments in developing countries. This allows IFU to respond to interests of IFU's owners and investors, as well as meet expectations from the investment partners.

IFU is charged with dispersing capital that has a positive impact, alongside ensuring acceptable return on investment. IFU's investment strategy and impact model aims at reduced inequality, climate action and gender equality, based on contributing to decent work for value chain workers and economic growth, all of which are important to affected communities and end-users.

Promotion and protection of human rights is a key concern, and IFU has embedded in its investment process several measures to safeguard the rights of value chain workers, affected communities and end-users. Local community engagement occurs indirectly through investees and for some investments, IFU's due diligence includes community consultation, see p. 77. Even though nature can be considered a silent stakeholder, protecting nature and limiting environmental impact is also a key concern for IFU and addressed thoroughly during due diligence.

IFU acknowledges that its investments can create both positive and negative impacts, and that the interpretation of an impact may differ for the different interest groups and affected people. In addition, an initially positive impact can over time become a negative impact. This is for example the case for energy investments based on fossil fuel that used to be seen as a positive contribution to development but now jeopardise the opportunity to improve peoples' lives within the boundaries of the planet due to their contribution to climate change. This illustrates that defining impact is a moving target, and that IFU therefore continuously engages and assesses the IROs, on a general level and for the individual investments.

IFU's board of directors is informed about the views and interests of affected stakeholders through board meetings.

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CBI Ghana, cement production.



Stakeholder group	Stakeholder interest	Why IFU engages with stakeholder group	How IFU organises the engagement	How IFU uses input from stakeholder group
IFU staff	To have a healthy working environment and contribute to an organisation that cares about the future of the world and humanity.	To promote IFU's core values and responsible business conduct measures and evaluate employee satisfaction.	Employee satisfaction surveys conducted every second year. Moreover, employee engagement happens via joint cooperation and health and safety committee (SMU) four times a year.	The outcome of the engagement is taken into account when considering possible changes in IFU's strategy, business model and operational procedures.
Owner • Danish parliament • Danish Ministry of Foreign Affairs (MFA)	To enhance global partnerships of Denmark through promoting Danish foreign policy and development policy priorities, incl. targets on climate finance and development aid.	To align on IFU overall strategic direction and agree on progress towards targets for the deployment of capital.	Regular meetings with MFA representatives, incl. standing meetings with State Secretary for Development Policy and the MFA observer sitting on IFU board. IFU furthermore presents to MFA and the Council for Development Policy, on an as needed basis.	MFA inputs, e.g. included in the strategic ownership document for IFU, are implemented via IFU's investment strategy and impact priorities.
Investors • Danish pension funds • Other private investors	To contribute towards responsible private sector investment and also achieve acceptable returns.	To ensure alignment between investors' intentions and IFU's investment strategy.	Regular investment committee meetings directed by investors and regular reporting to investors.	Investor intentions are embedded in IFU's investment strategy to source appropriate investment opportunities.
Investment partners and financing organisations • European Development Finance Institutions (EDFIs) • Multilateral development banks (MDBs) • Private impact funds • EIFO	To align on creating impactful and sustainable investments.	To provide valuable regional and global expertise that supports best-in-class impact investing.	Participation in relevant conferences, and engagement in EDFI seminars and thematic working groups. Engagement with MDBs and aligned impact investors occurs via co-investing. Participation in joint speaking engagements and panels.	Investment partner inputs and experience provides inspiration, networks, standards and harmonisation and supports impact and value creation in investments.
Investees	To engage in partnership with IFU enabling viable and impactful investments in IFUs target markets.	To source and build viable and impactful investments, and to ensure IFU offers relevant instruments and support in implementing investment cases.	Continuous interactions with potential investees at market conferences etc; in-depth engagement with investee candidates as part of due diligence and investment process and regular engagement with investees during active ownership.	Investee inputs are valuable during investment design and accurately inform performance monitoring during the investment period.



Stakeholder group	Stakeholder interest	Why IFU engages with stakeholder group	How IFU organises the engagement	How IFU uses input from stakeholder group
Industry initiatives • UN Global Compact Network Denmark • DFI Gender Finance Collaborative • 2X Global • International Solar Alliance • HIPSO • GIIN • OPIM • UNPRI	To provide standards that define international best practise for sustainable investment.	To develop a best-in-class approach to impact investing and monitor trends and technical advances in the field of sustainability.	Attend meetings, seminars and webinars, with annual reporting to UNGC, 2X, OPIM and UNPRI.	Knowledge, approaches and tools that are relevant to IFU are incorporated into internal policies and procedures, as well as used to inform interventions with investees.
Business associations • Danish Industry (DI), Danish Chamber of Commerce, etc.	To represent the Danish business community and provide information, support and opportunities for Danish businesses to develop and grow – including providing information on financing for investments in developing countries.	To engage in dialogue with the Danish business community and obtain insights and information about the opportunities and challenges for Danish businesses to invest in developing markets.	Attend meetings, conferences and seminars, and engage in joint speaking engagements.	Insights into the Danish business environment demand and opportunities for investments in developing countries and support in sourcing relevant investment cases.
Civil society groups • IFU Sustainability Advisory Board (Danish Institute for Human Rights, PlanBørnefonden, Preferred by Nature, AP Pension, Danish Trade Union Development Agency, Global Impact Investing Network, Danfoss) • NGOs and think tanks (e.g. Transparency International, CONCITO, Oxfam) • Local communities	To comment on and influence IFU's operations towards the interests of civil society and development goals at large.	To stay informed on the global needs and expectations from for example, NGOs and local community groups. The collaboration with NGOs provides insights into sustainability and developmental challenges and opportunities in developing countries.	Meetings with the Sustainability Advisory Board twice a year on topical issues and trends with participation of members of IFU's executive management. Dialogue meeting with Danish NGOs in 2024.	Insights gained from civil society interactions strengthen IFU's approach to impact investment, specific due diligence work and/or active ownership.
Media	To communicate the intentions and results of IFU's efforts.	To support transparency on IFU's investments and impact results.	Focused engagement with the press in Denmark, EU and in target markets.	Insights gained from the engagement strengthen approaches to communication and impact investing.



DOUBLE MATERIALITY ASSESSMENT (DMA)

Material IROs and their interaction with strategy and business model

The objective of the DMA was to evaluate the ESRS sustainability topics from both the impact and financial perspectives, to identify the sustainability-related IROs in IFU's own operations and value chain that are material to IFU and thus should be reported on.

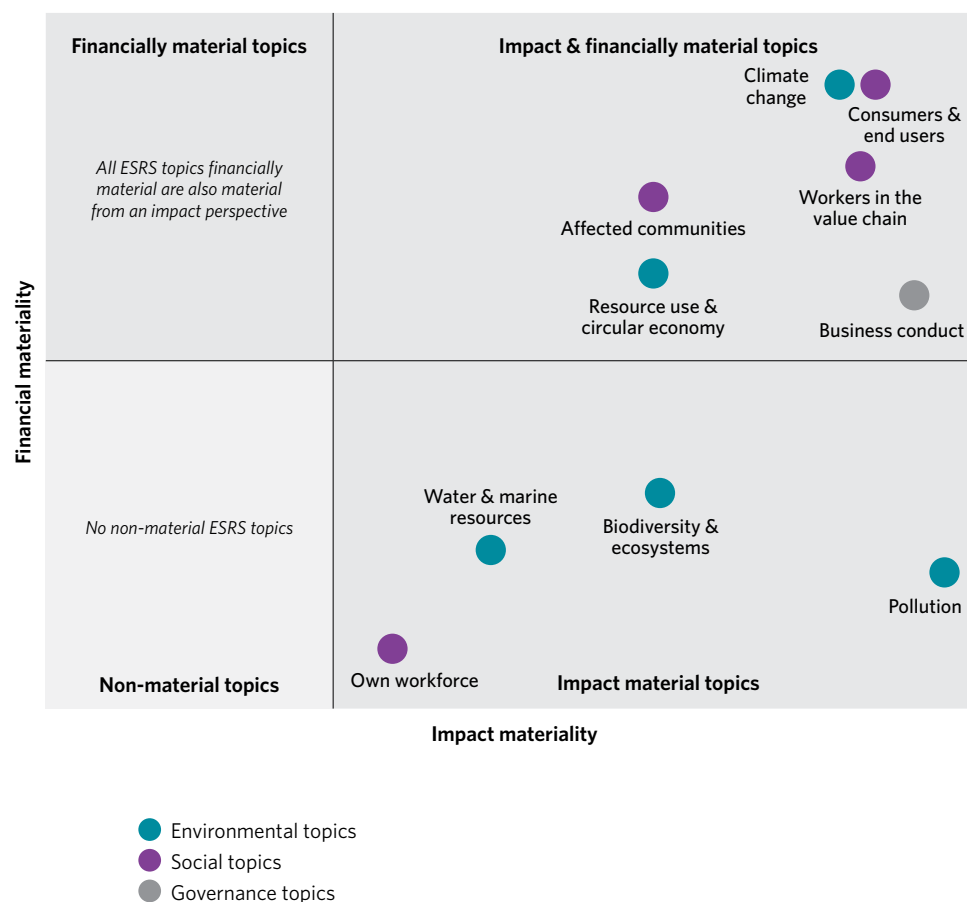
The DMA results clarify that IFU's material IROs are concentrated in IFU's investments, that being in the downstream value chain. The positive and negative impacts and related sustainability risks emerging from the impact materiality assessment correlate to those that are already identified during IFU's due diligence on investment opportunities. Due to the nature of IFU and the need to secure capital to invest into emerging markets, IFU's financial materiality however resides in the upstream value chain in the form of organisations that provide capital to IFU, be it from the Danish government or investment partners.

IFU's raison d'être is to invest in high-risk emerging markets to create positive impact and ensure improved management of sustainability risks. IFU's investment strategy and business model are thus developed around balancing the current and anticipated effects related to material IROs identified in the DMA. The results of the DMA did not reveal any surprises and confirm IFU's understanding of and approach to sustainability management. The results highlight that IFU's positive impact on people and the environment defines and confirms its license to operate and enables it to continue attracting capital. On

the contrary, the occurrence of negative impacts, especially related to bribery, corruption or human rights incidents for example, could significantly affect IFU's reputation and would represent a source of financial risk. This confirms the importance of IFU's thorough due diligence and work with investees to implement adequate mitigation measures across all sustainability topics.

Considering the wide range of investments, IFU contributes to a large spectrum of positive and negative impacts, across all sustainability topics covered by the 10 topical ESRS. Positive impacts are reflected in IFU's investment strategy and more specifically via impact priorities related to the focus sectors. Negative impacts are linked to IFU's investments, especially legacy investments, which are not aligned with IFU's current investment strategy and sustainability requirements and from which IFU is planning to exit in future years. Most of the impacts identified are related to active investments and are therefore relevant in the short-term. The DMA also considered future impacts as related to the medium and long term. Material financial risks and opportunities identified only correspond to anticipated financial effects. Since IFU is expected to invest into high-risk emerging markets, risks are already recognised and taken into account when pricing investments.

Overall materiality results





ESRS topic	Descriptions of material IROs
Climate change	Positive impacts are related to IFU's investments that qualify as climate finance, which demonstrate a substantial contribution towards climate mitigation and/or climate adaptation. An example of an investment that supports climate mitigation is a renewable electricity development. Negative impacts are associated with GHG emissions in the value chain, namely in the investment portfolio, as well as IFU's own operations although to a far smaller extent. While investments into the green transition represent a financial climate-related opportunity for IFU, financial climate-related risks are less substantial, since these risks are already factored into investment decisions. Furthermore, exposures to physical climate-related risks are substantially diluted by geographical and sectoral distribution across the portfolio and always part of ESG due diligence. Climate-related transition risks are safe-guarded mainly by applying IFU's exclusion list, where IFU for example avoids investment into fossil fuels. Limited exposure however remains in IFU's legacy investments, which IFU will exit in the future. No resilience analysis has been conducted to date.
Pollution	Positive impacts are related to IFU's investments that focus on lowering pollution levels, e.g. in wastewater treatment or improved waste management, while negative impacts are associated with investments in higher polluting sectors, e.g. cement manufacturing. Impacts associated with IFU's locations and office activities are assessed not to be material.
Water and marine resources	Positive impacts on water and marine resources are associated with IFU's investments in water treatment and biodiversity restoration, while negative impacts can arise through water consumption of certain sectors of investment. Financial risks associated with the dependency on water and marine resources in IFU's investments are assessed not to be material. Impacts associated with IFU's locations and office activities are also assessed not to be material.
Biodiversity and ecosystems	Positive impacts occur through IFU's investments in nature-based solutions, sustainable agriculture practices and sustainable forestry, and negative impacts can occur when investments are directly affecting biodiversity, e.g. investments in wind farms. Impacts associated with IFU's locations and office activities are assessed not to be material.
Resource use and circular economy	IFU's investments in waste recycling facilities is a source of financial opportunity and positive impact. Negative impacts are associated with investments in sectors with a high consumption of raw material, e.g. cement production, or sectors generating large amounts of waste, or hazardous waste. Impacts associated with IFU's locations and office activities are assessed not to be material.
Own workforce	All IFU's employees are considered in the DMA, and all the identified impacts are directly related to IFU's business model. IFU supports decent working conditions in all geographies. Positive impacts are associated with all employees being covered by inclusivity and data privacy measures as well as employees having a possibility to participate in a union and be covered by a collective agreement. Potential negative impacts are related to employees residing in or travelling to investees' locations in geographies with lower safety levels. This corresponds mainly to staff in regional offices, as well as investment managers and staff in the sustainability and impact team, or legal team. IFU mitigates safety risks by following public travel restrictions and recommendations. Any potential negative impact on employee safety would be associated with individual incidents. There are no material impacts on employees related to the green transition, neither are there identified material financial risks or opportunities, including risk of incidents of forced or compulsory labour.

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ESRS topic	Descriptions of material IROs
Workers in the value chain	All identified impacts and risks are associated with workers in IFU's downstream value chain that has been correlated to the investees' workforce. This includes investments resulting in the creation of special purpose vehicles for investments. No material impacts or financial risks were identified associated with value chain workers working in IFU's locations or in the upstream value chain. By fostering investments that support job creation, IFU has an overall positive impact on the investees' workforce. Positive impacts also originate from IFU's investment strategy that aims to support decent jobs, decent working conditions and increasing gender equality in the investees' workforce. IFU invests in geographies where national labour laws may not be as stringent as in Denmark, for example where national laws do not support collective agreements. IFU therefore works with investees to implement best practice standards on labour rights and human rights, which includes the application of the IFC Performance Standards, the UNGPs and OECD guidelines. However, failing to implement these standards and guidelines effectively may lead to negative impacts. The risk of such negative impacts is assessed to be higher in legacy projects. Occurrence of negative impacts in the investees' workforce would disclose IFU's inability to protect investee' workers' rights, which poses a financial risk, that could affect IFU's ability to attract capital. Women workers are considered particularly vulnerable in geographies not supporting gender equality and especially here, human rights impacts are a source of financial risks. There are no risks related to child labour or forced or compulsory labour as IFU does not invest if there is any evidence of such practices. Furthermore, IFU establishes a zero-tolerance position of such practices with investee companies.
Affected communities	No material impacts were identified in relation to communities living nearby IFU's own locations, but communities near IFU investments' locations may be impacted by the investments. Positive impacts arise from IFU's investment and impact strategy benefiting local communities by providing them with increased access to goods and services, such as renewable electricity, clean water, waste and wastewater treatment, and healthy food. Driving these positive impacts represent a source of financial opportunity for IFU. Negative impacts would arise in the case of individual incidents, and IFU works with investees to implement best practice standards to ensure such risks are identified and managed. This includes the application of the IFC Performance Standards, the UNGPs and OECD guidelines. Indigenous people represent a community group at higher risk of negative impacts, e.g. in energy or agriculture projects, as their rights could be infringed, for instance, if investees' activities are conducted on indigenous land, or if investments led to a community's resettlement before IFU entered the investment. Negative impacts on indigenous communities would disclose IFU's inability to protect their rights and would damage IFU's reputation. This could affect IFU's ability to attract capital, thereby representing a source of financial risk. The consideration of this risk is a strong component in IFUs due diligence.
Consumers and end-users	Positive impacts arise from IFU's investment strategy benefiting end-users, especially the underserved, by providing them with increased access to renewable electricity and healthy food, as well as healthcare and financial services. Driving these positive impacts represent a source of financial opportunity. However, investments in healthcare and financial services are associated with the handling of sensitive personal data by investees and with end-beneficiaries who are dependent on accurate care and information, and negative impacts could occur in case of individual incidents of data breaches, misinformation/misguidance and inadequate care. IFU therefore works with investees to implement best practice standards on human rights, which includes the application of the IFC Performance Standards, the UNGPs and OECD guidelines, and specifically in the case of micro-finance the Client Protection Principles. IFU's failure to protect end-users' rights would damage IFU's reputation, which could affect IFU's ability to attract capital, thereby representing a source of financial risk. No material impacts were identified related to harmful products.
Business conduct	Corporate culture is a positive impact related to IFU's own operations in view of its strong responsible business conduct, sustainability-oriented culture, sustainability and impact team and sustainability-trained investment professionals. IFU's investments in high-risk countries pose a risk of bribery and corruption incidents. Negative impacts could occur in all investments if adequate measures are not implemented, but the risk of negative impacts on business conduct issues, including bribery and corruption, protection of whistleblowers, animal welfare, relationships with suppliers and political engagement and lobbying activities, is higher in legacy projects. Occurrence of corruption or bribery incidents would damage IFU's reputation and is a source of financial risks affecting IFU's ability to attract capital. Positive impacts emerge from IFU's contribution to strengthening a culture of accountability and transparency in developing economies.



PROCESS TO IDENTIFY AND ASSESS MATERIAL IROs

IFU's DMA process is based on the requirements for identifying and assessing material IROs detailed in ESRS 1 and has four stages:

1) Preparation and scoping

The DMA includes the assessment of IFU's own operations, IFU's active investments and hotspots in the investee's value chain. IFU's own activities are considered in the six locations where IFU has offices. IFU's active investments are considered via sub-sectors represented in the portfolio. Value chain hotspots are selected based on where negative impacts could be the most severe and likely to occur. Equities and loans, which are the two predominant financial instruments represented in the portfolio, are considered and the assessment is carried out across IFU's four focus sectors, as well as legacy investments. The assessment is based on IFU policies, processes and procedures, which are based on the application of international standards used to inform best practices. Internal stakeholder meetings were conducted to inform the scoping of the assessment.

2) Identifying and assessing material impacts

Both positive and negative impacts, as well as actual and potential impacts are assessed, taking into consideration IFU's business model and thus the approach to sustainability management. This includes, for example, that IFU would not enter investments if negative impacts are assessed to be too severe and could not be mitigated.

All investment sectors include various sub-sectors, which are all associated with a range of different impacts, and each sub-sector was screened against all ESRS topics and sub-topics to determine whether they are or could be associated with positive or negative impacts.

Impacts are assessed based on the combination of the related severity and likelihood. The severity is a combination of scale (how severe/beneficial an impact is), scope (how widespread) and irremediability (how easy it is to remediate in the case of negative impacts). These dimensions are assessed qualitatively based on a low/medium/high scale. A precautionary principle is applied, meaning that scores should not overestimate the positive impacts nor underestimate the negative impacts. Assumptions were based on specific sustainability issues related to investments and typical to each sub-sector. Material impacts identified at the sub-sector level are aggregated to the sector level, and then further aggregated to get the final DMA results for IFU at entity level.

3) Identifying and assessing material risks and opportunities

In IFU's context, risks and opportunities behave differently and are therefore assessed with a different level of granularity. Opportunities are related to new investment opportunities and IFU's ability to deliver positive impacts on people and the environment and are thus assessed at the sector level. Risks to IFU's reputation and the effect on its overall return on investments are assessed at the IFU entity level, and both negative impacts and social and environmental dependencies are considered.

Risks and opportunities are assessed based on the size of the financial effect, considering the return on investment, the ability to attract capital and its likelihood to materialize. These dimensions are assessed qualitatively based on a low/medium/high scale and combined to identify material risks and opportunities according to set thresholds. Assumptions were based on specific sustainability issues related to investments and typical to each sub-sector. The geographical and sectoral spread of IFU's portfolio is taken into account and is expected to dilute and thus decrease the likelihood of portfolio wide risks and thus the size of financial effects to IFU as an entity. All results are aggregated to determine the final results at IFU entity level.

4) Validation

The DMA methodology and results have been presented to 10 representatives of IFU's internal and external stakeholders. Their feedback is integrated into the assessment, supporting the identification of new IROs scoring and influencing the scores related to existing IROs. Internal stakeholders include the Sustainability & Impact team, Finance team, Investment Management team, Business Management team and People & Culture team. External stakeholders include IFU's Sustainability Advisory Board, FMO (Dutch Development Finance Institution), Danish Ministry of Foreign Affairs, IFU's Board of Directors, and a limited partner investor (PKA Pension Fund).



OVERVIEW OF VALUE AND IMPACT CREATION IN PORTFOLIO

This overview summarises IFU's impact priorities in support of the SDG agenda and the SDG targets that IFU's investments contribute to the achievement of. Listed are also key metrics for the value and impact creation in 2021, 2022 and 2023. These metrics are either aggregated at portfolio level based on data reported by investees or the result of analysis of the performance of the portfolio.

SDG	SDG targets relevant to IFU	Indicators	Unit	2023	2022	2021
 1 NO POVERTY	1.1 Eradicate extreme poverty. 1.4 Ensure that all men and women have equal rights to economic resources, including microfinance.	Total active investment in microfinance (MF) portfolio.	DKK million	581	755	722
		MF clients served.	No. million	20.2	20.8	18.2
		Female MF clients served.	%	86	77	92
 2 ZERO HUNGER	2.3 Double the agricultural productivity and incomes of small-scale food producers. 2.4 Ensure sustainable food production systems and implement resilient agricultural practices.	Total investments supporting small-scale farmers.	No.	22	19	22
		Total small-scale farmers benefitting.	No.	1,407,801	503,291	454,802
 3 GOOD HEALTH AND WELL-BEING	3.7 Ensure universal access to sexual and reproductive healthcare services. 3.8 Achieve universal health coverage.	Patients served.	No. million	1.31	*1.15	1.11
		Female patients served.	No.	497,445	406,490	403,203
 4 QUALITY EDUCATION	4.4 Substantially increase the number of youth and adults who have relevant skills, including technical and vocational skills.	Employees in investments under the age of 30.	%	**21	11	13
 5 GENDER EQUALITY	5.1 End all forms of discrimination against all women and girls. 5.5 Ensure women's full and effective participation and equal opportunities for leadership.	Gender finance investments.	%	40	43	45
		Female employees in investments.	%	35	35	34
		Direct investments with more than 40 per cent women in senior management.	%	25	15	23
 6 CLEAN WATER AND SANITATION	6.1 Achieve universal and equitable access to safe and affordable drinking water for all.	Direct investments that report on water consumption.	%	84	86	76

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SDG	SDG targets relevant to IFU	Indicators	Unit	2023	2022	2021
	7.1 Ensure universal access to affordable, reliable and modern energy services. 7.2 Increase the share of renewable energy efficiency. 7.3 Double the global rate of improvement in energy efficiency.	Total installed capacity of renewable energy investments.	MW	2,844	2,786	2,619
		New installed capacity of renewable energy investments.	MW	1,529	327	1,012
		Total renewable energy generated.	GWh	5,751	5,236	5,291
	8.2 Achieve higher levels of economic productivity through diversification, technological upgrading and innovation. 8.5 Achieve full and productive employment and decent work for all. 8.6 Reduce the proportion of youth not in employment, education or training. 8.8 Protecting labour rights and promote safe and secure working environments.	Total direct employees.	No.	388,277	418,879	377,094
		Total indirect jobs supported.	No. million	4.3	2.7	2.3
		Value added to GDP by all investments.	DKK billion	194	150	73.4
		Direct investments that pay more than the national minimum wage.	%	86	77	64
		Direct investments that pay overtime.	%	67	77	71
		Investments reporting accidents involving workers.	%	42	44	33
		Total occupational injuries.	No.	2,087	2,824	1,753
		Total occupational fatalities.	No.	36	35	19
	9.17 Promote inclusive and sustainable industrialisation and significantly raise industry's share of employment and gross domestic product.	No indicators.				
	10.2 Empower and promote social, economic and political inclusion of all. 10.b Encourage official development assistance foreign direct investment to states where the need is greatest, including least developed countries and African countries.	IFU's own funds invested in poor & fragile countries.	%	17	-	-
	11.1 Ensure access to adequate, safe and affordable housing.	Total beds provided for affordable student accommodation.	No.	988	988	-
	12.2 Achieve the sustainable management and efficient use of natural resources. 12.3 Reduce food losses along production and supply chains. 12.4 Achieve and environmentally sound management of chemicals and all wastes and significantly reduce their release to air, water and soil. 12.5 Reduce waste generation through prevention, reduction, recycling and reuse. 12.6 Encourage companies to adapt sustainable practices and to integrate sustainability information into their reporting cycle. 12.7 Promote public procurement practices that are sustainable.	All investments that have a written sustainability policy.	%	85	82	86
		All investments that have an environmental and social management system.	%	73	66	65
		All investments that have a dedicated person responsible for sustainability.	%	93	90	86
		All investments that have a grievance mechanism for external stakeholders.	%	70	73	67
		Direct investments that have a responsible supply chain management system.	%	67	60	55
		Direct investments that report on waste generation.	%	82	73	70



SDG	SDG targets relevant to IFU	Indicators	Unit	2023	2022	2021
	13.a Mobilise capital to address the needs of developing countries in the context of meaningful mitigation actions.	Climate finance investments.	%	38	43	-
		Attributed GHG emissions.	tCO ₂ e	566,218	***705,875	848,477
		Removed GHG emissions.	tCO ₂ e	0	0	0
		Attributed avoided emissions.	Million tCO ₂ e	0.23	****0.25	****0.25
		Total avoided emissions.	Million tCO ₂ e	3.8	3.5	3.38
		Direct investments that report GHG emissions.	%	32	21	12
	Not applicable yet.	No suitable indicator/s yet.				
	15.2 Promote the implementation of sustainable management of forests. 15.5 Take action to reduce the degradation of natural habitats and halt loss of biodiversity.	Indicators under development.				
	16.5 Reduce corruption and bribery in all their forms.	All investments that have a written stand against corruption or anti-corruption policy.	%	95	84	81
	17.1 Strengthen domestic resource mobilisation to improve domestic capacity for tax and other revenue collection.	Investments paying corporate tax.	No.	123	124	130
	17.17 Encourage and promote effective public, public-private and civil society partnerships.	Corporate taxes reported for all investments.	DKK '000	7,075,040	8,954,111	5,409,967

Restatement notes

*) This figure has been corrected from 1.17 million, from what was previously reported.

**) Youth is now defined as under 30 years of age, according to the ESRS S1, so 2021 and 2022 reflect results according to previous definition of youth being under 25 years of age.

***) The 2022 and 2023 GHG emissions portfolio assessment results have been restated due to a revision in the application of attribution factors. The change improves the assessment methodology by including the use of retained earnings and is aligned with the PCAF methodology.

****) The figure for attributed emission has been corrected, due to changes in the attribution factors.



ENVIRONMENTAL INFORMATION / CLIMATE CHANGE

Introduction to material IROs

The DMA shows that positive impacts on climate change are related to IFU's investments that qualify as climate finance and can demonstrate a substantial contribution towards climate mitigation and/or climate adaptation. Negative impacts are mainly associated with the GHG emissions in the investment portfolio and to a far smaller extent IFU's own operations.

While investments into the green transition represent financial climate-related opportunities for IFU, financial risks related to climate change are considered less substantial. This is due to the fact that these risks are already factored into investment decisions. Furthermore, since climate-related transition risks are largely taken care of by IFU's exclusion of investments in the fossil fuel sector, the remaining climate-related physical risks are substantially diluted by geographical and sectoral distribution across the portfolio and form part of due diligence at investment-level.

The DMA has considered the impacts on climate change based on IFU's annual assessment of GHG emissions across scope 1, 2 and 3. Furthermore, IFU reflected on the potential disruption of IFU's operations, and the potential exposure of investment sectors associated with physical climate-related risks covering for example temperature-related, wind-related, water-related and solid mass-related hazards. A Paris-aligned climate scenario was considered to reflect on financial risks related to transition costs as well as financial opportunities related to new invest-

ment opportunities based on the overall size of current investments in the target sector.

Climate transition plan

IFU is in the process of developing a climate transition plan in support of the Paris Agreement on Climate Change. IFU's approach considers sector-level contributions and decarbonisation levers. The transition plan will inform IFU's business strategy, and the financial implications will be considered in business planning and be subject to approval by IFU's board.

Since 2020, IFU has assessed the carbon footprint of its investment portfolio annually as part of the transition towards net-zero. The assessments show, that IFU's portfolio footprint has decreased, indicating that the Climate Policy has successfully steered investment decision-making towards reducing the average GHG emission intensity across the portfolio, see p. 68-69.

POLICIES

IFU's portfolio

The objective of IFU's Climate Policy is to ensure that IFU substantially contributes to mitigating climate change by financing projects that avoid, reduce or remove GHG emissions, while IFU also continues to invest in climate adaptation to build resilience and reduce vulnerability for the investment itself within countries and populations in the areas of operation.

The policy applies to all new investments, since the approval of the policy in 2022, and outlines IFU's

support of the Paris Agreement and its goal of holding the increase in global average temperature to 1.5 °C. As signatory to the EDFI Statement on Climate and Energy Finance, IFU has committed to align all new financing with the objectives of the Paris Agreement since 2022 and to transition investment portfolios to net-zero GHG emissions by 2050 at the latest. A commitment, which IFU has brought forward to 2040.

The policy includes a 50 per cent volume target on new direct investments needing to qualify as climate finance thus contributing to positive impacts on climate change and representing financial climate-related opportunities. These investments are screened against the EU Taxonomy thresholds and the multi-lateral development banks (MDB) common principles for climate finance tracking. If not covered by the EU Taxonomy or the MDB list, the activity must be at least 20 per cent lower emitting than the most likely alternative (greenfield) or what is being replaced or upgraded (brownfield) and have an emissions intensity significantly lower than the sector average or performs in the top quartile compared to the rest of the sector.

IFU is considering the short, medium and long-term risks into the pricing of investments, as well as identifying opportunities for climate change resilient technologies and adaptation measures that can be put in place as part of the investment. Energy efficiency projects are considered as transitional activities, which are still part of GHG-emissive systems, but are important and contribute to the transition towards a climate-neutral economy, e.g. energy efficiency improvements in manufacturing or climate-smart agriculture. Furthermore, IFU's

investment strategy has green energy and infrastructure as a focus sector with extensive efforts applied to ensure the deployment of capital in support of renewable energy investments. Renewable energy projects are aligned with the EU Taxonomy substantial contribution criteria for climate mitigation.

IFU agrees with the OECD that the rate of country transitions to a low carbon economy will vary, as due consideration should be given to fundamental development needs, like decent jobs and access to water, food and energy. Consequently, IFU has the option to make investments that meet fundamental development needs in the least developed and low-income countries, even if it is in high GHG emitting sectors. The conditions that qualify these investments are stringent and requires that the risk of lock-in to emission intensive production is lowered, or that lower emitting alternatives are unfeasible for technical or economic reasons. For more details, see IFU's Climate Policy⁴.

IFU's own operations

IFU's Sustainability Policy covers IFU's commitment to integrate sustainability considerations in its own operations at its head office and regional offices and is based on IFU's support of the UN Global Compact principles. The policy addresses the negative climate impact by encouraging IFU to continuously strive to limit its energy consumption, apply energy efficient solutions and increase recycling of waste. It also commits IFU to source renewable electricity and pay attention to environmental issues in purchasing of goods and services.



4) <https://www.ifu.dk/wp-content/uploads/2022/06/IFU-Climate-policy-of-April-2022.pdf>



The executive management is accountable for the implementation of the policy, and the climate-related performance is monitored through annual measures of IFU's GHG emissions. The Sustainability Policy was replaced by IFU's Sustainable Investment Policy at year-end 2024, and sustainability commitments for IFU's own operations will in 2025 be included in IFU's updated policy on corporate governance.

ACTIONS

IFU's portfolio

IFU prioritises investments with lower GHG intensity than the portfolio average and considers how to support its investees in aligning with the Paris Agreement both at the selection stage and through continuous GHG emission reductions during the investment period.

IFU screens all potential investments against IFU's exclusion list and the commitments in IFU's Climate

Policy including its climate finance target, which determines the scope of investments related to climate mitigation and adaptation. The exclusion list avoids fossil fuel-related investments, which provides an initial mechanism to avoid GHG emissions lock-in. However, for a limited number of legacy investments, GHG emissions are locked-in until the investment is exited. In 2024, legacy investments related to coal, oil and gas-related economic activities amounted to DKK 252 million, or 3 per cent of the portfolio volume and thus the exposure is considered limited. These legacy investments were made before IFU's investment strategy was adopted in 2021 and are thus not strategically aligned in today's terms.

As part of its due diligence, IFU conducts GHG ex ante assessments for investments over 10,000 tCO₂e and >25 mDKK. The assessment of the estimated total GHG emissions includes scope 1, 2 and 3. Avoided GHG emissions are calculated for investments in renewable energy and reduced GHG emissions are calculated for energy efficiency investments, or in investments where reduced or avoided emissions are clearly evident.

As most investments are expected to generate actual GHG emissions, although at a decreasing intensity, IFU requires all high emitting investments to also deliver significant avoided emissions. At the same time, IFU may strategically exit legacy high-emitting investments, as was the case with Power Cement in 2024.

Another measure reducing IFU's portfolio carbon footprint is investments in carbon sequestration and removal. This includes investments in projects that leverage natural processes to remove emissions such as Nature-based Solutions (NbS) and IFU's investment in SAIFF in 2024. Furthermore, IFU is working with its financial institutions and funds to make their finance flows consistent with the Paris Agreement and requires them to apply IFU's exclusion list to all

new transactions. IFU may also identify climate change resilient technologies and adaptation measures to be put in place as part of the investment.

In 2024, IFU continued the development of a tool to track the journey towards net-zero GHG emissions. IFU is also developing scenarios to establish decarbonisation pathways for its investment sectors and creating an overview of scope, methodologies and frameworks. This includes how residual emissions allowing for sectoral variations per recognized decarbonisation pathway will be neutralized, e.g. via GHG removals. The work forms part of the development of IFU's climate transition plan and will proceed in 2025. To this end IFU will continue to resource staff and develop tools and sector guidelines to assist its investment decisions.

IFU's own operations

In 2024, IFU's head office in Copenhagen continued to source 100 per cent renewable electricity, and renewable electricity is also used by IFU's service providers to run IT servers and cloud-based services. Furthermore, to reduce travel-related emissions, IFU continued to encourage employees to replace physical meetings with digital, whenever possible. However, employees will still need to visit investees to conduct due diligence and participate in board meetings as part of IFU's active ownership.

METRICS AND TARGETS

IFU's target of having minimum 50 per cent of new direct investments every year measured by contracted amount qualifying as climate finance was introduced in 2022 in IFU's Climate Policy. Aligned with the policy objectives, the target helps to track the effectiveness of the policy and actions related to material climate-related opportunities in the portfolio.

Prior to the policy adoption in 2022, IFU con-

ducted a benchmark exercise amongst EDFIs that had set climate targets based on best practice in the market at that time. In addition, IFU's owner, the Danish Ministry of Foreign Affairs gave input into setting the target, which was also presented and agreed with IFU's sustainability advisory board.

The target considers the wider context of sustainable development and/or local situation in which impacts take place by supporting IFU's impact priority of building green societies that directly links to SDG 13 regarding climate action, see p. 11. IFU monitors impact on SDG 13 and private capital mobilization at the portfolio level.

Performance against the target has been measured annually since 2023, and with 75 per cent of new direct investment volume qualifying as climate finance in 2023 and 58 per cent in 2024, IFU has both years surpassed the target.

In 2024, the methodology for determination of the attribution factors has changed due to scrutiny of the previously applied methodology. It is IFU's judgment that the newly developed attribution factors are in closer alignment with PCAF by using Share of Financing rather than the Outstanding. Consequently, there are two sets of results in this report: one for 2020-2022 using the previously applied methodology for the attribution factors and another for 2022-2023 where the revised attribution factors has been applied.

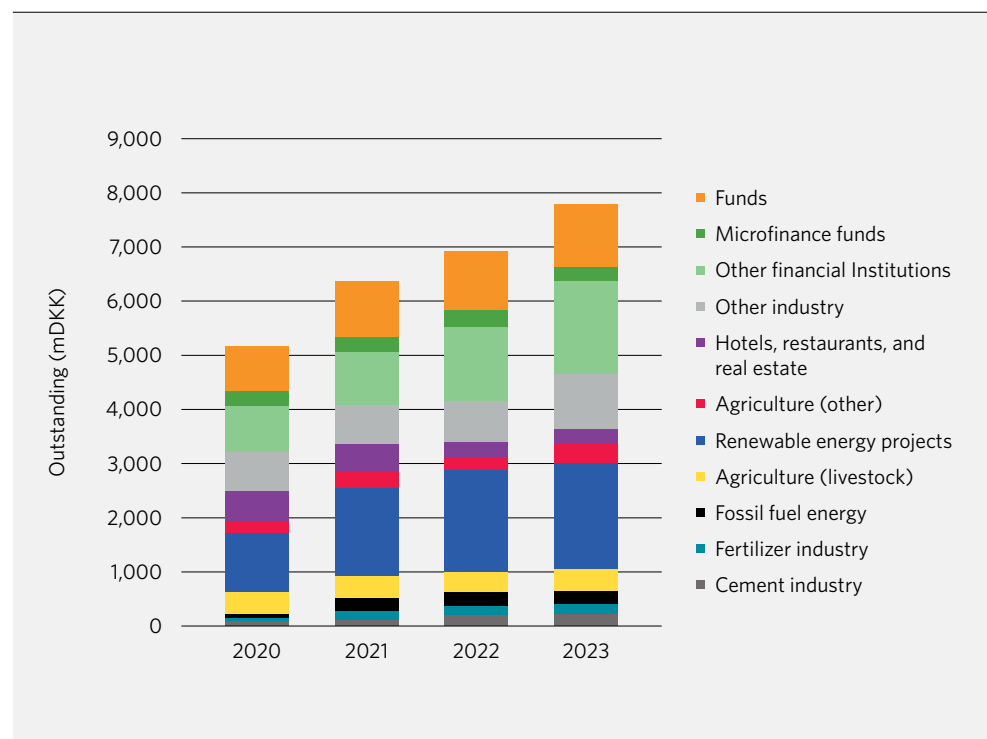
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Cleanmax, India.





Figure 1: Composition of IFU's outstanding portfolio 2020 - 2023



GHG emissions and carbon intensity in IFU's portfolio

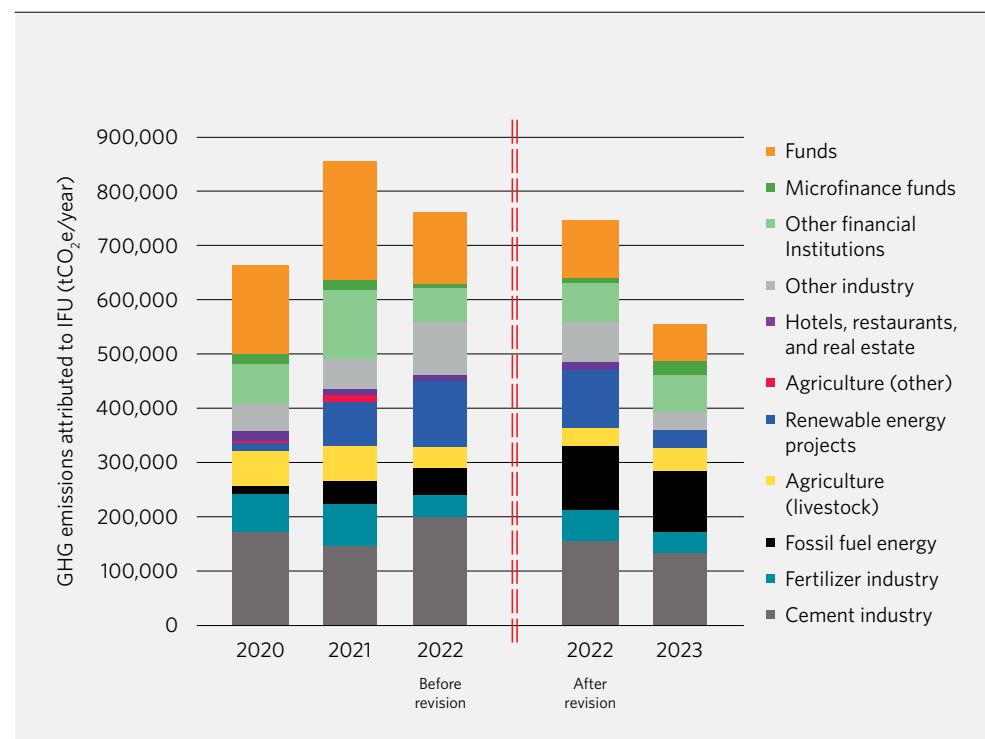
GHG emissions attributed to IFU's portfolio are indirect emissions referred to as financed emissions, which fall under scope 3 category 15 in the GHG Protocol, see p. 84. The financed emissions are defined in alignment with the "follow the money" principle, meaning that the money from loans and investments should be followed, as far as possible, to understand and account for the climate impact that IFU contributes to in the real economy.

IFU's investment volume increased in 2023 to DKK 7.8 bn. from DKK 6.9 bn in 2022, see figure 1.

Despite the growth in the volume invested in the portfolio, total attributed GHG emissions decreased. GHG emissions attributed to IFU's outstanding portfolio in 2023, are estimated at 566,200 tCO₂e, a decrease of approx. 25 per cent from the 2022 estimate, see figure 2.

The largest contributors in terms of attributed GHG emissions are energy producers and cement sector in-

Figure 2: GHG emissions attributed to IFU's outstanding portfolio composition 2020 - 2023



vestments. The cement industry constitutes approx. 24 per cent of the portfolio emissions in 2023 although emissions from this sector decreased slightly from 2022 because of lower production volume.

Some renewable energy investments also feature high in both proportion and GHG emissions, due to the construction phase that corresponds to relatively high emissions. This effect is however reduced since IFU also has renewable energy investments that have reached the end of their two-year construction phase

and therefore emit far less in the operation phase.

The fossil fuel portfolio has not increased in number of investees, but due to the revised methodology of calculating the attribution factor, IFU will take upon a larger share of the emissions in this sector. An example is Eranove which constitutes more than 10 per cent of IFU's total attributed emissions. Due to a decrease in produced electricity the emissions from the fossil fuel sector has decreased by 5 per cent.





IFU has two investments in fertiliser companies, which are both high emitters. KAFCO produces urea and ammonia whereas Ramagundam Fertiliser specialises in production of ammonia. For KAFCO, the production volume decreased from 2022 to 2023 resulting in a share of IFU's GHG footprint of 7 per cent in 2023. Ramagundam Fertiliser increased their production – but due to updates of emission factors, the attributed emissions from Ramagundam Fertiliser remained approximately the same in 2022 and 2023.

The calculated emissions from the funds have de-

creased from 14 per cent of the overall portfolio emissions to 12 per cent of the overall portfolio emissions. The most important and influential reason is that the funds have reported significantly better data – for example by providing revenue for their portfolio companies and vital information related to sector distribution in their underlying portfolios. This allows for a more specific and precise emissions analysis using JIM. This is also the case for the financial institutions where the reduction in emissions from 2022 to 2023 is approx. 6 per cent.

As seen from figure 2, the emissions from agriculture livestock have also increased, and this is due to increased production volume and exposure.

As seen in figure 3, the estimated GHG emissions intensity for the 2023 portfolio is 73 tCO₂e per million DKK outstanding. This is a significant decrease of 33 per cent from the 2022 estimate of 109 tCO₂e per million DKK outstanding.

Changes in IFU's portfolio carbon footprint

As IFU's portfolio size will increase significantly and

the composition changes over time, annual variations, and even increases in the financed emissions and thus IFU's portfolio carbon footprint, may be observed. The annual changes in carbon footprint of the portfolio within IFU's control are linked to which investments enter and exit the portfolio.

Changes outside of IFU's control include changes in the total assets of the funds and financial institutions, changes in investees' activities such as an increase or decrease in production, changes in the type



Figure 3: IFU's outstanding portfolio, attributed GHG emissions and GHG emissions intensity 2020 - 2023

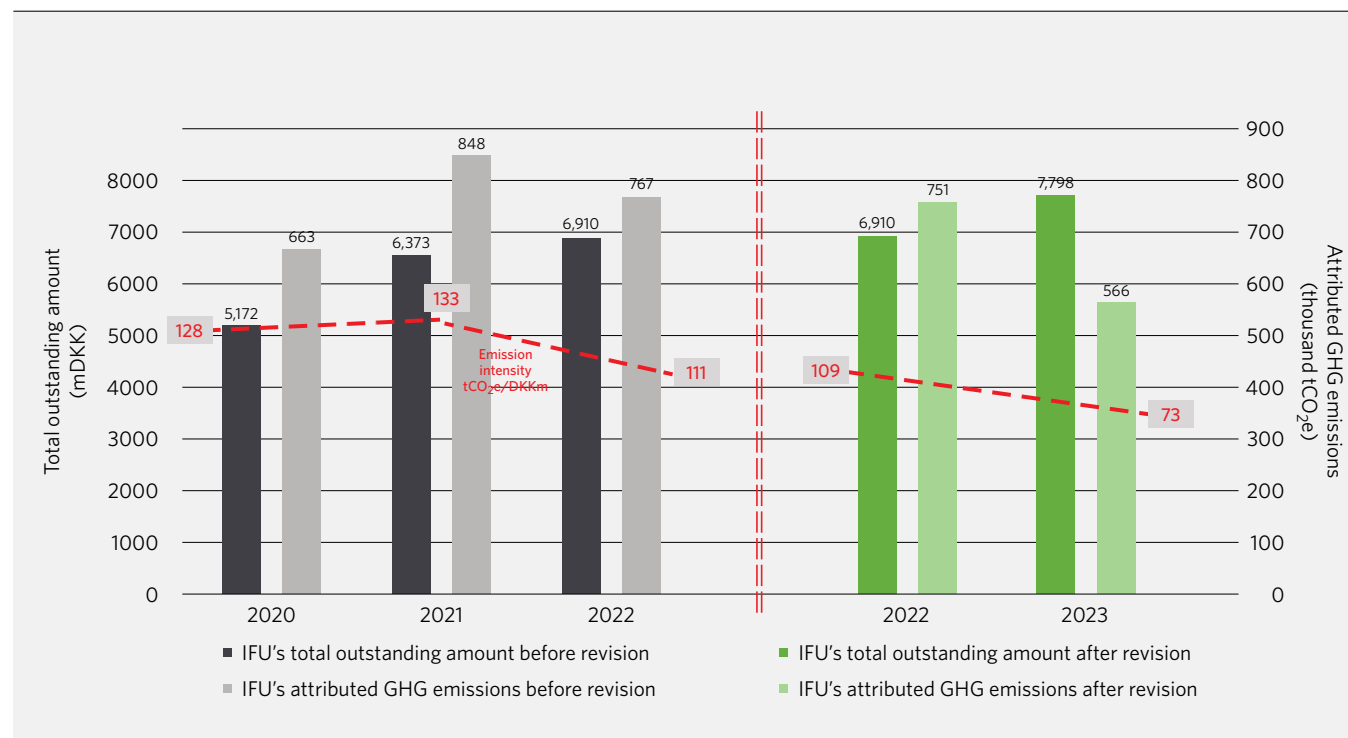
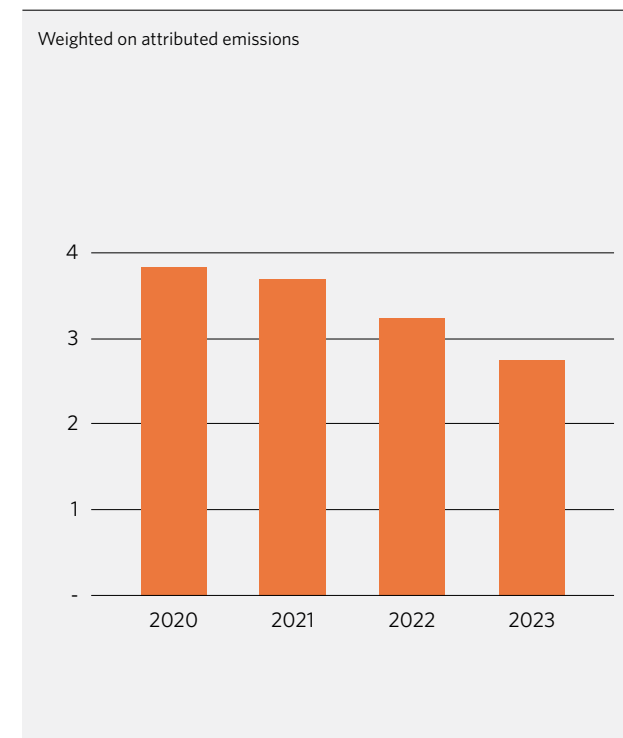


Figure 4: Data quality score in portfolio 2020 - 2023





and quality of data reported by investees, changes in emission factors and increased sector granularity used for the assessment.

The granularity of data reported from funds, banks and MFI in both 2022 and 2023 has improved significantly, due to an increased share of data from

their respective investee emissions, energy consumption, production volumes, etc. thus increasing the accuracy of the results. IFU's assessment of data quality has been prepared in line with the recommendation from the Partnership for Carbon Accounting Financials (PCAF), see figure 4.



Lake Turkana Wind Power, Kenya, exited by the SDG Fund in 2024.

The results of the data quality assessment show a decrease in score that equates to an improvement of data quality in 2023. In parallel to the PCAF approach, this data quality score was calculated in two steps:

- At investment level, which produces a single data quality score, calculated as a weighted average of the investment's emissions across Scopes, where the weight is the tCO₂e of emissions, and
- At portfolio level which calculates a portfolio quality score as weighted average across investments, where the weight is the investment's attributed emissions.

This has two advantages; in that it allows IFU to work with a single quality score at portfolio level and reflects IFU's approach of prioritizing the improvement of data quality with investees that have high emissions.

Renewable energy capacity and avoided emissions in IFU's portfolio

IFU's portfolio included renewable energy investments with an overall installed capacity of 2,844 MW in 2023. This increase results from continuous installation of capacity at existing investments. The portfolio generated 5,751 GWh renewable energy in 2023, an increase of 10 percentage points from 2022 and resulting from new generation capacity becoming operational. The renewable energy generated results in 3.8 million tCO₂e emissions avoided in 2023, of which 0.23 million tCO₂e avoided GHG emissions can be attributed to IFU.

GHG removals and storage in IFU's portfolio

IFU invests in carbon sequestration and removal projects and does not anticipate off-setting emissions based on the purchase of carbon credits as part of its

decarbonisation approach. In 2024, IFU invested in three projects that involved sequestration of carbon. Going forward, IFU will develop a portfolio approach for calculating sequestered emissions by collaborating with other EDFI members and aligning with international standards.

GHG emissions from IFU's own operations

The GHG emissions related to IFU's own operations constitute scope 2 and scope 3, as IFU has no direct scope 1 emissions. Scope 2 emissions relate to IFU's energy consumption at its locations. The location-based emissions were calculated for the first time in 2024 and amounted to 120 tCO₂. The market-based emissions were 8 tCO₂ and thereby significantly lower than the location-based emissions, due to the sourcing of renewable energy. Scope 3 includes emissions from products and services for the head office in Copenhagen as well as business travel, which in 2024 amounted to 1,034 tCO₂ and decreased by 8 per cent compared to 2023. A rising trend is anticipated going forward, as a result of an increase in IFU's portfolio, as well as the number of IFU employees. In 2025, IFU will consider including GHG emissions from employee commuting in the calculation of scope 3.



ENVIRONMENTAL INFORMATION / POLLUTION PREVENTION AND RESOURCE USE

Introduction to material IROs

The DMA confirms that positive impacts emerge when IFU's investments focus on reducing consumption of resources and lowering pollution levels, e.g. investments in wastewater treatment and waste recycling facilities. On the other hand, negative impacts are associated with investments in sectors with a high water or raw material inflow and in higher polluting sectors such as cement manufacturing. Impacts associated with IFU's locations and office activities are assessed not to be material.

The DMA has considered sector-specific impacts, rather than site-location assessments due to the high number and geographical spread of investments and has involved consultations with representatives of affected communities. Focus has been on identifying industry-related pollution issues, sector-specific consumption of inflows and waste generation as well as water and marine resource-intensive industries and

assessing the extent to which they relate to IFU's investments. Financial risks and opportunities were assessed considering how circular economy could affect IFU's ability to attract capital and return on investments.

POLICIES

IFU is committed to supporting and promoting a preventative and precautionary approach to environmental challenges in accordance with UN Global Compact and to conduct environmental due diligence to guide IFU's investments in accordance with the IFC Performance Standard 3 on Resource Efficiency and Pollution Prevention, as well as the OECD Guidelines for Multinational Enterprises. By continuously focusing on preventing and minimising adverse impacts on the environment and nature related to its investments, IFU works to ensure that local stakehold-

ers are not exposed to unhealthy environments, and that they have access to and benefit from ecosystem services. For details, see IFU's Sustainable Investment Policy.

ACTIONS

As part of the investment process, IFU conducts a comprehensive assessment of all investments to identify material environmental risks and adverse impacts, as well as any gaps in relation to requirements in IFU's Sustainable Investment Policy and relevant international sustainability standards. Since 2015, investees have been required to adopt a written sustainability policy and establish an environmental and social management system to ensure continuous identification, assessment and management of risks and adverse impacts as well as continuous improvement of sustainability performance. Investees must also appoint a person with overall responsibility for sustainability who has appropriate knowledge of sustainability issues related to the investee. The requirements must be met within an agreed timeframe defined in an action plan and are thus not an entry condition for funding.

IFU encourages direct investments to demonstrate resource efficiency, e.g. efficient water consumption and proper handling of waste and recycling, where these issues are assessed to be material. Furthermore, IFU is pursuing investment opportunities in the recycling and circular economy sector.

METRICS

Policies and management systems in portfolio

The sustainability policy is a key performance indica-

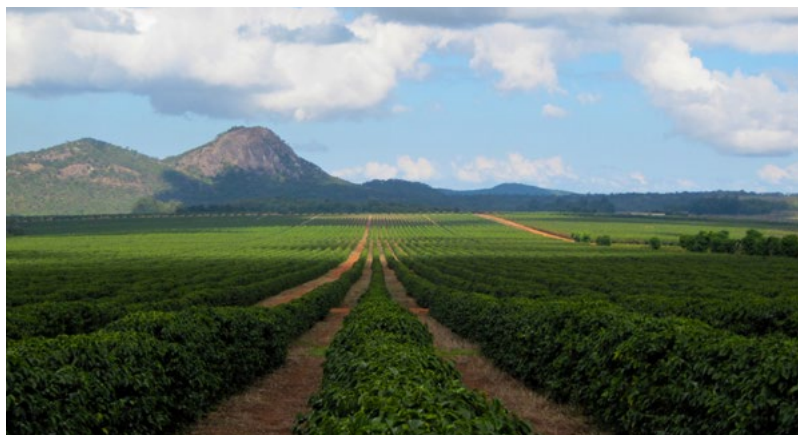
tor that offers evidence of the investees' sustainability commitments. IFU finds it satisfactory that 85 per cent of the investees that submitted reports have a written sustainability policy in 2023, a 3 per cent increase from 2022. IFU has a dynamic portfolio, and new projects entering it will take time to establish the required sustainability policy.

For direct investments, the environmental and social management system is an indicator of the investees' ability to manage their adverse impacts, while for the funds and financial institutions it expresses their ability to address sustainability risks related to their portfolio and clients. In 2023, 73 per cent of the investees reported that they have an environmental and social management system. With many direct investments being greenfield investments, where the establishment of the management system is not in place at the start of the investment, IFU finds the increase of 7 percentage points from 2022 satisfactory.

IFU is also satisfied to see that 93 per cent of the investees have appointed a dedicated person responsible for sustainability, which is a satisfactory increase of 3 percentage point from 2022. This has been an IFU requirement since 2015 and is considered essential for managing sustainability at an operational level.

Water consumption and waste generation in portfolio

In 2023, 84 per cent of the reporting direct investments have disclosed water consumption figures, a slight decrease of 2 percentage points since 2022. 82 per cent reported waste generation figures, a noticeable increase of 9 percentage points since 2022, and IFU continues its efforts to improve data collection and quality.



Global Tea, Africa regional investment.



ENVIRONMENTAL INFORMATION / BIODIVERSITY

Introduction to material IROs

The DMA associates positive impacts to IFU's investments in nature-based solutions or sustainable agriculture practices while negative impacts emerge when investments are directly affecting biodiversity, e.g. investments in wind farms. No material impact on biodiversity and ecosystem services are identified for IFU's own operations, which are all located in urban areas. Biodiversity is also not assessed to be a source of material financial risks and opportunities.

The DMA has considered IFU's focus sectors of investments, as well as legacy investments addressing both direct and indirect impacts on biodiversity through the impact on drivers of biodiversity loss. Both positive and negative impacts were identified considering industry-specific issues related to each sector and sub-sector. Positive material impacts on biodiversity were considered when investments directly benefit biodiversity, e.g. through reforestation or restoration of ecosystems. Transition and physical risks as well as systemic risks were considered when identifying relevant financial risks and opportunities associated with the effect that dependencies on biodiversity and ecosystem services can have on IFU's return on investment and ability to attract capital. Consultations with representatives of affected communities on sustainability assessments of shared biological resources and ecosystems were conducted.

POLICIES

IFU is committed to contribute to the Global Biodiversity Framework (GBF) adopted at the UN Biodiversity Conference December 2022 (COP15)⁵. In addition, and as per IFC Performance Standard 6 on Biodiversity Conservation and Sustainable Management of Living Resources, IFU will avoid investing into deforestation activities, activities located in UNESCO Natural and Mixed World Heritage Sites and activities located in sites that fit the designation criteria of the Alliance for Zero Extinction (AZE) sites⁶. IFU acknowledges that the protection and restoration of biodiversity and ecosystems play a very important role in assisting developing countries prosper, increase their resilience and improve local livelihoods. Thus, the consideration of biodiversity is included in IFU's Sustainable Investment Policy, and IFU is furthermore preparing its first stand-alone biodiversity policy to be published in 2025. The policy will apply to all new IFU investments and strengthen the integration of biodiversity considerations into all investment decisions.

ACTIONS

As part of the investment process, IFU conducts a biodiversity screening to inform the decision of the lo-

cation of the investee and to scope the due diligence if the screening reveals that a special focus on biodiversity is required. IFU uses the screening tool, IBAT⁷. Based on the geographical location of a potential investment, IBAT can provide up-to-date information on key biodiversity areas and critical habitats within or close to an investment boundary, including critically endangered or endangered species. IBAT draws information from the three key global biodiversity datasets: IUCN Red List of Threatened Species, World Database of Key Biodiversity Areas (KBA) and World Database on Protected Areas (WDPA). The due diligence process includes consultations with affected communities on assessments of shared biological resources and ecosystem services, see p. 77.

In investments where there is risk of adverse impacts on biodiversity, IFU requires the investee to operate in accordance with IFC Performance Standards 6. A core element (as for all the IFC Performance Standards) is the four steps in the mitigation hierarchy: 1) Avoid the impact as much as feasible, for example, by choosing a different location, process or timescale, 2) Minimize the impact where avoidance is not possible, 3) Restore where impacts cannot be avoided or fully minimized, and 4) Offset may be considered only after appropriate avoidance, minimization and restoration measures have been applied. A biodiversity offset should be designed and implemented to achieve measurable conservation outcomes that can reasonably be expected to result in no net loss for impact on natural habitat. If the activity is located in a critical habitat⁸, no net loss is not sufficient. For critical habitat, additional actions are required to obtain a net gain position.



ProNuvo, insect protein, Costa Rica.

METRICS

IFU is together with other EDFIs developing a better understanding of nature-related dependencies and impacts across the portfolio to further consider the development of indicators and key metrics on biodiversity.

5) <https://www.unep.org/news-and-stories/story/cop15-ends-landmark-biodiversity-agreement>

6) The criteria for AZE sites can be found at: www.zeroextinction.org, along with a map of current AZE sites.

7) <https://www.ibat-alliance.org>

8) Critical habitats are defined in IFC PS6



SOCIAL INFORMATION / OWN WORKFORCE

Introduction to material IROs

In the DMA, positive impacts arise from IFU's strategy towards own employees, following best practices fostering diversity, inclusivity, data privacy and collective agreements. IFU employees subject to potential negative impacts are those travelling to investees' locations in geographies with lower safety levels.

POLICIES

IFU considers respect for human rights to be a minimum standard applied in its own operations, and IFU's human resource policies support gender equal-

ity, a respectful work environment, providing all employees with equal opportunities for e.g. individual development and career development, and work-life balance. These policies are supplemented by IFU's Guidelines on Staff Ethics and IFU's core values, see p. 81.

ACTIONS

Employee engagement

To promote responsible business conduct measures and evaluate employee motivation and satisfaction, IFU conducts employee engagement surveys every

second year, most recently in 2024, see p. 81. The survey results are presented to the entire organisation and worked with across the organisation on a leadership level, in the joint global cooperation, health and safety committee (SMU) and at a team level. Follow-up items are also shared as well as information on progress of initiatives. The SMU meets four times a year and consists of representatives from head office and regional offices. Furthermore, employees can share perspectives and concerns through IFU's whistleblower reporting channels, see p. 79-80.

Working conditions

IFU supports decent working conditions in all geographies, and the 2024 survey shows high levels of employee satisfaction. Mandatory workplace assessment under Danish health and safety legislation are conducted globally and followed up upon on a regular basis. The next workplace assessment is anticipated in 2026, at the latest. The workload of IFU's staff is an observation point and underlines the importance of the current IT transformation and other internal efforts to improve task efficiency, manage work-related stress and increase employee well-being.

In July 2024, IFU renegotiated its collective agreement, which is valid until end of June 2026. Whether job roles are covered by the agreement depends on the required level of education for a given role, and managers with responsibility for permanent staff are not part of the agreement. Employees have the right to be part of the union, but it is not an obligation and aligns with Danish law.

IFU is maintaining a healthy and safe working environment for its staff. To mitigate safety risks for em-

ployees travelling to investees' locations in geographies with elevated health and security risks, IFU's duty of care and aligned travel safety are regulated in the travel instruction, applicable for all staff in IFU globally.

Diversity and equality

IFU benefits from having a diverse organisation in terms of gender, age, and cultural and educational background and is committed to striving for equal gender representation in management. To ensure equal treatment of employees and an appropriate gender composition on all leadership levels, IFU focuses on developing inclusive and gender-balanced human resource processes. This includes addressing biases in the recruitment and selection process and ensuring equal opportunities for promotion.

Capability building

A leadership development programme for all leaders and people managers was kicked off in 2023, focusing on leading IFU together in the context of amongst others the core values, talent development, employee experience and executing on the strategy to be a leading impact investor. In 2024, leadership principles based on IFU core values were developed. The requirements of the roles in the career path for investment professionals consider both impact and sustainability assessment skills, as well as sourcing and managing investments. Individual development plans focus on all parts of the roles and are followed up upon both mid-year and as part of the annual appraisal process.





Employees			
	2024	2023	2022
Full-time employees (FTE)	116	105	98
Regional representation	17%	17%	18%
Nationalities	30	26	18
Female employees	41%	38%	40%
Average age	41.2 years	42.3 years	43.5 years
Average seniority*	6.9 years	8.5 years	9 years
Employee turnover	12.16%	4.94%	1.99%
New people onboarded	47	33	22

*Excluding students and other on hourly wage.

Data ethics and data privacy

IFU continuously works on maintaining and improving its cyber security posture and data integrity. As new systems and IT services are implemented, protection of personal data, as well as data ethics considerations, are included in the architecture, following the privacy by design principles. At the current stage, IFU does not use data extensively, apart from the data and processes required to comply with relevant legislation, or as part of its recruitment efforts. This means, that IFU does not collect and compile large amounts of data for analyses, use personal data for segmentation or profiling, share or sell personal data or harvest data on social media platforms.

METRICS

Employee characteristics

With the head office in Copenhagen and regional presence in Asia, Africa, Latin America and Europe, IFU works across geographies, and all jobs in IFU of-

fer the opportunity to work and deliver results in a global context creating development, in line with IFU's impact priorities.

The increase in employee turnover can be attributed to the transformation of IFU, which has required different capabilities and a corresponding change in the workforce has taken place, resulting in a combination of retirements, voluntary leavers, and redundancies.

Gender composition

IFU's target is to have a balanced gender composition on all leadership levels, following the guidelines for Act no 568 of 10 May 2022, by end of 2025. Since 1 June 2024, IFU's executive management team has consisted of three males, who were recruited recently, and it is therefore not expected that the target will be achieved for this team by the end of 2025. The targets for a balanced gender composition are met on all levels in 2024, except other leadership level.



Visiting regional office, authorities and investees in Ukraine.

Board and management			
Per 31/12/2024	2024 people	Targets: female/male	2024 status: female/male
The board*	10 people, 4 female and 6 male	40/60	40/60
Executive management	3 people all male	NA	0/100
Second leadership level	13 people, 5 female and 8 male	38.46/61.54	38/62
Other leadership levels	16 people, 5 female and 11 male	40/60	31/69

*From the practice followed, observers are not included as per the guidelines from the Danish Business Authority.



SOCIAL INFORMATION / WORKERS IN THE VALUE CHAIN

Introduction to material IROs

IFU's investment strategy aiming at securing decent jobs and increasing gender equality in the investees' workforce is in the DMA identified as a source of positive impacts. However, IFU's investments in geographies where national labour laws may not be as stringent as in Denmark may also lead to negative impact if IFU fails to implement best practice standards on human rights and labour rights thoroughly. No material impacts were identified associated with workers working in IFU's locations or in the upstream value chain.

POLICIES

Human rights

IFU respects internationally recognized human rights and takes measures to avoid supporting activities that may cause, contribute or are directly linked to human rights abuses in line with IFU's commitment to the UNGPs. This means that all internationally recognized human rights are considered potentially relevant to IFU's activities.

IFU's position on implementation of the UNGPs and the OECD Guidelines on Multinational Enterprises is outlined in IFU's Human Rights Policy⁹. IFU will revise the policy in 2025 to formalise human rights assessments that are conducted for all investments to align with minimum social safeguards under the EU sustainable finance legislation.

Gender equality

IFU actively supports and motivates investees to address and demonstrate a commitment to empowerment of women through issues related to leadership, pay equity, workplace benefits and professional development, workforce participation, workplace environment, including women's health and sexual and reproductive health. This is stated in IFU's Gender Equality Policy¹⁰. IFU is revising the policy and expects to publish a Diversity, Equity and Inclusion Policy in 2025.

ACTIONS

Decent work

As part of the investment process, IFU conducts a comprehensive assessment of all investments to identify material social risks and adverse impacts, as well as any gaps in relation to requirements in IFU's Sustainable Investment Policy and relevant international sustainability standards, including the IFC Performance Standards and more specifically IFC Performance Standard 2 on labour and working conditions. The requirements must be met within an agreed timeframe defined in an action plan and are thus not an entry condition for funding.

IFU's requirements for decent work includes that all workers must have an employment contract specifying the terms of employment, including reasonable wages and working hours, and migrant workers must

have adequate housing and living conditions. Furthermore, investees must effectively prevent and protect workers against health and safety risks in the workplace, respect workers' right to privacy, freedom of association and collective bargaining, as well as promote equal opportunities and prevent discrimination.

IFU also requires investees to adopt a written sustainability policy and establish an environmental and social management system to ensure continuous improvement of their sustainability performance, including ongoing actions to securing decent work, see p. 71.

Grievance mechanism

Value chain workers may use IFU's grievance mechanism to report concerns about adverse impacts that activities carried out by IFU or IFU investees have caused or contributed to. Where IFU has caused or contributed to adverse impacts of human rights, IFU will provide access to remedy, see p. 79-80.

Human rights

If risks of severe adverse human rights impacts are identified, IFU will conduct a more thorough human rights impact assessment to identify the need for additional mitigation measures to those included to comply with the IFC Performance Standards. The human rights impact assessment considers country and investment-related risks like investments in fragile states, investments in countries with no guarantee of workers' rights and investments involving a number of risk aspects such as land take, use of migrant workers, location in water scarce areas or handling of personal data, etc.

Gender equality

To contribute to unlocking business opportunities for female entrepreneurs and advance women as business leaders, employees and consumers, Women Economic Empowerment (WEE) opportunities like equal pay, gender equality in management and board work, leadership training, leave/return procedures and improved health at the workplace and gender-inclusive community engagements are a part of the impact discussions with investment partners, and specific targets for gender equality are included in the impact creation plan. IFU takes part in the 2X Challenge¹¹ launched by development finance institutions of the G7 countries in 2018. The aim is to advance opportunities for women through enterprise support, leadership and career progression, quality employment and products, as well as services that enhance women's economic participation, see p. 77.

METRICS

Decent jobs in portfolio

In 2023, a total of 388,277 people were employed by the investees in IFU's active portfolio, which is a 9 per cent decrease from 2022. The decrease was driven by a greater number of employees linked to investments exited than to new investments entering the portfolio, and a decrease in the number of employees reported by investees. The share of employees below 30 years of age amongst investees was 21 per cent, which is an increase of 10 percentage point from 2022, yet it should be noted that the age threshold has been adjusted for 2023 from 25 to 30 years to align with EU sustainable finance definitions.

9) https://www.ifu.dk/wp-content/uploads/2019/07/Human-Rights-Policy_final-june-2019.pdf

10) https://www.ifu.dk/wp-content/uploads/2019/07/Gender-Equality-Policy_final-June_2019.pdf

11) <https://www.2xchallenge.org/2xcriteria>



In 2023, 86 per cent of the reporting direct investments stated that they pay workers more than the national minimum wage. This is a significant increase of 9 percentage point from 2022, which can largely be attributed to investees that have not previously

reported on wages. Furthermore, 67 per cent of the direct investments stated that they pay overtime, a decrease of 10 percentage points from 2022, due to portfolio fluctuation and reduced reporting on this metric amongst investees.

Gender equality in portfolio

In 2023, the share of female employees was 35 per cent, the same result as in 2022. 25 per cent of the direct investments reported that the share of women in senior management is more than 40 per cent. This

satisfactory 10 percentage point increase from 2022 can be attributed to IFU's efforts in 2023 to support 2X Challenge initiatives in the portfolio.

Occupational accidents leading to injuries in portfolio

In 2023, the total number of occupational injuries reported to IFU was 2,087, which is a 26 per cent decrease from the 2,824 reported in 2022. To draw conclusions, it is first necessary to understand the reporting of injuries, for which a decrease is noted in 2023. Furthermore, 83 per cent of the reported injuries result from just 7 of IFU's 161 active investees.

The high number of injuries also results from improved reporting from investees. The reported injuries range from less to more severe. In severe cases companies implement follow-up measures to improve occupational health and safety. These cases are also discussed during IFU's active ownership review. The significant figures are of importance to IFU and require continued attention, to ensure investee companies are placing adequate care and attention on occupational health and safety

Tragically, 36 of the accidents were however fatal, reported by 12 of IFU's 161 investees. While occupational accidents are reported to IFU in the annual sustainability report, IFU requires information on fatality within a few days of the accident occurring. To avoid similar accidents in the future, the investee must initiate follow-up actions such as root-cause-analysis and procedural improvements. IFU has an oversight committee on grievances and has an established ESG incident register to improve monitoring, see p. 81. IFU works with portfolio companies through the existing active ownership mechanism, to ensure occupational health and safety processes are being improved.



Dana Metal, metal processing, Ukraine.



SOCIAL INFORMATION / AFFECTED COMMUNITIES AND END-USERS

Introduction to material IROs

Positive impacts arise from IFU's investment strategy benefiting local communities and end-users by providing them with increased access to goods and services, such as electricity, clean water, adequate food, healthcare and financial services. In the DMA, negative impacts on local communities or end-users may occur if IFU fails to implement best practice standards on human rights, but these are assessed to be limited to individual incidents. No material impacts were identified in relation to communities living nearby IFU's locations.

POLICIES

Human rights

IFU is committed to preventing land grabbing and securing human rights related to involuntary resettlement and livelihood restoration and ensures that investees adhere to IFC Performance Standard 5 on Resettlement. IFU considers this important to support the ability of people and families to be able to sustain their living conditions and provide the basis for local business and markets.

IFU also recognizes the importance of informed consultation and participation to ensure the respect for human rights. In addition, an informed and participatory consultation process strengthens the basis for sustaining development effects in terms of improved transfer of knowledge and technology, as well as for developing local capabilities and capacities. For details, see IFU's Human Rights Policy.

Gender finance

IFU seeks to integrate "gender smart" decision-making into its investment processes and to demonstrate that investing with a gender lens can reap business returns in addition to social returns. This supports the advance of women as entrepreneurs, business leaders, employees and consumers and enhances their economic empowerment. For details, see IFU's Gender Equality Policy. IFU uses the 2X Challenge criteria to screen if an investment is 2X eligible. In July 2024, new 2X Challenge criteria came into force, and these will be reflected in IFU's revised Diversity, Equity and Inclusion Policy in 2025.

Microfinance

IFU is committed to supporting essential financial service provision to underserved populations and small and micro companies in developing countries. When investments include micro-financing, IFU requires micro-finance institutions to endorse the Client Protection Principles as set forth by SPTF and CE-RISE as part of the Client Protection Pathway¹² to ensure prudent, transparent and respectful treatment of clients. The principles are the minimum standards that clients should expect when doing business with a financial service provider and include appropriate product design and delivery, prevention of over-indebtedness, transparency, responsible pricing, fair and respectful treatment of clients, privacy of client data and mechanisms for complaint resolution. For details, see IFU's Sustainable Investment Policy.

ACTIONS

Engaging with affected stakeholders

For investments with issues regarding community health, safety and security, land acquisition and involuntary resettlement or indigenous people, IFU includes engagement with affected stakeholders in the due diligence during the investment process.

IFU ensures that local stakeholders affected by its investments are consulted on an informed and participatory basis that promotes inclusiveness. IFU pays special attention to vulnerable groups, such as elderly or disabled community members. Specifically, where indigenous peoples are potentially affected by investments, IFU will – in line with IFC Performance Standards – ensure the principles of Free, Prior and Informed Consent (FPIC) are met.

Grievance mechanism

IFU's grievance mechanism can be used to report concerns about adverse impacts on individuals or communities by activities carried out by IFU or IFU investees. Where IFU has caused or contributed to adverse impacts on human rights, IFU will provide access to remedy, see p. 79-80.

Providing access to goods and services

Across the investments, IFU is pursuing opportunities to improve living conditions and livelihood for low-income people. This is achieved by providing microfinance, supporting small-scale farmers, extending healthcare services, and providing affordable student accommodation, for example.

IFU's investments in essential financial service provision to underserved populations and small and micro companies contribute to build markets and

create business opportunities. Investing in local banks enables IFU to better reach the local business community compared to direct investments in individual companies. IFU is also integrating a gender lens into its investments in financial inclusion to contribute to redressing power imbalances and give women better options for becoming financially independent. Furthermore, IFU gives priority to investments that support fair trade and increased productivity of small-scale farmers which are the main producers of food in developing countries.

IFU's investments in healthcare aim to increase access to more affordable and high-quality healthcare services, especially for middle and low-income people. Consequently, focus is on business models supported by universal healthcare programmes, insurance schemes and/or cross-subsidisation of patients within investee operations.

The direct employment and income opportunities provided by IFU's investments only constitute a small part of the total job effects in the economy. IFU's investment activities also create indirect employment, for instance in the supply chain and when employees are spending their salaries.

METRICS

Gender finance investments

In 2024, 50 per cent of IFU's new investments qualified as 2X Challenge investments, thus exceeding IFU's commitment of 40 per cent on new investments. By year-end 2023, 40 per cent of investments in IFU's portfolio are either 2X eligible or have plans in place to become 2X eligible, thus exceeding IFU's 30 per cent portfolio commitment.

12) <https://cerise-sptf.org/client-protection-pathway/>



The decrease of 3 percentage points is attributed to a lack of reporting and/or data quality, rather than a changing composition in female leadership and/or female employees, for example.

Microfinance investments

By year-end 2023, IFU had an active portfolio with contracted investments in MFIs of DKK 581m. The 174m decrease since 2022 is due to loan repayments and currency adjustments in these investments. The MFI investments typically target female clients, as they experience barriers to accessing mainstream finance. In 2023, the share of female MFI clients served was 86 per cent, which is high and a satisfactory increase from 77 per cent reported in 2022. Since there is a significant variation in the percentage of female MFI clients served across different geographies, changes are to be expected from year to year, depending on investments entering and exiting the portfolio.

Healthcare investments

By year-end 2023, IFU's healthcare investments served 1.31 million patients, of whom 38 per cent are female patients, compared to 35 per cent in 2022. This shows a marginal decrease of 3 percentage points.

Support for small-scale farmers

In 2023, 22 of the reporting investees were supporting 1,407,801 small-scale farmers in rural areas, a significant increase of 280 per cent per cent since 2022. This significant increase is due to improved reporting from financial institutions that have previously not reported on this indicator, and in 2023 reported over 600,000 small-scale farmers supported. When excluding this reporting from financial institutions, the variation on 2022 shows a satisfactory increase from

over 500,000 to over 800,000 small-scale farmers supported, resulting from an increase in reported results from underlying investees in funds that IFU has invested into.

Indirect jobs creation

Measuring the indirect employment effects of IFU's investments is highly complex. IFU uses the Joint Impact Model (JIM) to obtain an overall estimate of the indirect employment effects of its portfolio, and the

results indicate that IFU's investments in 2023 have supported approximately 4.3 million indirect jobs. This equates to approximately 11.1 times the number of direct jobs supported by IFU's investments, significantly higher than the factor of 6.4 in 2022. The increase is attributed to a change in methodology in applying the JIM and a strengthening of the modelling exercise through the inclusion of optional and actual information reported by investees, rather than the use of sector estimates.

Student accommodation

In 2023, IFU's investment into affordable student accommodation in South Africa continues to provide students with affordable accommodation to support their studies, to a total of 988 beds, as was the case in 2022.



Bancosol, micro and SME financing in Bolivia.



GOVERNANCE INFORMATION / BUSINESS CONDUCT

Introduction to material IROs

In the DMA, corporate culture is identified as a positive impact related to IFU's own operations in view of its strong responsible business conduct, sustainability-oriented culture, sustainability and impact team and sustainability-trained investment professionals.

IFU's investments in high-risk countries pose a risk of bribery and corruption incidents. Negative impacts could occur in all investments if adequate mitigation measures are not implemented, but the risk of negative impacts on business conduct issues, including bribery and corruption, protection of whistleblowers, animal welfare, relationships with suppliers and political engagement and lobbying activities, is higher in legacy projects. Occurrence of corruption or bribery incidents would damage IFU's reputation and is thus a source of financial risks that could affect IFU's ability to attract capital. IFU therefore recognises the importance of managing this risk, through establishing good corporate governance practices within each investment. Positive impacts arise from IFU's contribution to strengthening a culture of accountability and transparency in developing economies.

The DMA has considered each ESRS G1 sub-topic for IFU's own operations and the focus sectors of investments, as well as legacy investments. IFU's due diligence process was also considered in the identification of potential IROs.

POLICIES AND CORPORATE CULTURE

Corporate Governance Policy

The objective of IFU's Corporate Governance Policy is to define how IFU upholds high corporate governance

standards in its own operations and promotes continuous improvement in the structure and practice of good corporate governance in its investments through IFU's role as shareholder, board member nominee and/or advisor. The policy outlines IFU's commitment to the global Corporate Governance Development Framework (CGDF) agreed by IFU and more than 30 other development finance institutions. For more details, see IFU's Corporate Governance Policy¹³.

The policy addresses the material negative impacts related to corporate governance, as linked to the potential of non-responsible business practices on the part of investees, e.g. through tax evasion, unfair competition, poor management practices with their suppliers, etc. Moreover, if investees are involved in detrimental lobbying activities, the ambition of various regulations could be lowered, causing further negative impacts on the environment and local communities. The policy reflects IFU's role as an active participant in addressing the negative impacts by improving the governance of its investees, helping to develop capital markets, and supporting the rule of law. In this way, the policy addresses the risks of inadequate corporate governance, vulnerability to corruption or mismanagement, all of which could damage IFU's reputation, stakeholder trust and thus the ability to attract capital. In terms of positive impacts, the policy contributes to strengthening global partnerships, a culture of accountability and transparency in developing economies and the possibility for investees to become more attractive to future investors.

Anti-corruption Policy

In many of the countries where IFU invests, levels of public sector corruption and financial crime are high. Consequently, IFU's investment partners and the staff working in investments, specifically investment professionals who have direct contact with investee companies, are exposed to the risk of bribery and corruption.

The objective of IFU's Anti-Corruption Policy is to implement responsible business conduct measures into all aspects of IFU's operations. The policy outlines IFU's commitment to maintaining a zero-tolerance stand regarding corruption, including bribery, fraud and facilitation payments. The policy is measured up against the OECD Guidelines for Multinational Enterprises on Responsible Business Conduct, which is consistent with the UN Convention against Corruption. IFU ensures that investees take a clear stand against corruption, and responds immediately to any allegations of corruption, implementing corrective and preventive measures. For more details, see IFU's Anti-Corruption Policy¹⁴.

The policy addresses the material negative impacts that IFU could have on business conduct if the money IFU invested is not directed towards the expected activities and is used for bribery and corruption by investees. Moreover, the policy addresses the risks of affecting IFU's reputation and ability to attract capital as well as legal consequences, including fines, sanctions and lawsuits in case of an incident of bribery or corruption. The policy also relates to positive impacts since combating corruption is a key element in pursuing poverty alleviation and sustainable development. Moreover, the policy facilitates strong stakeholder relationships and increased investor confidence.

Whistleblower Policy and grievance mechanism

The objective of IFU's Whistleblower Policy is to ensure that potential breaches of IFU policy or legislation, related to IFU and IFU investments, can be reported, investigated and sanctioned through a confidential and anonymous process.

Material negative impacts addressed include preventing possible retaliations by providing IFU employees and investees access to anonymised whistleblower reporting. Moreover, the policy addresses reputational risk that could occur if IFU had inadequate procedures or hindrances in reporting concerns. In relation to positive impact the policy promotes a speak-up culture and demonstrates commitment to conduct ethical business and attract socially conscious investors.

IFU has established a grievance mechanism that can be used by both internal and external stakeholders to report concerns that are covered by the Whistleblower Policy. This includes irregularities with IFU's commitments, policies and procedures, or any breaches of applicable law, including misconduct on the part of investee companies. The grievance mechanism is benchmarked against the UNGPs.

IFU's whistleblower reporting channels include an online whistleblower reporting platform and reporting to a manager or head of function or to a member of the Investigations Oversight Committee (IOC). IFU maintains a web portal hosted by an external law firm, which provides safeguards to protect whistleblowers through enabling confidential and anonymous reporting, and which promotes impartiality and objectivity in processing of reports.



13) <https://www.ifu.dk/wp-content/uploads/2019/07/Corporate-governance-policy.pdf>

14) <https://www.ifu.dk/wp-content/uploads/2024/02/anti-corruption-policy-jan-2024.pdf>



IFU investigates business conduct incidents promptly, independently and objectively via implementation of the rules of procedure of the IOC. Measures to investigate, respond to and remedy reports include internal and third-party investigations, negotiated settlements, contractual remedies, and reports to relevant authorities, amongst others.

All members of the IOC have expertise to deal with receiving whistleblower reports. The chairman of the IOC designates members to receive reports.

IFU protects whistleblowers in accordance with the Danish Whistleblower Protection Act. Whistleblowers are protected against retaliation, discrimination, intimidation or hostility, and any retaliatory behaviour is treated as a misconduct and investigated. Statements made by whistleblowers are handled confidentially, and if whistleblowers request confidentiality, their identity will not be disclosed, if legally permissible. This also applies to persons who assist IFU in connection with the processing of a case.

IFU has an obligation to assess and report suspicions of irregularities in its investments to certain key stakeholders such as the Danish Ministry of Foreign Affairs, the European Commission and the Danish Auditor General. If IFU receives information about any incident in an IFU investment that gives rise to a credible suspicion of foreign bribery involving any Danish individuals or companies, IFU will report such credible suspicion to the Danish law enforcement authorities. In cases where there is a credible suspicion of bribery in an investment not involving Danish individuals or companies, IFU will pass on information to local or Danish law enforcement authorities.

In addition, IFU monitors material ESG incidents within its portfolio and uses its leverage to ensure that the investees establish appropriate grievance mechanisms and provide access to remedy, in line with the UNGPs and taking into account the investment's cultural and social context. For more details, see IFU's Whistleblower Policy¹⁵.

Animal Welfare Policy

The objective of IFU's Animal Welfare Policy is to explain how IFU approaches animal welfare issues and advance the business case for upholding high animal welfare standards. The policy is based on Danish rules and regulations, the Five Freedoms of Animal Welfare and the Terrestrial Animal Health Code of the World Organisation for Animal Health (WOAH).

The policy addresses the material negative impacts on animal welfare that IFU could contribute to through investments in food processing and agriculture, which may involve direct handling of animals and could include overcrowding, limited outdoor access, disease and insufficient care. The policy sets animal welfare standards using Danish rules and regulations as a comparative benchmark for (but not limited to) good management practice, physical environment, veterinary practice and the use of medicine, transport and slaughtering. For more details, see IFU's Animal Welfare Policy¹⁶.

The policy relates to reputational risk connected with non-compliance with regulation, disruption of operations in case of high animal mortality rates, limited access to markets, environmental, social and health risks as well as reduced profitability for invest-

ees affecting IFU's investment. It also relates to opportunities including enhanced market access, increased investment and funding opportunities, stronger shareholder trust, resilient supply chains and enhanced community relations in the investment countries. In this way, the policy is linked to other sustainability issues such as food security, human health and environmental pressure on ecosystems.

Tax Policy

The investees must at all times comply with local tax laws and pay taxes where they have their economic activity. IFU does not use holding companies in third countries to evade taxes or conceal such. If holding companies in third countries are necessary for other reasons, IFU will not incorporate them in

third countries that are either on the EU list of non-cooperative jurisdictions for tax purposes or do not comply with OECD's Global Forum. For details, see IFU's Tax Policy¹⁷.

AML Policy

The objective of IFU's Policy on Anti-Money Laundering (AML) and Combating the Financing of Terrorism (CFT) is to describe IFU's measures against money laundering, defined as the process of concealing the illegal origin of funds, and terrorist financing, which involves providing financial support for terrorist activities, as well as to provide a framework of procedures and controls that are commensurate with the level of risk IFU faces in its investment activities.

15) <https://www.ifu.dk/wp-content/uploads/2023/07/ifu21958728.pdf>

16) <https://www.ifu.dk/wp-content/uploads/2019/07/Animal-welfare-policy.pdf>

17) <https://www.ifu.dk/wp-content/uploads/2020/02/taxpolicy.pdf>



The policy addresses the material negative impacts that misuse of IFU for money laundering or terrorist financing could have on financial stability, sustainable economic growth and national and international security. It also addresses the risks of severely damaging IFU's reputation and its ability to attract capital, as well as the potential legal consequences, including fines, sanctions and prosecution resulting from any association with money laundering or terrorist financing. Additionally, the policy underscores the opportunities that arise from actively combatting these issues. Specifically, by reinforcing the integrity of financial systems in developing countries, it creates a more attractive investment environment. This, in turn, encourages the flow of capital that supports sustainable economic development, demonstrating how effective governance can lead to positive economic outcomes.

The policy is implemented through specific procedures and controls, with compliance ensured by collaboration among IFU's management, employees and relevant third parties. This collective effort fosters transparency and effective risk management. Ultimate accountability for the implementation of the policy resides with IFU's board of directors that supervises compliance with the policy, and IFU's CEO is responsible for policy implementation.

The policy and the associated business procedures apply to all IFU employees and external consultants engaged in relevant functions. It governs IFU's lending, guarantee and managed funds activities, while excluding investments in equity instruments and private equity funds. However, these excluded areas are still addressed within the relevant business procedures.

Corporate culture

IFU's strong and positive corporate culture is embodied

in IFU's core values, which were revised in 2023 and launched in 2024 after being developed collaboratively across the organisation. The core values are:

- Care for the future: We are a responsible investor promoting sustainable development for people and planet.
- Strive with courage: We dare to push boundaries, acting with integrity and seeking to improve.
- Make a difference together: We trust, value and respect each other, and believe that teamwork and partnerships are essential for delivering results.

The core values are promoted as part of the onboarding of all new staff as well as in the ongoing internal communication. The corporate culture is evaluated via employee satisfaction surveys conducted every second year, most recently in 2024. The results of the 2024 survey were discussed at the annual staff seminar and at team level, where results were internalised and action plans were developed, as needed.

Staff evaluation has in 2024 been orientated towards assessing how each staff member contributes towards IFU's values, and personal developments goals are developed annually to among other align with and support these values.

Guidelines on Staff Ethics

IFU's Guidelines on Staff Ethics formalise the ethical standards applicable for all IFU employees globally. Acting in a professional and ethical manner with a high level of integrity is imperative to have satisfied investment partners and to execute IFU's mandate. As IFU employees work with people from a wide variety of cultures, they must make an effort to understand not only political, social and economic features of a country but should also be sensitive to local cultures and appreciate the impact of these aspects in a relevant business and social context.

ACTIONS

Business integrity training

IFU is providing effective business integrity training for all employees. Business integrity training is mandatory during staff onboarding and emphasizes IFU's zero-tolerance policy regarding bribery and corruption, the policy for whistleblower reporting and the protection of whistleblowers, and anti-money laundering. The training also extends to topics such as conflict of interest, fair competition and how to get support for managing business integrity risks.

In addition to the mandatory business integrity training, all IFU's investment professionals must participate in advanced trainings about how to undertake business integrity due diligence during the investment process and how to identify and manage money laundering and terrorist financing risks. These advanced trainings were conducted across the organisation in 2024.

Prevention and detection of corruption and bribery

As part of the investment process, IFU conducts a business integrity due diligence of all investments to identify business integrity risks and opportunities as well as any gaps in relation to requirements in the IFU Anti-corruption Policy. IFU's business integrity due diligence procedures include screening of the investee against internal anti-corruption warning list of companies and partners, and IFU requires that investees disclose if any of their employees or entities have been convicted of corruption offences. Furthermore, IFU systematically verifies publicly available debarment lists of national and multilateral financial institutions. Other activities include screening key parties for adverse information, reviewing the business model for business integrity risks, and assessing the anti-bribery and corruption management system

for compliance with IFU's Anti-corruption Policy and best practice standards. Where the assessment identifies any gaps in relation to requirements in the policy, IFU ensures commitment from the investee to implement anti-bribery and corruption measures within an agreed time frame. These measures will be included in a business integrity action plan.

IFU requires that all investees communicate their commitment to fighting corruption in the form of a policy to the organisation and any agents, intermediaries and consultants acting on behalf of the investee, as well as to major suppliers, contractors and other business partners. The investee must conduct a bribery and corruption risk assessment on all parts of its operations and establish adequate controls to manage the identified risks. Furthermore, the investee must train all relevant employees to avoid and deal with corruption, including facilitation payments. Investees are further obligated to report to IFU any material ESG incidents that occur in their business, which includes incidents of bribery, corruption and fraud.

When IFU receives information about an incident of bribery, fraud or corruption, IFU registers the incident as a material ESG incident according to its ESG Incident Reporting Instructions. IFU follows up and monitors the incidents as part of its portfolio management processes. Certain types of incidents that meet defined criteria are escalated to the IOC for monitoring. The IOC monitoring process ensures checks and balances, since the IOC is separate from the investment professionals who are responsible for managing projects.

IFU's approach to investigating and responding to allegations of corruption in its portfolio is to cooperate in good faith with its partners to investigate the allegations. If a review finds a reasonable basis for a suspicion of corruption, IFU will require an investigation of the investee and recommend measures





to respond to any breaches or incidents. IFU's Whistleblower Policy and the process for reporting material ESG incidents in the portfolio ensure that IFU employees and investees know how to report concerns about business conduct, as well as how reports are handled and incidents investigated.

Prevention and detection of money laundering and the financing of terrorism

To mitigate the inherent risks of money laundering and terrorist financing, IFU has implemented a comprehensive Know-Your-Customer (KYC) procedure, which entails verifying the identity, suitability and risks associated with a client relationship at the onboarding and ongoing monitoring stage. The KYC programme is conducted in accordance with measures prescribed in the AML Act and includes, but is not limited to, rigorous screening of clients, ultimate beneficial owners (UBOs), key management personnel and other relevant parties through reputable databases and public records. Additional measures may include a detailed analysis of clients' own AML control environment against an internationally recognised standard to ensure that IFU's indirect exposure to money laundering and terrorist financing risks is limited. Regular re-screening is conducted to identify emerging risks.

Money laundering and terrorist financing risks are managed throughout the lifecycle of a client relationship by conducting periodic reassessments, referred to as Ongoing Due Diligence (ODD). The frequency of reassessments is determined by the identified risk level: high-risk clients are evaluated annually, medium-risk clients every two years, and low-risk clients every three years. Event-triggered assessments address immediate concerns raised by investment professionals or other stakeholders in connection with clients in the monitored portfolio, exits or other. The measures implemented as part of onboarding KYC or

ODD are also proportionate to the level of risk the client relationship poses.

Management of relationships with suppliers and payment practices

Sustainability criteria are reflected in the terms and conditions of contractors working at IFU's premises and included in purchasing of goods and services for IFU's office activities. Examples include purchasing FSC certified office paper with the EU Ecolabel and serving 60 to 90 per cent organic food and a selection of vegetarian dishes at IFU's canteen at the head office in Copenhagen. Furthermore, when purchasing new IT equipment, software and services, vendors must live up to requirements for energy efficiency and durability. IFU aims to keep equipment operating as long as possible, investing in repairs and long-term maintenance and support agreements. When the equipment is no longer fit for purpose, IFU collects and disposes of all electronic equipment in an environmentally safe manner, either through refurbishment or recycling.

IFU does not have standard payment terms and does not calculate the average time to pay invoices from its suppliers. IFU pays invoices within a reasonable time frame in accordance with the terms on the receipt issued by each supplier who delivers or provides services to IFU's premises. IFU does not have a written policy to prevent late payments, however, IFU registers due dates on all invoices received in IFU's finance system. Based on this, IFU's accounting function regularly follows up to ensure receipt of internal approvals in order to make timely payment to its suppliers, and IFU has no legal proceedings currently outstanding for late payments.

In 2024, IFU enhanced its procurement procedures to promote spending that aligns with the core principles of transparency, equal treatment, non-discrimination, fair competition and best value for

money. The revised guidelines clearly outline the criteria for when public tenders are required and support improved management of supplier relationships. These adjustments comply with EU public procurement regulations as incorporated into the Danish Public Procurement Act.

IFU also takes account of sustainability risks and impacts related to the supply chains of investees by requiring them to promote sustainability issues in interaction with their suppliers and business partners, and to demonstrate due diligence in relation to potential and actual adverse impacts.

Political influence and lobbying activities

IFU has regular meetings with the Ministry of Foreign Affairs observer sitting on IFU board, but does not in its interaction with the MFA or with any other public body exert political influence nor does it take part in lobbying activities.

IFU together with other EDFI members participate in discussions involving the application of the EU sustainable finance legislation. These discussions involve meetings with technical units and working groups under the EU Commission and focus on finding solutions to the challenges DFIs experience in applying the legislative requirements related to investment outside of the EU. Reports and position papers in this regard have been made publicly available by EDFI.

IFU commits its investees to comply with the OECD Guidelines for Multinational Enterprises and OECD's Recommendation on Principles for Transparency and Integrity in Lobbying to ensure responsible lobbying activities.

METRICS

IFU has not set any targets but track the effectiveness of IFU's business conduct-related policies and actions, through the following metrics.

Incidents of corruption or bribery

In 2024, no incidents of corruption or bribery implicating an IFU employee or IFU were reported, and no breaches in IFU's Anti-Corruption Policy were identified. Furthermore, IFU received no convictions or fines for violation of anti-corruption and anti-bribery laws in 2024.

Anti-corruption policies in portfolio

In 2023, 95 per cent of the reporting investees have a written stand against and/or an anti-corruption policy, which is an 11 percentage point increase since 2022. IFU is satisfied with this result, which can be attributed to IFU's strengthening of its anti-corruption procedures in 2023.

Grievance mechanisms in portfolio

In 2023, 70 per cent of the reporting investees have stated that they have a grievance mechanism for external stakeholders in place, which is a slight decrease of 3 percentage points on the 2022 result. It is however a satisfactory result because annual variation is unavoidable, as new projects that enter the portfolio and do not yet have a policy in place require time to come into compliance with IFU's requirements.

Supply chain management systems in portfolio

In 2023, 67 per cent of the reporting direct investments have stated that they have a responsible supply chain management system, a satisfactory increase of 7 percentage points since 2022.

Tax payment in portfolio

In 2023, investments reported corporate taxes in the amount of DKK 7.1 bn.



SUSTAINABILITY AND IMPACT REPORTING PRINCIPLES

The disclosed metrics related to sustainability performance included in the sustainability statement cover the operation of IFU's offices, as well as sustainability and impact disclosures from investees in IFU's portfolio. The metrics have not been subject to external assurance.

The metrics related to IFU's own operations cover the financial year 1 January to 31 December 2024. Details on metrics related to IFU's portfolio are outlined below. See also details in IFU's disclosures of basis for preparation, p. 50 and on risk management and internal controls over sustainability reporting, p. 56.

IFU does not see any significant changes in the definition of what constitutes the upstream and downstream value chain in 2024, although the investments in IFU's portfolio are changing on an annual basis and new investment are made and older investments are exited.

Reporting from investees in IFU's portfolio

IFU requires sustainability and impact reporting from all its investees to allow for the annual monitoring of sustainability performance and to allow IFU to fulfil its reporting obligations. To standardise the reporting process and ensure that all relevant and necessary data are collected, IFU has created standardised reporting questionnaires, known as the annual sustainability report (ASR).

In the ASR, IFU includes a range of questions closely aligned to the Harmonized Indicators for Private Sector Operations (HIPSO), EU Sustainability Reporting Standards, EU Sustainable Finance Disclosure Regulation, IFC Performance Standards, 2X Challenge, Joint Impact Model, and more. These include crosscutting questions applicable to all invest-

ments and sector-specific questions for IFU's priority sectors. IFU does not currently rely on standards approved by the European Standardisation System, such as ELC or CENELEC, as these are not applicable in geographies where IFU invests. The questions have been developed through a collaborative effort amongst European development finance institutions to standardise sustainability and impact data collection across member institutions.

Three different versions of the ASR have been developed for different investee types: direct investments, financial institution investments and fund investments. This distinction has been established to allow for refinement of the questionnaires to ensure relevancy to each investee type. The ASR for direct investments consists of 400+ questions in an online questionnaire platform that includes functionality to ensure the quality of the submitted data and information. This platform was introduced in 2019 and has been continuously improved every year.

The ASR for financial institutions consists of 300+ questions and is also in an online questionnaire platform that was introduced in 2022. The ASR for fund investments consists of 200+ questions that relate to the operations of both the fund manager and the portfolio companies of the fund. This questionnaire is administered in Excel and was introduced in 2022. IFU also accepts sustainability reporting in other formats from investees, such as public annual ESG reports and sustainability reporting for other investors, if this has been agreed upon in the investment agreement. The data from these reports are extracted manually by IFU staff.

Data and information from all sources of reporting are uploaded to IFU's sustainability and impact data

management system and then aggregated to present portfolio-wide metrics on sustainability and impact. The standardised ASR questionnaires and hosting platform allow for improved data quality and greater ease of data aggregation across the portfolio. However, the quality of reported data varies depending on the context and maturity of each investee's sustainability management and reporting. IFU will continue to adjust its reporting tools and data management systems to improve the quality and accuracy of reported data.

Though IFU presents portfolio-wide sustainability and impact metrics in this statement, the composition of the portfolio varies from year to year as IFU contracts new investees and divests from others. Therefore, there is a degree of variability each year that should be noted when comparing portfolio-wide metrics. In particular, 33 per cent of IFU's active investments in 2023 were contracted before 2015, after which IFU's sustainability policy requirements were strengthened significantly. Investments contracted before 2015 are therefore not obligated to meet sustainability requirements applicable from 2015 onwards and do not have to report the associated data points.

Reporting period

The sustainability and impact data and information from IFU's portfolio presented in this statement are from the 2023 financial year for each investee. These are the most recent data and information available to IFU that provide a comprehensive representation of the performance of the portfolio. These data and information are based on sustainability and impact reporting submitted to IFU in 2024 by investees active in 2023.

Investees have varying financial year start and end dates depending on their geographic location and context. Because of this variation, each investee is asked to report in the financial year that is most relevant to the 2023 fiscal year. This includes the following reporting periods:

- 1 January 2023 – 31 December 2023
- 1 April 2023 – 31 March 2024
- 1 July 2023 – 30 June 2024
- 1 October 2023 – 30 September 2024

Sustainability and impact data and information from 2021-2023 have been reported, with changes noted where restatements are necessary. These typically result from strengthened data analysis and management practices on a year-on-year basis. Data and information from new investments in 2024 have also been reported separately, where available.

Reports received in 2024

Sustainability and impact reporting on the 2023 financial year was requested from 107 of IFU's 161 active investees at the beginning of 2024. Of the remaining 54, three are part of the IFU Project Development Programme, ten were new investments in 2023 and were not yet required to report, seven were not contractually obligated to report, ten were exited in 2024 and were not required to report, and 24 were deemed dormant and unable to report.

IFU received sustainability and impact reporting from 105 of the 107 investees in 2024, a response rate of 98 per cent. Of the two investees that did not submit a report, both were unable to report by the deadline due to unforeseeable challenges. Of the 105 investees that reported, 97 submitted ASRs and eight





submitted sustainability reporting in their own format.

In 2024, additional effort was made by IFU's investment teams and sustainability and impact team to review the quality of the data provided in the annual sustainability reports, and the majority of investees were requested to clarify single data points and calculation methods. IFU does not require non-financial data verification and/or external assurance on the data provided by the investees.

Sustainability indicator review

Sustainability indicators linked to IFU's portfolio have been reviewed and defined in this sustainability statement. This resulted in minor text modifications across several indicator descriptions. Indicators that have changed significantly include:

- IFU's own funds invested in poor & fragile countries, which previously referred to IFU's high risk high impact (HRHI) facility. The indicator has been changed to align with IFU's portfolio KPI on investment into poor & fragile countries.

Data modelling using the Joint Impact Model (JIM)

All EDFIs use the JIM to obtain results for GHG emissions, jobs and value added. IFU makes use of the JIM where GHG emissions data reported from investees are lacking or of low quality, calculate indirect jobs and value added. The input data used to model results in this sustainability statement have been strengthened. This methodological improvement involves the inclusion of 'nice to have' input data, over and above the use of 'must have' input data, as was done in previous years.¹⁸

Climate change

IFU reports on its CO₂e emissions based on the GHG Protocol and the Global GHG Accounting Standard developed by the Partnership for Carbon Accounting Financials (PCAF). A full methodology paper is available on IFU's website¹⁹.

Investments related to renewable energy and energy efficiency undergo a calculation of the avoided emissions. The approach is aligned with the GHG Protocol Policy and Action standard²⁰. Furthermore,

IFU uses methodologies for harmonising the approach to accounting avoided emission developed by the International Financial Institutions (IFI) Technical Working Group.²¹

- **Scope 1 GHG emissions:** IFU has no direct scope 1 emissions, i.e. from owned or controlled sources.
- **Scope 2 GHG emissions:** IFU's scope 2 includes consumption of purchased electricity and district heating from its head-office office.
- **Scope 3 GHG emissions:** GHG emissions related to IFU's investments are referred to as financed emissions, which fall under scope 3 category 15 in the GHG Protocol. Financed emissions include scope 1, 2 and the minimum boundary of scope 3 including all upstream (cradle-to-gate) emissions of purchased products of IFU's investees and are estimated as the total annual GHG emissions generated by IFU's outstanding portfolio.
- **Attributed GHG emissions:** The metrics account for attribution, in accordance with PCAF methodology. The attribution factor is defined so that GHG emis-

sions from loans and investments are allocated to the reporting financial institutions, based on the proportional share of lending or investment in the borrower or investee. For an investment, the attribution factor is calculated by dividing the share of financing of IFU at the end of the reporting period, by the total assets of the project, company or bank considered, as per their balance sheet. For investments in funds, the value of the assets in the fund's portfolio is used as the denominator. The attribution factor is then multiplied with the emissions of the company or project. See table below.

- **GHG emissions intensity:** When disclosing IFU's GHG emissions intensity, IFU uses investment amount and calculates GHG emission intensity as attributed GHG emissions divided by the outstanding in tCO₂e/mDKK.
- **Total installed capacity of renewable energy investments:** Total energy generation capacity of wind, solar, geothermal or biomass installed as of the end of the reporting period.



Information	Listed equity and corporate bonds	Business loans and unlisted equity	Project finance	Financial intermediaries
Formula	$\text{Attribution factor}_c = \frac{\text{IFU's share of financing}}{\text{EVIC}_c}$	$\text{Attribution factor}_c = \frac{\text{IFU's share of financing}_c}{\text{total equity+debt}_c}$	$\text{Attribution factor}_p = \frac{\text{IFU's share of financing}}{\text{total equity+debt}_p}$	$\text{Attribution factor}_{FI} = \frac{\text{IFU's share of financing}_{FI}}{\text{total assets}_{FI}}$
Numerator	For debt investments, this refers to the borrower's outstanding debt owed to IFU. For equity investments, it represents IFU's proportional share of the investee company's total equity, calculated by multiplying IFU's ownership percentage by the investee's total equity*.			
Denominator	The EVIC at the end of the fiscal year.	The total balance sheet value (i.e. the investee's total debt + total equity) at the end of the financial year.		The total assets of the financial intermediary in the reporting year.

*In cases where the total equity value according to the investees balance sheet is negative, the total equity is set to 0. This means all emissions are attributed to debt only, while no emissions are attributed to equity investments.

18) https://www.jointimpactmodel.org/_files/ugd/7aa894_13651634add6407a93c09a851fb705c1.pdf

19) <https://www.ifu.dk/wp-content/uploads/2025/03/portfolio-carbon-footprint-methodology-march-2025.pdf>

20) <https://ghgprotocol.org/policy-and-action-standard>

21) <https://unfccc.int/climate-action/sectoral-engagement/ifi-harmonization-of-standards-for-ghg-accounting/ifi-twg-list-of-methodologies>



- New installed capacity of renewable energy investments: Total energy generation capacity of wind, solar, geothermal or biomass installed during the reporting period.
- Total renewable energy generated: Total wind, solar, geothermal or biomass energy generated during the reporting period.
- Total avoided emissions: Total wind, solar, geothermal or biomass energy generated during the reporting period multiplied by the IFI factor for the country where the energy was generated.
- Attributed avoided emissions: The sum of the total avoided emissions of each investee multiplied by IFU's attribution factor.
- Removed GHG emissions: IFU is involved in sequestration investments and estimates the sequestration of carbon in tCO₂e. International standards on emission removal calculations are under development.
- Direct investments that report on GHG emissions: The percentage of direct investments that report the estimation and/or calculation of their GHG emissions.
- Climate finance investments: Percentage of the volume of investments that qualify as climate finance as defined by IFU's climate policy.

Pollution prevention and resource use

- All investments that have a written sustainability policy: The percentage of investees that reported that they have a documented sustainability or ESG policy.
- All investments that have an environmental and social management system: The percentage of investees that reported that they have a documented environmental and social management system.
- All investments that have a dedicated person responsible for sustainability: The percentage of investees that reported that they have a dedicated

person responsible for sustainability in either senior management or at the operational level.

- Direct investments that report on water consumption: The percentage of direct investments that reported that they measure their water consumption.
- Direct investments that report on waste generation: The percentage of direct investments that reported that they measure their waste generation.

Own workforce

- Full-time employees: The number of fulltime employees on IFY payroll.
- Regional representation: The percentage of employees based in regional offices.
- Nationalities: The number of nationalities amongst IFU employees.
- Female employees: Percentage of female employees at IFU.
- Average age of employees: Average age of IFU employees in years.
- Average seniority: Average seniority of IFU employees in years.
- Employee turnover: Employee turnover rate in the reporting year.
- New people onboarded: New full-time employees in the reporting year.
- Gender composition in the board: The split of female and male amongst board members.
- Gender composition in the executive management: Female and male split executive management.
- Gender composition in the second leadership level: Female and male split of employees in senior leadership, reporting to executive management.
- Gender composition in other leadership levels: Female and male split of employees in other leadership, where other leadership is a combination of executive management and second leadership together.

Workers in the value chain

- Total direct employees: Total employees across all investments, including part-time, temporary, and third-party employed, as of 31 December 2023, in full-time equivalent (FTE).
- Employees in investments under the age of 30: Percentage of total direct employees that were under the age of 30.
- Direct investments that pay more than the national minimum wage: Percentage of direct investees that reported that they paid more than the national minimum wage in their primary country of operation.
- Direct investments that pay overtime: Percentage of direct investees that reported that they offered overtime pay to their employees.
- Female employees in investments: Percentage of total direct employees that were female.
- Direct investments with more than 40 per cent women in senior management: Percentage of direct investees that reported that they had more than 40 per cent women in senior management, as defined by 2X Challenge.
- Investments reporting accidents involving workers: Percentage of all investees that reported if occupational accidents occurred during the reporting period.
- Total occupational injuries: Total occupational injuries reported by all investees, where an injury results from an occupational accident, such as an unexpected and/or unplanned occurrence arising out of or in connection with work.
- Total occupational fatalities: Total occupational fatalities reported by all investees.

Affected communities and end-users

- Gender finance investments: Percentage of the number of investees that were eligible for the 2X Challenge based on annual sustainability reporting.

- Total active investment in microfinance (MF) portfolio: IFU's total outstanding amount in investees that support microfinance institutions as of the end of the reporting period.
- MF clients served: Total microfinance clients served by all investees during the reporting period.
- Female MF clients served: Percentage of total microfinance clients served that are women.
- Total investments supporting small-scale farmers: Total number of investees that reported supporting smallholder farmers, as per the local definition, including in its upstream or downstream value chain, during the reporting period.
- Total small-scale farmers benefitting: Total number of smallholder farmers, as per the local definition, supported by all reporting investees during the reporting period.
- Patients served: Total number of patients / customers served / directly benefitting from investments in healthcare during the reporting period.
- Female patients served: Total number of female patients served by the investees during the reporting period.
- Total indirect jobs supported: Total number of indirect jobs supported by all investees during the reporting period, using results from the Joint Impact Model.
- Total beds provided for affordable student accommodation: Total beds provided in an affordable student accommodation during the reporting period.
- Value added to GDP by all investments: Total value added by all investees during the reporting period, using results from the Joint Impact Model.





- Value added to GDP by direct investments: Total value added by direct investees during the reporting period, using results from the Joint Impact Model.
- IFU's own funds invested in poor & fragile countries: Percentage of IFU's outstanding amount invested in countries that have been classified as poor or fragile as of the end of 2023. The definition of poor & fragile countries is based on countries with a GNI of 50 per cent or less of the World Bank's definition of lower middle-income countries or are listed as fragile or conflict states by the World Bank.

Business conduct

- Whistleblower reports: The number of whistleblower reports made about IFU or an IFU employee.
- Incidents of corruption or bribery: The number of material ESG incidents related to business integrity in IFU's portfolio that were reported to IFU.
- All investments that have a written stand against corruption or anti-bribery and corruption policy: The percentage of investees that reported that they have a documented anti-bribery and corruption policy.
- All investments that have a grievance mechanism for external stakeholders: The percentage of investees that reported that they have a grievance mechanism for external stakeholders.

- Direct investments that have a responsible supply chain management system: The percentage of investees that reported that they have a responsible supply chain management system.
- Investments paying corporate tax: The number of investees that reported that they paid corporate tax during the reporting period.
- Corporate taxes reported for all investments: The total amount of corporate taxes reportedly paid by all investees during the reporting period.

Eranove, energy and water in West Africa.





FINANCIAL HIGHLIGHTS 2020 - 2024

	2024 DKKm	2023 DKKm	2022 DKKm	2021 DKKm	2020 DKKm
INCOME STATEMENT					
Contribution from projects ¹	329	212	10	200	(160)
Gross income	410	310	76	298	(57)
Operating income ²	215	154	(63)	180	(170)
Net income for the year	228	146	(57)	182	(174)

BALANCE SHEET AT 31 DECEMBER

Share capital investment in projects at cost	4,907	4,437	4,250	3,668	3,247
Project loans at cost	1,569	1,372	1,498	1,408	1,069
Total investment in projects at cost	6,477	5,810	5,748	5,076	4,316
Accumulated allowance for impairment and value adjustments	(87)	(362)	(344)	(293)	(300)
Investments in projects, net ¹	6,389	5,448	5,404	4,783	4,016
Cash and bonds, net	1,682	1,243	166	94	330
Paid-in capital during the year	939	424	224	50	60
Total equity capital	6,362	5,196	4,631	4,276	4,040
Total balance	8,208	6,855	5,699	5,080	4,442

ADDITIONAL DATA

	2024 DKKm	2023 DKKm	2022 DKKm	2021 DKKm	2020 DKKm
New projects contracted (no.)	19	5	9	3	10
Portfolio of projects end of year (no.)	141	139	139	145	161
Investments contracted	1,546	357	844	502	745
Investments disbursed	1,144	627	883	978	775
Undisbursed contracted investments incl. guarantees end of year	3,085	1,747	2,156	2,417	2,877
Binding commitments not yet contracted end of year	2,693	206	211	279	723

KEY RATIOS

Yield from share capital investments ³	6.0%	1.7%	5.0%	4.4%	(4.5%)
Yield from project loans and guarantees ³	4.4%	14.2%	(14.8%)	5.6%	(2.2%)
Yield from projects (total) ³	5.6%	3.9%	0.2%	4.5%	(4.1%)
Net income for the year/Average total equity capital	4.2%	3.0%	(1.3%)	4.4%	(4.2%)
Solidity ratio ³	77.5%	75.8%	81.3%	84.2%	90.9%
Average number of full-time employees	116	105	98	97	92

Totals may not add up due to rounded figures.

1) Information about composition of the contribution from projects including value adjustments and allowance for impairment can be found in "Financial review" on page 88.

2) Operating income comprises contribution from projects, management fees, other income and less operating expenses.

3) Contribution from projects/Average investment in projects - value adjusted.

Contribution from share capital investments/Average share capital in projects - value adjusted.

Contribution from project loans and guarantees/Average project loans - net of allowance for impairment and value adjustments.

Total equity capital/Total balance



FINANCIAL REVIEW

IFU recorded a profit of DKK 228m in 2024 compared to a profit of DKK 146m in 2023. The result for 2024 was in line with expectations, which were for a profit of DKK 200-400m.

On the activity side, as also elsewhere reported, total contracted investments in 2024 in IFU's own name – excluding guarantees issued under the Danish Guarantee Facility, were DKK 1,546m, slightly above the high end of the range of DKK 1,000-1,500m expected last year. Including managed funds, the figure for contracted investments in 2024 was DKK 1,684m comparing to an expectation last year of DKK 1,500-2,500m, with the figure being lower mainly due to the late in the year closing of SDG Fund II.

Reverting to the financial result, currency effects were generally much less negative in 2024 compared to 2023. In total currency effects included in the contribution from the portfolio in 2024 are estimated²² at DKK (55)m compared to DKK (293)m in 2023.

Yield from share capital investments was 6.0 per cent against 1.7 per cent in 2023, whereas yield from loans and guarantees was 4.4 per cent in 2024 against 14.2 per cent in 2023. The high yield on loans in 2023 reflected, in particular, partial reversal of allowances for impairment on IFU's loan portfolio in Ukraine made in 2022.

Management fees and other income decreased in 2024 due to lower management fees from managed funds.

Operating expenses increased mainly due to increased salary costs, reflecting a growing number of staff to deliver on the planned increase in investment

activities, as well as IT expenses as IFU is implementing a digital transformation of key systems and collaborative tools. Financial income increased reflecting a larger average liquidity during the year. Financial expenses also increased, however, at a more moderate pace, reflecting new borrowing obtained from Damarks Nationalbank during the year.

IFU's equity end of year 2024 was DKK 6,362m.

Appropriation of net income for the year

The profit for the year has in full been transferred to retained earnings.

Contribution from projects

Total contributions from IFU's primary project-related activities were DKK 329m against DKK 212m in 2023.

Share capital investments contributed DKK 293m in 2024 against DKK 73m in 2023 with many portfolio companies contributing positively. Included in the contribution in 2024 is an estimated net negative DKK (62)m contribution from currency movements, a much smaller effect than seen for 2023, where the currency contribution was estimated at DKK (282)m. Both the USD and some local currencies where IFU has large exposure, especially the INR, appreciated against the DKK. Weakness was still seen across currencies of many African countries and in Brazil, where IFU has large exposure.

Project loans and guarantees contributed DKK 45m in 2024 against DKK 149m in 2023, with the

2023 amount being heavily impacted by changes in the carrying value of the Ukraine loan portfolio as mentioned above. Considering 2024 alone, allowances for impairment and value adjustments in 2024 on outstanding loans were at a relatively high level of DKK (70)m, corresponding to 6.8 per cent of average portfolio value during the year, higher than generally expected and mainly related to a few larger loan engagements. This also affected allowances for impairment on interest receivables.

Net effect of exchange rate adjustments and hedges was DKK 7m, compared to DKK (11)m in 2023, and due especially to the higher USD.

Other contributions from projects were DKK (9)m in 2024, mostly unchanged from DKK (10)m in 2023.

Management income

Management income was DKK 81m in 2024, down from DKK 98m in 2023. The decrease reflects lower management fees from managed funds reflecting a lower fee base in 2024 as the SDG I Fund exited the investment period during 2023 and as the first close of SDG Fund II only took place in December 2024.

Gross income

Gross income was DKK 410m, up from DKK 310m in 2023.

Operating expenses

Overall expenses covering both IFU and IFU managed funds rose to DKK 195m from DKK 155m in 2023. As highlighted above, the increase mostly relates to salaries and IT. Total number of staff on FTE basis increased to 116 from 105 in 2023. IFU will continue to

grow the organisation to successfully handle the significant increases in activities planned for the coming years in the IFU reform.

Cash flows and balance sheet items

Net cash flow for the year was DKK (449)m after investing DKK 887m in bonds. Financing activities provided a net of DKK 1,103m comprised both of loan financing from Danmarks Nationalbank, new capital contributions from the state and project funding from the EU. New disbursements to investments were DKK 1,143m, and IFU received DKK 568m from investments and investment-related receivables.

The capital contribution from the state (Ministry of Foreign Affairs) of in total DKK 939m is comprised of DKK 844m in general capital injection, DKK 7m for the Ukraine Facility, DKK 50m for IFU Impact Ventures and DKK 38m being first tranche aimed at the Sharaka Capital Fund, a planned initiative aimed at providing financing for SMEs in the MENA area.

The average value-adjusted portfolio of share capital investments grew to DKK 4.9bn in 2024 from DKK 4.4bn in 2023. For loans, the average value-adjusted portfolio was unchanged from 2023 at DKK 1.0bn.

Cash and bonds, net end of year was DKK 1.7bn, up from DKK 1.2bn in 2023. Undisbursed commitments end of year were DKK 5.8bn, up from DKK 2.0bn in 2023.

According to IFU's liquidity policy, the aim is to always have a positive liquidity position. With net cash and bonds at DKK 1.7bn, the liquidity position at year-end 2024 is fulfilling this objective.



22) Based on estimated primary currency exposure for each portfolio investment. For regional investments, the development for a basket covering multiple currencies is applied.



The high level of commitments compared to cash underlines the continued need for diligent management and forecasting of IFU's liquidity position and planning of new commitments. It is in this context noted that commitments normally only translate into disbursements over a multi-year period. Also, due consideration is given to existing and expected funding. Specifically, it is noted that the DKK 5.8bn commitment at end of 2024 includes DKK 1.6bn for a DSIF project, which will be financed through borrowing at Danmarks Nationalbank and not out of current liquidity. Also included is IFU's current DKK 1.1bn commitment to the SDG Fund II, partly to be financed through borrowing at Danmarks Nationalbank and only to be disbursed over a multi-year period.

The liquidity position is backed by the following overdraft and loan facilities, which to varying degrees are earmarked for specific purposes as reflected:

As per 31 December 2024, IFU's equity was DKK 6,362m, up from DKK 5,196m on 31 December 2023.

The increase reflects the net profit of DKK 228m and paid-in capital from the state (Ministry of Foreign Affairs) in the year of in total DKK 939m.

Risk management

IFU invests in projects located in developing countries. Political and economic conditions may be volatile, and the projects are often subject to high commercial risk.

As a result of this exposure, and in particular because IFU measures its investments at estimated fair value or recoverable amount in accordance with the accounting principles set out in the Danish Financial Statements Act, IFU's net financial results may fluctuate considerably from year to year due to value adjustments on the investments.

In preparing the financial statements, management makes a number of estimates and assumptions of future events that will affect the carrying amount of assets and liabilities. The areas where estimates



PowerGen, mini-grids in Sub-Saharan Africa.

Funding facilities

Type	Purpose	Issuer	Status on 31 December 2024 (DKKm)		
			Amount (DKKm)	Drawn (by IFU)	Available
Loan facility	Financing of DSIF lending	Danmarks Nationalbank	5,400	0	5,400
Loan facility	Financing of Denmark's Green Future Fund (DGFF)	Danmarks Nationalbank	1,000	684	316
Loan facility	Financing of SDG Fund I	Danmarks Nationalbank	800	800	0
Loan facility	Financing of SDG Fund II	Danmarks Nationalbank	800	0	800
Loan facility	Financing of green projects	Danmarks Nationalbank	500	57	443
Overdraft facility*	General	Danske Bank	300	0	300
EU funding	Financing of specific projects	EU	174	154	20
Total credit and loan facilities			8,975	1,695	7,279

* Shared with IØ

and assumptions are most critical to the financial statements are the fair value measurement of share capital investments and the assessment of the need for specific allowances for impairment and value adjustments on project loans. The notes to the financial statements provide more details.

To manage the overall risk in IFU's investment portfolio, a set of risk policies have been implemented in IFU's financial and investment policies. These policies include guidelines for appraisal of commercial risk for project, as well as concentration limits for project, partner and country risk exposure.




**Distribution of project commitments as at 31 December 2024
- five largest single country exposures in portfolio***

Country	OECD country risk classification	2024 per cent	2023 per cent
India	3	10.0	9.4
Brazil	4	8.8	7.2
Ukraine	7	5.1	4.8
South Africa	4	3.6	1.5
Morocco	3	3.2	0.9

* Based on IFU and IFU's share of portfolio investments in own managed funds.

Also included are guidelines for managing direct financial risk, in particular rules for acceptable counterparty risk for placement of free liquidity, hedging policy for managing currency exposure and management of interest rate risk on borrowing from Danmarks Nationalbank.

Commercial risk for each project is evaluated in the investment appraisal and approval process using a risk model based on IFU's experience from previously exited projects as well as on sensitivity analyses of key performance parameters specific to the project in question.

Project risk is further managed by the concentration limit for IFU's participation in a single project of 5 per cent of the fund's total project commitments (the sum of investments at acquisition cost, remaining commitments and binding commitments), whereas partner risk is managed by the concentration limit of exposure to a single partner (main counterparty) of 10 per cent of the fund's total project commitments.

Country risk is managed by the concentration limits for portfolio exposure to any single country depending on OECD country risk classification, ranging from 10 per cent of the fund's total project commitments for category 7 countries, 15 per cent for categories 5 and 6, and 20 per cent for categories 1-4.

Details on equity, credit, currency, interest rate risk and liquidity risk are provided in notes 22 to 25 to the financial statements.

Events after the balance sheet date

No events have occurred after the balance sheet date, which have materially affected IFU's financial position.

Outlook for 2025

In 2025, IFU expects to contract investments in the range of DKK 1,000-1,500m in its own name, including investments funded by borrowing from Danmarks Nationalbank. IFU expects gross and net income in 2025 in the ranges of DKK 500-750m and DKK 250-

450m, respectively, the amounts however subject to considerable uncertainty as highlighted in the risk management section above, and adding to this is the current increased uncertainty about international trade and economic policy potentially affecting IFU's target markets.

Including investments contracted by IFU managed funds, IFU expects to contract total investments in the range of DKK 2,000-2,600m. In addition, it is expected that up to DKK 1,250m in guarantees will be issued under the Development Guarantee Facility and that Danida Sustainable Infrastructure Finance will finalise loan transactions in the range of DKK 1,000 to 2,200m, part of which to be financed through IFU.



FINANCIAL STATEMENTS



INCOME STATEMENT

Note	DKK 1,000	DKK 1,000
	2024	2023
2/ Contribution from share capital investments	292,746	73,133
3/ Contribution from project loans and guarantees	45,186	149,075
4/ Other contributions from projects	(8,934)	(10,077)
CONTRIBUTION FROM PROJECTS	328,998	212,129
5/ Management fees and other income	80,879	97,607
GROSS INCOME	409,877	309,739
6/ Operating expenses	(195,200)	(155,404)
OPERATING INCOME	214,677	154,332
Financial income	40,952	11,621
Financial expenses	(27,450)	(20,309)
NET INCOME FOR THE YEAR	228,179	145,664



BALANCE SHEET AT 31. DECEMBER

ASSETS		DKK 1,000	DKK 1,000
Note		2024	2023
NON CURRENT ASSETS			
7/	Share capital investment in projects	5,281,451	4,485,509
8/	Project loans	1,107,679	962,588
9/	Investment in subsidiaries	2,670	2,670
10/	Property, plant and equipment	1,961	2,500
	Other receivables	15,725	15,725
	Total non-current assets	6,409,486	5,468,992
CURRENT ASSETS			
11/	Interest receivable related to projects	68,378	68,732
12/	Other receivables	48,215	74,801
	Bonds	1,414,572	525,545
	Cash	267,825	717,171
	Total current assets	1,798,992	1,386,249
	TOTAL ASSETS	8,208,476	6,855,241

LIABILITIES AND EQUITY		DKK 1,000	DKK 1,000
Note		2024	2023
EQUITY			
13/	Paid-in capital	4,372,155	3,433,490
	Repaid capital	(1,250,000)	(1,250,000)
	Retained earnings	3,240,213	3,012,034
	Total equity	6,362,368	5,195,524
PROVISION FOR LOSSES			
14/	Provisions for guarantees and loan commitments	2,088	1,847
	Total provisions for losses	2,088	1,847
NON CURRENT LIABILITIES			
15/	Debt to credit institutions	1,754,376	1,588,419
	Total non-current liabilities	1,754,376	1,588,419
CURRENT LIABILITIES			
16/	Other current liabilities	89,644	69,451
	Total current liabilities	89,644	69,451
	Total liabilities	1,846,108	1,659,717
	TOTAL EQUITY, PROVISION FOR LOSSES AND LIABILITIES	8,208,476	6,855,241



EQUITY STATEMENT

2024	Paid-in capital	Repaid capital	Retained earnings	Total
Total equity as at 1 January 2024	3,433,490	(1,250,000)	3,012,034	5,195,524
Net income for the year	0	0	228,179	228,179
Paid-in capital for the year	938,665	0	0	938,665
Total equity as at 31 December 2024	4,372,155	(1,250,000)	3,240,213	6,362,368

2023	Paid-in capital	Repaid capital	Retained earnings	Total
Total equity as at 1 January 2023	3,009,490	(1,250,000)	2,871,390	4,630,880
Net income for the year	0	0	140,664	140,664
Paid-in capital for the year	424,000	0	0	424,000
Total equity as at 31 December 2023	3,433,490	(1,250,000)	3,012,034	5,195,524



CASH FLOW STATEMENT

	DKK 1,000	DKK 1,000
	2024	2023
CASH FLOW FROM OPERATING ACTIVITIES		
Dividends from projects received	43,838	90,723
Interest from projects received	77,217	117,470
Other project-related payments	(1,412)	(3,550)
Operating expenses, net	(96,340)	(89,902)
Net payments related to financial income and expenses	6,314	(12,784)
Net cash from operating activities	29,617	101,957
CASH FLOW FROM (TO) INVESTING ACTIVITIES		
Received from sale of shares	251,439	357,004
Received from project loans	203,598	197,511
Received from derivatives, loans	(7,030)	(2,399)
Collateral received regarding derivatives	700	15,500
Paid-in share capital in projects	(779,103)	(548,933)
Disbursement of project loans	(364,559)	(78,226)
Paid-in capital in subsidiaries	0	(440)
Received from (invested in) bonds	(887,358)	(422,042)
Net cash from (to) investing activities	(1,582,312)	(482,025)

	DKK 1,000	DKK 1,000
	2024	2023
CASH FLOW FROM (TO) FINANCING ACTIVITIES		
Loan from Danmarks Nationalbank	152,878	574,595
Loan from the Nordic Investment Bank	(14,670)	(14,540)
Financing from EU	26,475	50,999
Paid-in capital received during the year	938,665	424,000
Net cash from (to) financing activities	1,103,349	1,035,054
NET CHANGE IN CASH	(449,346)	654,986
NET CASH BEGINNING OF YEAR	717,171	62,185
NET CASH END OF YEAR	267,825	717,171



NOTES

1. Accounting policies
2. Contribution from share capital investments
3. Contribution from project loans and guarantees
4. Other contributions from projects
5. Management fees and other income
6. Operating expenses
7. Share capital investment in projects
8. Project loans
9. Investment in subsidiaries
10. Property plant and equipment
11. Interest receivable related to projects
12. Other receivables
13. Paid-in capital
14. Provisions for guarantees and loan commitments
15. Debt to credit institutions
16. Other current liabilities
17. Undisbursed commitments to projects
18. Contingent liabilities
19. Related party disclosures
20. Recommended appropriation of net income
21. Financial risk management
22. Equity and credit risk
23. Currency risk
24. Interest rate risk
25. Liquidity risk
26. Classification of financial instruments
27. Fair value measurement basis



NOTES

Note 1 / Accounting policies

This annual report has been prepared in accordance with the provisions of the Danish Financial Statements Act concerning Class C enterprises (large). In accordance with Section 37 (5) in the Danish Financial Statements Act, IFU applies the International Financial Reporting Standards (IFRS) as regards measurement of financial assets and financial liabilities (IFRS 9), fair value measurement (IFRS 13) and related disclosures (IFRS 7). The accounting principles applied are unchanged from previous year.

Presentation and classification

To better reflect IFU's activities, the presentation of the income statement and balance sheet as well as the order of the line items in the income statement deviate from the standard format in the Danish Financial Statements Act. By presenting the primary statements on the basis of IFU's special character as an investment fund (long-term investments), the financial statements hereby provide the reader with the best possible overview of IFU's activities. The deviation is in accordance with Section 23 (4) of the Danish Financial Statements Act.

Recognition and measurement

Assets are recognised in the balance sheet when it is probable that future economic benefits will flow to IFU, and provided that the value of the assets can be measured reliably.

Liabilities are recognised in the balance sheet when IFU has a legal or constructive obligation as a result of a prior event, and it is probable that future economic benefits will flow out of IFU, and the value of the liabilities can be measured reliably.

On initial recognition, financial assets and liabilities are measured at fair value, which is generally equivalent to cost. Adjustment subsequent to initial recognition is affected as described below for each item.

Information brought to IFU's attention before the time of finalising the presentation of the annual report, and which confirms or invalidates affairs and conditions existing at the balance sheet date, is included in the recognition and measurement.

Income other than value adjustments is recognised in the income statement when earned, just as costs are recognised by the amounts attributable to this financial year. Value adjustments of financial assets and liabilities are recognised in the income statement as value adjustments. Danish kroner is used as the measurement currency. All other currencies are regarded as foreign currencies.

The fund's revenues are comprised of gross contribution from investments, however not less than zero.

Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The fair value for financial instruments traded in active markets at the reporting date is based on their quoted price, without any deduction for transaction costs.

For all other financial instruments not traded in an active market, the fair value is determined by using valuation techniques deemed to be appropriate in the circumstances.

For assets and liabilities that are measured at fair value on a recurring basis, IFU identifies transfers to and from the three levels of the fair value hierarchy by reassessing the categorisation and deems transfers to have occurred at the beginning of each reporting period.

Foreign currency adjustment

Foreign currency transactions are initially recognised in DKK using the exchange rate at the transaction date. Loans, receivables, payables and other monetary items denominated in foreign currencies, which have not been settled at the balance sheet date, are converted into DKK using the exchange rate at the balance sheet date. All exchange rate adjustments, including those that arise at the payment date, are recognised in the income statement as contribution from projects or financial income and expenses, depending on their nature.

Non-monetary items

Monetary balance sheet items are translated at the exchange rates at the balance sheet date, whereas non-monetary items are translated at transaction date rates.

Commitments

Undisbursed commitments to projects are comprised of undisbursed contractual commitments and binding commitments not yet contracted. The existence of such liabilities will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within IFU's control.

INCOME STATEMENT

Contribution from share capital investments

Contribution from share capital investments includes declared dividends (net of non-refundable taxes), gains and losses from divested share capital investments and value adjustments in relation to the outstanding portfolio at year-end. Dividends are included in the income statement at the declaration date.

Contribution from project loans and guarantees

Contribution from project loans and guarantees includes interest income, guarantee commissions and value adjustments, including impairment provisions, reversals of impairment provisions and exchange rate adjustments.

Other contributions from projects

Other contributions from projects include value adjustments, including exchange rate adjustments in relation to receivables, the effect of derivative hedges and interest from receivables.

Management fees and other income

Management fees comprise fees received for the management of IFU managed funds, and also include any other fees associated with administration of projects for the European Commission, such as arrangement or servicing fees.

Operating expenses

Operating expenses comprise expenses for management, administrative staff, office expenses, depreciation of property, plant and equipment, etc.

Financial income and expenses

Financial income and expenses comprise interest income on cash and bonds, realised and unrealised capital gains and losses on bonds, interest expenses, exchange rate adjustments on cash and bank charges.



NOTES

Note 1 / Accounting policies continued

BALANCE SHEET

Share capital investment in projects

Share capital investments in projects are recognised when they are disbursed.

Share capital investments in projects are measured at cost at initial recognition and subsequently at fair value throughout the investment period, with changes recognised through profit or loss as contribution from share capital investments.

Share capital investments in projects where IFU has significant influence (typically 20-50 per cent of the voting rights) are associates and are accounted for as share capital investments.

Project loans

Project loans are designated as loans and receivables and are recognised when they are disbursed. Project loans are initially recognised at fair value and are subsequently measured at amortised cost less an allowance for impairment provided that they meet the so-called "SPPI" test (solely payments of principal and interest).

The allowance for impairment is measured in accordance with IFRS 9 by applying the simplified approach, whereby the expected loss in the remaining life of the loan is recognised irrespective of whether the loan is allocated to stage 3 (credit impaired), stage 2 (significant increase in credit risk) or stage 1 (all other loans).

The expected loss is measured loan by loan by applying an estimated loss percentage based on IFU's past experience, current expectations and internal rating of the individual project loans.

Provisions for losses on guarantees and loan commitments are calculated in the same way as the allowance for impairment of project loans.

Impaired project loans, together with the associated allowance amount, are written off when there is no realistic prospect of future recovery, and all collateral has been realised or has been transferred to IFU. If a previous write-off is later recovered, the recovery is credited to "Contribution from project loans and guarantees".

Project loans, which do not meet the "SPPI" test, e.g. loans which include equity features such as profit participation or equity conversion options, are measured at fair value. Value changes are recognised in profit or loss as contribution from project loans.

Investments in subsidiaries

Investments in subsidiaries are included in the balance at cost less accumulated impairment losses. Subsidiaries are insignificant in size and consolidated accounts have therefore not been made.

Property, plant and equipment

Property, plant and equipment are measured at cost less accumulated depreciation and impairment losses.

Straight-line depreciation is made on the basis of an estimated useful life of the fixed asset varying from three to ten years. Depreciation is recognised in the income statement under operating expenses.

Fixtures and operating equipment and leasehold improvements costing less than DKK 33,100 per unit are recognised as costs in the income statement at the time of acquisition.

Interest receivable related to projects and other receivables

Interest receivables related to projects and other receivables are designated as receivables and are recognised over the period when they are earned.

Interest receivables related to projects and other receivables are recognised at nominal value less any allowance for impairment.

Interest receivable related to projects includes accrued interest on project loans. Other receivables include receivables from sale of shares and loans, dividends receivables, administrative and other project-related receivables.

Derivative financial instruments

On initial recognition in the balance sheet and subsequently, derivative financial instruments are measured at fair value. Positive and negative fair values of derivative financial instruments are recognised under other receivables or other payables, respectively, and are only offset when IFU has the legal right and the intention to settle several financial instruments net.

Changes in the fair value of derivative financial instruments are recognised in the income statement as either "Contribution from project loans and guarantees", if related to economical hedging of project loans, or "Other contributions from projects", if related to economical hedging of receivables from sale of shares.

Bonds

Bonds are stated at the official prices quoted on the balance sheet date except for drawn bonds, which are stated at par value. Realised and unrealised gains or losses on bonds are recognised in the income statement under financial income, net.

Cash

Cash and cash equivalents comprise cash in bank deposits and on hand.

Other liabilities

Non-current liabilities are recognised at the date of borrowing as the proceeds received less transaction costs paid. Subsequently, non-current liabilities are measured at amortised cost. Liabilities are designated as long-term debt according to the repayment conditions at the balance sheet date.

Loans from the EU are recognized using fair value measurement and are subsequently impaired in accordance with the same principles applied to investment assets.

Current liabilities are initially recognised at fair value and are subsequently measured at amortised cost.

CASH FLOW STATEMENT

The cash flow statement has been prepared in accordance with the direct method and shows IFU's cash flow from operating, investing and financing activities as well as IFU's cash position at the beginning and end of the year. Cash comprises cash at hand less short-term bank debt.

KEY RATIOS

Yield from share capital investments:

$$\text{Contribution from share capital investments} + \left(\frac{\Delta \text{Share capital investment in projects}}{2} \right)$$

Yield from project loans and guarantees:

$$\text{Contribution from share capital investments} + \left(\frac{\Delta \text{Project loan} + \Delta \text{Guarantees}}{2} \right)$$

Yield from projects (total):

$$\text{Contribution from projects} + \left(\frac{\Delta \text{Investments in projects, net}}{2} \right)$$

Solidity ratio:

$$\text{Total equity capital} \div \text{Total balance}$$



NOTES

Note 2 / Contribution from share capital investments

	DKK 1,000	DKK 1,000
	2024	2023
Dividends from projects	40,011	57,833
Realised gain (loss) from divested share capital investments	25,125	2,883
Value adjustments, portfolio	229,958	5,641
Debt directly related to share capital investments	(2,347)	6,776
Total contribution from share capital investments	292,746	73,134

Note 4 / Other contributions from projects

	DKK 1,000	DKK 1,000
	2024	2023
Value adjustments, receivables, excl. exchange rate adjustments	(493)	(5,484)
Exchange rate adjustments, receivables	126	(110)
Interest from receivables	1,452	(395)
Other income and expenses	(10,019)	(4,088)
Total other contributions from projects	(8,934)	(10,077)

Note 3 / Contribution from project loans and guarantees

	DKK 1,000	DKK 1,000
	2024	2023
Contribution from project loans and guarantees measured at fair value		
Value adjustments, derivatives related to projects	(23,218)	8,968
	(23,218)	8,968
Contribution from project loans and guarantees measured at amortised cost		
Interest income and fees related to project loans and guarantees	196,388	212,315
Allowance for impairment, interest and fees	(87,672)	(41,493)
Allowance for impairment and value adjustments, loan portfolio	(70,191)	(11,375)
Allowance for impairment, remaining commitments on loan portfolio	(226)	618
Allowance for impairment, guarantees	(15)	(355)
Exchange rate adjustments, project loans	30,120	(19,605)
	68,404	140,106
Total contribution from project loans and guarantees	45,186	149,073



NOTES

Note 5 / Management fees and other income

	DKK 1,000	DKK 1,000
	2024	2023
<u>Management fees and other income</u>		
Management fees	80,435	97,229
Board member fees	344	278
Various income	100	100
Total management fees and other income	80,879	97,607

Note 6 / Operating expenses

	DKK 1,000	DKK 1,000
	2024	2023
<u>Expenses</u>		
Salaries, head office	99,192	85,056
Rental expenses, head office	10,276	8,081
Travel expenses, head office	5,816	5,360
Regional office expenses	20,756	18,583
Fees for board of directors	2,034	1,675
Fees for external assistance	11,282	6,240
IT expenses	24,891	15,279
Office expenses, head office	2,394	1,793
Various expenses	16,651	10,884
Depreciation of fixed assets and leasehold improvements (note 10)	770	753
Total expenses before payroll tax	194,061	153,704
Payroll tax	1,139	1,700
Total operating expenses	195,200	155,404

	DKK 1,000	DKK 1,000
	2024	2023
Fee to the auditor of the funds included in		
"Fees for external assistance" and "Various expenses":	2,133	1,523
- hereof audit fees*	651	599
- hereof other assurance engagements	436	201
- hereof tax and VAT advice	79	19
- hereof other non-audit services	1,061	659

Fees for services other than audit provided by Deloitte Statsautoriseret Revisionspartnerselskab amounted to 1,576t (2023: 878t) and covered various assurance reports, assistance on know-your-client procedures and advisory regarding CSRD.

Specification of personnel expenses (salaries etc.)**

Salaries, remunerations etc.	116,405	91,961
Pension contributions	9,157	8,459
Other expenses for social security	344	409
Payroll tax	1,140	1,701
Total personnel expenses	127,046	102,530

Remuneration to the board of directors	2,253	1,675
Remuneration to the executive board	9,001	5,780
Total remuneration to the board of directors and executive board	11,254	7,455

Average number of employees, head office	97	87
Average number of employees, regional offices	20	18
Total average of employees	117	105

*) Here of DKK 519t directly realted to IFU (DKK 494 in 2023), **) The figures are included in "Salaries, head office", "Travel expenses", "Regional office expenses", "Fees for board of directors" and "Payroll tax".



NOTES

Note 7 / Share capital investments in projects

	DKK 1,000	DKK 1,000
	2024	2023
Share capital investment in projects beginning of year at cost	4,437,362	4,249,532
Paid-in share capital in projects during the year	779,103	548,933
Project loans or interest converted into share capital during the year	0	0
Proceeds from divestment of shares	(238,243)	(378,501)
Realised gain (loss) from divestment of shares relative to cost, net	(70,839)	17,398
Share capital investment in projects end of year at cost *	4,907,381	4,437,362

	DKK 1,000	DKK 1,000
	2024	2023
Accumulated value adjustments beginning of year	48,147	57,020
Reversed value adjustments, divested share capital investments	95,964	(14,515)
Value adjustments, portfolio during the year	229,958	5,641
Accumulated value adjustments end of year	374,069	48,147
Share capital investment in projects end of year	5,281,450	4,485,509
Hereof associated companies:		
Share capital investment in projects end of year at cost	2,739,098	2,739,098
Accumulated value adjustments end of year	31,936	31,936
	2,771,034	2,771,034
Accumulated value adjustments end of year are comprised of:		
Positive value adjustments	1,025,317	724,891
Negative value adjustments	(651,248)	(676,744)
	374,069	48,147

*) DKK 528.203m guaranteed by the Danish state (DKK 470.8m in 2023)



NOTES

Note 7 / Share capital investments in projects continued

Associated companies

DKK 1,000

2024

Name/domicile	Form of company	IFU's ownership interest (%)	Result According to the latest approved annual report	Equity
aBi Finance Limited, <i>Uganda</i>	Ltd.	28.32	30,104	427,180
Abler Nordic AS, <i>Norway</i>	AS	33.33	2,087	82,079
AC Capitaes Infrastructure Fund II, <i>Canada</i>	Fund	20.27	(1,949)	40,694
Aerial & Maritime Ltd, <i>Mauritius</i>	Ltd.	35.17	(2,154)	21,309
Africa GreenCo Groud Limited, <i>Zambia</i>	Ltd.	29.09	(12,926)	4,174
African Coffee Roasters (EPZ), <i>Limited Kenya</i>	Ltd.	20.00	(1,929)	(2,657)
African Guarantee Fund, <i>Kenya</i>	Fund	33.52	1,705	1,488,122
Afrinord Hotel Investments A/S, <i>Denmark</i>	A/S	20.00	17	2,732
Afro Farm Limited, <i>Tanzania</i>	Ltd.	40.00	(1,684)	(5,883)
Al Quseir Hotel Company SAE, <i>Egypt</i>	SAE	20.00	2,588	7,327
Alliance for Microfinance in Myanmar Limited, <i>Myanmar</i>	Ltd.	23.55	(76,377)	77,182
BOPA PTE Ltd, <i>Cambodia</i>	Ltd.	30.31	16,667	229,739
CerCa A/S, <i>Denmark</i>	A/S	48.00	(37)	1,000
COT Africa Limited, <i>Mauritius</i>	Ltd.	49.99	(708)	26,302
CRDB Bank Congo SA, <i>DR Congo</i>	SA	22.50	N/A*	N/A*
Danish Agribusiness Fund K/S, <i>Denmark</i>	K/S	37.50	89,764	410,038
Danish Climate Investment Fund I K/S, <i>Denmark</i>	K/S	39.92	6,363	952,659

Associated companies

DKK 1,000

2024

Name/domicile	Form of company	IFU's ownership interest (%)	Result According to the latest approved annual report	Equity
Danish Microfinance Partners K/S, <i>Denmark</i>	K/S	24.92	328	1,889
Danish Sustainable Development Goals Investment Fund K/S, <i>Denmark</i>	K/S	40.00	297,982	4,620,275
Danper Agrícola La Venturosa S.A.C., <i>Peru</i>	S.A.C	45.00	(4,029)	53,022
Emerging Markets Power Ghana Limited, <i>Ghana</i>	Ltd.	27.00	(242)	436
Enara Bahrain SPV W.L.L., <i>Bahrain</i>	WLL	41.43	(2,171)	163,836
Equilibrium Management Co. Ltd., <i>China</i>	Ltd.	31.60	(2,527)	(2,587)
Jema Autolife Co., Ltd., <i>China</i>	Ltd.	44.01	(2,035)	(1,900)
Nordic Horn of Africa Opportunities Fund, <i>Canada</i>	Fund	47.17	(1,649)	159,511
Nordic Microfinance Initiative Fund III KS, <i>Norway</i>	K/S	24.40	(8,436)	349,838
Rabai Power Holding Limited Norway, <i>United Kingdom</i>	Ltd.	20.00	60,90	418,715
Smart Solar Internatinal Holding, <i>France</i>	SA	49.00	(161)	(2,450)
Spark+ Africa Fund SCSp, <i>Luxembourg</i>	SLP	45.33	(2,645)	108,964

*) The entities first annual report has not yet been approved.



NOTES

Note 8 / Project loans

	DKK 1,000	DKK 1,000
	2024	2023
Project loans beginning of year at cost	1,372,467	1,498,316
Disbursements during the year	364,559	78,226
Interest and fees converted into project loans during the year	24,200	17,008
Repayments during the year	(203,598)	(197,511)
Exchange rate adjustments, project loans	30,120	(19,605)
Write-offs during the year	(18,502)	(3,969)
Project loans end of year at cost	1,569,246	1,372,467
Accumulated value adjustments incl. allowance for impairment beginning of year	(409,879)	(400,811)
Value adjustments including allowance for impairment for the year	(51,688)	(7,406)
Allowance for impairment related to conversions during the year	0	(1,662)
Accumulated value adjustments incl. allowance for impairment end of year	(461,567)	(409,879)
Total project loans	1,107,679	962,588

Hereof project loans at amortised cost:

	DKK 1,000	DKK 1,000
	2024	2023
Project loans at amortised cost end of year at cost	1,569,246	1,372,467
Accumulated allowance for impairment end of year	(461,567)	(409,879)
	1,107,679	962,588

Hereof project loans at fair value:

Project loans at fair value end of year at cost	0	0
Accumulated value adjustments end of year	0	0
	0	0

*) Project loans end of year at cost are comprised of:

Senior project loans	1,116,110	1,107,124
Subordinated loans	376,191	206,184
Equity loans	76,945	59,159
	1,569,246	1,372,467

*) Project loans end of year at cost in DKK distributed according to currency denomination:

	2024	2023		
	Currency	Currency		
DKK			312,890	192,580
USD	65,645	71,878	468,896	436,515
EUR	92,846	68,501	692,628	293,743
INR	900,000	500,000	75,240	39,751
Other currencies			19,592	0
			1,569,246	962,588



NOTES

Note 9 / Investment in subsidiaries

	DKK 1,000	DKK 1,000
	2024	2023
Investment in subsidiaries beginning of year at cost	2,670	2,230
New investments during the year	0	440
Investment in subsidiaries end of year at cost	2,670	2,670
Accumulated value adjustments end of year	0	0
Investment in subsidiaries, net end of year	2,670	2,670

Investments in subsidiaries comprises of:

Name / Domicile:	Form of company	IFU's ownership interest (%)	Result (according to the latest approved annual report)	Equity (according to the latest approved annual report)
IFU Investments Komplementar Copenhagen, <i>Denmark</i>	ApS	100%	32	277
IFU Investments Partners GP Copenhagen, <i>Denmark</i>	P/S	100%	(32)	214
DCIF I GP Komplementar Copenhagen, <i>Denmark</i>	ApS	100%	15	139
DCIF I GP Copenhagen, <i>Denmark</i>	P/S	100%	(11)	356
DAF I GP Komplementar Copenhagen, <i>Denmark</i>	ApS	100%	12	111
DAF I GP Copenhagen, <i>Denmark</i>	P/S	100%	(7)	399
DSDG GP Komplementar Copenhagen, <i>Denmark</i>	ApS	100%	10	92
DSDG GP Copenhagen, <i>Denmark</i>	P/S	100%	(4)	434
DSDG II GP Komplementar Copenhagen, <i>Denmark</i>	ApS	100%	N/A*	N/A*
DSDG II GP Copenhagen, <i>Denmark</i>	P/S	100%	N/A*	N/A*

Subsidiaries are insignificant in size and consolidated accounts have not been made.

*) The entities first annual report has not yet been approved.

Note 10 / Property, plant and equipment

	DKK 1,000	DKK 1,000
	2024	2023
Cost beginning of year	13,917	13,691
Additions during the year	229	226
Cost end of year	14,146	13,917
Depreciation beginning of year	11,417	10,664
Depreciation for the year (note 6)	770	753
Depreciation end of year	12,187	11,417
Total property, plant and equipment	1,959	2,500

Note 11 / Interest receivable related to projects

	DKK 1,000	DKK 1,000
	2024	2023
Interest receivable related to projects before allowance for impairment	258,682	183,420
Allowance for impairment	(190,304)	(114,688)
Interest receivable related to projects	68,378	68,732



NOTES

Note 12 / Other receivables

	DKK 1,000	DKK 1,000
	2024	2023
Dividend receivables	281	3,996
Receivables from sale of shares	7,510	20,705
Receivables from sale of loans	911	2,186
Receivable front-end fees	4,979	1,353
Other project-related receivables	129	115
Derivatives	3,011	11,048
Collateral paid regarding derivatives	0	700
Administrative receivables	16,743	26,140
Accrued interest receivables from bonds	11,454	5,380
Rental deposits	3,197	3,177
Total other receivables	48,215	74,801

Note 13 / Paid-in capital

	DKK 1,000	DKK 1,000
	2024	2023
Paid-in capital beginning of year	3,433,490	3,009,490
IFU Impact Ventures	50,000	0
Sharaka Capital Fund	38,000	0
Ukraine facility	6,765	110,000
India Climate Finance Initiative	0	100,000
Blended Finance Energy Initiative	0	99,000
IFU capital	843,900	115,000
Paid-in capital end of year	4,372,155	3,433,490



NOTES

Note 14 / Provisions for guarantees and loan commitments

	DKK 1,000	DKK 1,000
	2024	2023
Allowance for impairment on remaining commitments beginning of year	1,847	2,110
Allowance for impairment on remaining commitments on loans	226	(618)
Allowance for impairment on remaining commitments on guarantees	15	355
Allowance for impairment on remaining commitments end of year	2,088	1,847

Note 15 / Debt to credit institutions

	DKK 1,000	DKK 1,000
	2024	2023
Loan from Danmarks Nationalbank	1,552,160	1,400,484
Loan from the Nordic Investment Bank	52,220	66,890
Loan from EU	149,996	121,045
Total debt to credit institutions	1,754,376	1,588,419

The term of the bullet loans issued by Danmarks Nationalbank are seven to nine years and with an annual interest rate of 2.25% - 0.0% and an annual fee to the Danish State of 0.15%.

The term of the equal installment loans issued by Nordic Investment Bank are five to six years and with a semi-annual variable interest rate.

Loan from EU has no terms and is related to a specific share capital investment.

Note 16 / Other current liabilities

	DKK 1,000	DKK 1,000
	2024	2023
Other project-related debt	0	94
Derivatives *	12,850	4,699
IFU Sustainability Facility	14,714	15,964
Administrative debt	53,906	45,351
Other liabilities	8,174	3,343
Total other current liabilities	89,644	69,451

*) Stated amount for 2024 concerns a hedged amount of USD 56,7m with term from 2024 to 2028.

Note 17 / Undisbursed commitments to projects

Undisbursed commitments to projects are comprised of undisbursed contractual commitments and binding commitments not yet contracted. The stated amount of guarantees is net of provision for losses, if any.

	DKK 1,000	DKK 1,000
	2024	2023
Amounts payable on share capital and loan agreements	3,084,447	1,746,794
Guarantees *	509	494
Binding commitments	2,693,447	206,434
Total undisbursed commitments to projects	5,778,403	1,953,722

*) Net outstanding guarantees after provision for losses amount to 0 (0 in 2023).



NOTES

Note 18 / Contingent liabilities

The total lease and rental commitments amount to DKK 12.7m (DKK 7.5m in 2023)
- hereof due within the following year DKK 12.2m (DKK 7.5m in 2023).

Note 19 / Related party disclosures

IFU project investments - shares and loans

For a list of project investments where IFU has significant influence, see note 7.

Transactions conducted during the year with the project companies include dividends, interest income and fees and directors' fees from the companies in which IFU representatives are board members.

In accordance with section 98 c (7) of the Danish Financial Statements Act, the amount of the related party transactions have not been disclosed in the financial statements as they were conducted on an arm's length basis.

Board of directors and executive board

IFU's other related parties are the members of the board of directors and the executive board.

During 2024, IFU had business transactions with Nykredit Bank A/S, part of the Nykredit Group, in which the chairman is CEO, and with PKA, where four pension funds under PKA have invested in funds managed by IFU - these investments are managed for PKA by IIP Denmark, in which the deputy chairman is managing partner.

The rules of procedure for the board contain detailed rules regarding conflict of interest - as well as a reference to the conflict-of-interest rules in the Danish Public Administrations Act, which the board is subject to - and the above-mentioned business transactions are not considered to be of a nature as to impair the general independence of the chairman or the deputy chairman.

Furthermore, remuneration was paid to the members of the board of directors and executive management. Also, the chairman and the deputy chairman receive remuneration for representing IFU at the investor board of the Danish Sustainable Development Goals Investment Fund K/S, a fund established and managed by IFU.

Note 20 / Recommended appropriation of net income

	DKK 1,000	DKK 1,000
	2024	2023
Dividend proposed for the year	0	0
Distribution to IFU Sustainability Facility	0	5,000
Transferred to reserve under equity	228,179	140,644
	228,179	145,644

Note 21 / Financial risk management

IFU is exposed to the following financial risk.

Equity and credit risk (note 23)

Market risk

- Currency risk (note 24)
- Interest rate risk (note 25)

Liquidity risk (note 26)

Under each risk is disclosed IFU's objectives, policies and processes for managing those risks. Further, the quantitative information about IFU's exposure to, like sensitivity and concentration is disclosed in the concurring note. There have been no substantive changes in the IFU's exposure to financial instrument risks, its objectives, policies and processes for managing those risks or the methods used to measure them from previous periods unless otherwise stated in the underlying notes.

The board of directors has established limits to a void excessive concentrations of risk and through its investment policy and due diligence procedures, IFU further seeks to identify and mitigate the equity and credit risk. Further, the board of directors has established a Audit and Risk Committee to continuously monitor the exposed risks.

Note 22 / Equity and credit risk

Equity risk

Equity risk arises from changes in the fair values of share capital investments in projects.

Credit risk

Credit risk is the risk that IFU will incur a financial loss due to a counterparty not fulfilling its obligation.

These credit exposures occur from project loans, derivatives and other transactions.

Managing equity and credit risk

At portfolio level, IFU mitigates equity risk and credit risk by investing in a variety of countries and by limiting the concentration of risks per partner. IFU assesses concentrations of risk on the basis of total commitments, which include acquisition cost of both share capital investments and project loans, binding commitments and amounts payable on share capital and loan agreements. Furthermore, through the due diligence process IFU assesses the specific risks for each share capital investment and project loan and seeks to mitigate associated equity and credit risks.

For some of IFU's share capital investments, IFU has the opportunity to sell the shares through pre-agreed exit agreements. In this way, IFU mitigates the risk of not being able to exit the investments. See note 28 for fair value measurement basis.

"On an ongoing basis, the credit quality of the projects is assessed based on among other things:

- Specific terms as agreed
- Current and expected operational results of the company
- Expected sales value and pledges
- Historical records of debt service



NOTES

Note 22 / Equity and credit risk continued

IFU has incorporated forward looking information in the IFRS 9 provision model by assessing budgets on the portfolio companies.

The table below shows the distribution of the cost of IFU's investments by the OECD country risk classification.

2024	Share capital investments		Project loans		Total		Commitments (off balance)	
OECD	DKK 1,000	%	DKK 1,000	%	DKK 1,000	%	DKK 1,000	%
2	25,654	0%	2,953	0%	28,607	0%	8,827	0%
3	579,152	11%	97,425	9%	676,577	11%	251,711	4%
4	188,408	4%	273,884	25%	462,292	7%	490,227	8%
5	260,914	5%	181,527	16%	442,441	7%	1,587,143	27%
6	327,051	6%	103,532	9%	430,583	7%	16,151	0%
7	314,385	6%	293,420	26%	607,805	10%	196,732	3%
Africa regional	1,456,791	28%	40,829	4%	1,497,621	23%	65,139	3%
DAC	1,937,838	37%	29,551	3%	1,967,389	31%	3,007,659	52%
Asia regional	164,876	3%	12,500	1%	177,376	3%	33,355	1%
Latin America Regional	26,382	0%	0	0%	26,382	0%	21,459	0%
Not rated	0	0%	72,058	7%	72,058	1%	0	0%
Total	5,281,451	100%	1,107,679	100%	6,389,130	100%	5,778,403	100%

2023	Share capital investments		Project loans		Total		Commitments (off balance)	
OECD	DKK 1,000	%	DKK 1,000	%	DKK 1,000	%	DKK 1,000	%
2	72,841	2%	118,236	9%	191,077	3%	30,673	2%
3	220,514	5%	126,310	9%	346,824	6%	94,497	5%
4	113,821	3%	209,429	15%	323,250	6%	54,494	3%
5	68,714	2%	91,298	7%	160,012	3%	0	0%
6	390,001	9%	125,276	9%	515,277	9%	15,387	1%
7	365,961	8%	533,525	39%	899,486	15%	156,485	8%
Africa regional	1,224,761	28%	71,649	5%	1,296,410	22%	130,930	7%
DAC	1,796,207	40%	31,978	2%	1,828,185	31%	1,032,859	53%
Asia regional	11,985	0%	0	0%	11,985	0%	28,320	1%
Latin America Regional	172,557	4%	0	0%	172,557	3%	38,906	2%
Not rated	0	0%	64,766	5%	64,766	1%	371,173	19%
Total	4,437,362	100%	1,372,467	100%	5,809,829	100%	1,953,722	100%



NOTES

Note 22 / Equity and credit risk continued

Credit quality/impairment (IFRS 9)

All outstanding project loans valued at amortised cost have been classified into three stages:

- Stage 1 includes project loans with no credit deterioration and no specific allowance for impairment.

The allowance for impairment according to IFRS 9 are based on IFU's historical annual credit loss.

- Stage 2 includes project loans where payments are delayed with more than 30 days at the end of the year but without specific allowance for impairment.

The allowance for impairment according to IFRS 9 are based on IFU's historical credit loss.

- Stage 3 includes credit impaired project loans with a specific allowance for impairment.

During the financial reporting period there has not been any significant changes in the provisioned amounts

The table below shows the project loans at cost according to stages.

DKK 1,000	2024	2023
Project loans (stage 1)	879,684	744,618
Project loans (stage 2)	119,398	88,330
Project loans (stage 3)	570,164	539,519
Total	1,569,246	1,372,467

The table below illustrates the credit quality by OECD country risk for project loans in stage 1.

DKK 1,000	2024	2023
OECD 0	0	116,589
OECD 2	0	0
OECD 3	100,240	126,310
OECD 4	267,462	0
OECD 5	184,049	242,805
OECD 6	104,970	116,505
OECD 7	138,275	142,409
Africa regional	42,226	0
DAC	29,961	0
Asia regional	12,500	0
Total	879,684	744,618

The table below shows project loans according to stages.

DKK 1,000	Allowance for impairment %	Project loans at cost	Accumulated allowance for impairment	Project loans carrying amount 2024
Project loans (stage 1)	(2.0)%	879,684	(17,945)	861,739
Project loans (stage 2)	(6.6)%	119,398	(7,934)	111,464
Project loans (stage 3)	(76.4)%	570,164	(435,688)	134,476
Total		1,569,246	(461,567)	1,107,679

DKK 1,000	Allowance for impairment %	Project loans at cost	Accumulated allowance for impairment	Project loans carrying amount 2023
Project loans (stage 1)	(2.6)%	744,618	(19,668)	724,950
Project loans (stage 2)	(9.8)%	88,330	(8,700)	79,630
Project loans (stage 3)	(70.7)%	539,519	(381,510)	158,009
Total		1,372,467	(409,879)	962,588



NOTES

Note 22 / Equity and credit risk continued

Project loans at amortised cost before allowance for impairment	Stage 1	Stage 2	Stage 3	Total 2024
Project loans beginning of year at cost	744,618	88,330	539,519	1,372,467
Disbursements during the year	300,035	0	64,524	364,559
Interest and fees converted into project loans during the year	15,744	8,456	0	24,200
Repayments during the year	(162,316)	(4,583)	(36,699)	(203,598)
Exchange rate adjustments, project loans	20,928	4,177	5,015	30,120
Write-offs during the year	0	0	(18,502)	(18,502)
Project loans end of year at cost before change of stages	919,009	96,380	553,857	1,569,246
Change in loan value from stage 1	(37,547)	21,101	16,446	0
Change in loan value from stage 2	0	0	0	0
Change in loan value from stage 3	0	0	0	0
Project loans end of year at cost	881,462	117,480	570,303	1,569,246

Accumulated allowance for impairment	Stage 1	Stage 2	Stage 3	Total
Accumulated allowance for impairment beginning of year	(19,668)	(8,701)	(381,510)	(409,879)
Reversed allowance for impairment, loans written off	0	0	25,655	25,655
Allowance for impairment for the year	1,015	1,221	(79,579)	(77,343)
Allowance for impairment related to conversions during the year	0	0	0	0
Accumulated allowance for impairment end of year before change of stages	(18,653)	(7,480)	(435,434)	(461,567)
Change in loan value from stage 1	10,173	(2,306)	(7,867)	0
Change in loan value from stage 2	(217)	7,933	(7,716)	0
Change in loan value from stage 3	0	0	0	0
Accumulated allowance for impairment end of year	(8,697)	(1,853)	(451,017)	(461,567)

Project loans at amortised cost before allowance for impairment	Stage 1	Stage 2	Stage 3	Total 2023
Project loans beginning of year at cost	715,078	148,164	551,408	1,414,650
Disbursements during the year	60,045	0	18,181	78,226
Interest and fees converted into project loans during the year	14,771	125	2,113	17,009
Repayments during the year	(81,926)	(6,629)	(26,670)	(115,225)
Exchange rate adjustments, project loans	(13,496)	(2,114)	(2,614)	(18,224)
Write-offs during the year	(3,969)	0	0	(3,969)
Project loans end of year at cost before change of stages	690,503	139,546	542,418	1,372,467
Change in loan value from stage 1	0	0	0	0
Change in loan value from stage 2	51,216	(51,216)	0	0
Change in loan value from stage 3	2,899	0	(2,899)	0
Project loans end of year at cost	744,618	88,330	539,519	1,372,467

Accumulated allowance for impairment	Stage 1	Stage 2	Stage 3	Total
Accumulated allowance for impairment beginning of year	(9,233)	(11,140)	(375,418)	(395,791)
Reversed allowance for impairment, loans written off	0	0	0	0
Allowance for impairment for the year	(1,626)	(2,544)	(8,256)	(12,426)
Allowance for impairment related to conversions during the year	0	0	(1,662)	(1,662)
Accumulated allowance for impairment end of year before change of stages	(10,859)	(13,684)	(385,336)	(409,879)
Change in loan value from stage 1	0	0	0	0
Change in loan value from stage 2	(4,983)	4,983	0	0
Change in loan value from stage 3	(3,826)	0	3,826	0
Accumulated allowance for impairment end of year	(19,668)	(8,701)	(381,510)	(409,879)



NOTES

Note 22 / Equity and credit risk continued

Maximum exposure to credit risk

The following table shows the maximum exposure to credit risk for IFU. The table only includes derivatives with positive market value.

	2024		2023	
DKK 1,000	Carrying amount	Maximum credit exposure (contractual cash flow)	Carrying amount	Maximum credit exposure (contractual cash flow)
Project loans	1,107,679	1,569,246	962,588	1,372,467
Interest receivable related to projects	68,378	258,682	68,732	183,420
Other receivables	13,809	35,826	28,356	36,071
Derivatives	3,011	3,011	11,048	11,048
Cash	267,825	267,825	717,171	717,171
Commitments	0	498,529	0	205,903
Total	1,460,702	2,633,119	1,787,895	2,526,081

Description of collateral held and fair value hereof (accessibility of pledged assets for project loans)

In a number of cases, IFU has received securities to minimise credit exposure. IFU has received the following types of securities:

- Pledges
- Indemnities and counter-guarantees

The fair value of the pledges is DKK 315m (2023: DKK 251m) and for indemnity and counter-guarantee the fair value is DKK 223m (2023: DKK 151m).



NOTES

Note 23 / Currency risk

Currency risk is the risk that the value of a financial instrument fluctuates due to changes in foreign exchange rates.

IFU is exposed to currency risk through its investments that are denominated in currencies other than the functional currency (DKK). It is IFU's general policy to hedge foreign exchange exposures originated from project loans in other currencies than EUR, when the principal of the loan is greater than the equivalent of USD 1m, and internal credit rating is above a certain threshold.

IFU does not hedge local currency exposure in share capital investments, as costs are typically very high and by way of operation investments may have a natural built-in hedge, e.g. export-oriented businesses. IFU does not hedge commitments to disburse either, as timing and amounts are often difficult to foresee.

IFU primarily uses cross currency swaps to hedge the exposure towards changes in foreign exchange rates on project loans. As exchange rate adjustments of the hedged item and fair value adjustments of the derivative financial instruments are recognised in the income statement, hedge accounting in accordance with IFRS 9 is not applied.

Currency exposure and sensitivity

The following table indicates the currencies to which IFU had significant exposure as of 31 December on its financial assets and liabilities excluding share capital investments. The analysis calculates the effect of a reasonably likely movement of the currency rate against DKK on profit or loss with all other variables held constant. There is no sensitivity effect on equity as IFU has no assets classified as available-for-sale or designated hedging instruments.

2024									
DKK 1,000	Project loans	Interest receivables	Project-related receivables	Hedged	Cash	Provision for losses Guarantees and loan commitments	Net exposure	Increase in foreign exchange rates	Effects on profit or loss
USD	410,637	28,719	747	(219,053)	6	0	220,308	10%	22,031
EUR	433,861	27,770	11,389	0	22,950	0	486,734	1%	4,867
INR	181,959	8,492	0	(30,121)	0	0	160,594	10%	16,059
DKK	74,209	3,397	890	249,174	244,496	(509)	566,053	N/A	0
Other	7,013	0	783	0	373	0	7,118	10%	712
Total	1,107,679	68,378	13,809	0	267,825	(509)	1,440,807		

2023									
DKK 1,000	Project loans	Interest receivables	Project-related receivables	Hedged	Cash	Provision for losses Guarantees and loan commitments	Net exposure	Increase in foreign exchange rates	Effects on profit or loss
USD	436,510	22,028	0	(245,101)	2	(131)	213,308	10%	21,331
EUR	293,745	39,949	2,153	0	65	(237)	335,676	1%	3,357
INR	39,751	0	264	0	0	0	40,016	10%	4,002
DKK	192,582	6,754	26,212	245,101	717,104	(985)	1,186,768	N/A	0
Other	0	0	(273)	0	0	0	(273)	10%	(27)
Total	962,588	68,731	28,356	0	717,171	(1,353)	1,775,494		



NOTES

Note 24 / Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments.

Most of IFU's investments in project loans carry variable interbank interest rates, thus changes in interest rates will mainly affect future cash flows and income.

Interest rate exposure and sensitivity

The annual effect of changes in the interest rate only affects the fair value of fixed rate loans. For variable rate loans, the effect on profit and loss will be a change in the interest payments for the coming year.

The annual effect of an increase in the interest rate of 100 basis points is shown in the table below for fixed and variable interest rate loans

2024					
DKK 1,000	Project loans	SWAP	Net exposure	Increase in interest rates	Effect on profit or loss
Fixed	354,480	(79,762)	274,718	100 bp	0
Variable	753,199	79,762	832,961	100 bp	8,330
Total	1,107,679	0	1,107,679		

2023					
DKK 1,000	Project loans	SWAP	Net exposure	Increase in interest rates	Effect on profit or loss
Fixed	180,466	(62,602)	117,864	100 bp	0
Variable	782,129	62,602	844,731	100 bp	8,447
Total	962,595	0	962,595		

Note 25 / Liquidity risk

Liquidity risk is defined as the risk that IFU will encounter difficulty in meeting financial obligations.

IFU is primarily equity financed except for current liabilities comprised of administrative debt and negative fair value of derivative financial instruments and long-term debt comprised of loans from Danmarks Nationalbank and the Nordic Investment Bank.

IFU's primary exposure to liquidity risk arises from commitments to disburse share capital investments and project loans and to servicing of interest and instalments on long-term debt. To meet these and other obligations, IFU, apart from capital contributions net of dividends, relies on a continuous positive cash flow from interest and repayments on project loans as well as dividends and sales of share capital investments. It is IFU's policy to maintain a positive liquidity position. In addition, A DKK 300 million overdraft facility shared with IØ is in place to cover unexpected negative short-term fluctuations in cash flows. At year-end, DKK 300 million was available for drawing. Furthermore, IFU has access to loan financing of DKK 8.8bn from Danmarks Nationalbank on a number of lending lines, each to finance specific initiatives and mandates managed by IFU. At the end of 2024, DKK 1.5bn was drawn on these lending lines. Finally, IFU has agreed with the EU for financing of EUR 23.4m for three specific projects, of which EUR 20.7 m has been drawn and EUR 2.7m remaining to be drawn. The liquidity position of IFU comprised of cash and bonds amounted to DKK 1.7bn at year-end 2024.



NOTES

Note 25 / Liquidity risk continued

Contractual maturities

The contractual maturities based on undiscounted contractual cash flows are shown below for financial assets, liabilities, guarantees and commitments.

2024							
DKK 1,000	Carrying amount	Contractual cash flows	On demand	0-1 year	1-5 years	Over 5 years	No fixed maturity
Assets							
Project loans	1,107,679	1,569,246	272,218	164,263	731,659	401,107	0
Interest receivable related to projects	68,378	258,682	258,682	0	0	0	0
Other receivables	60,929	60,929	5,389	29,109	26,431	0	0
Derivatives	3,011	3,011	0	3,011	0	0	0
Cash and cash equivalents	1,682,397	1,682,397	1,158,122	91,669	362,331	70,275	0
Total assets	2,922,393	3,574,264	1,694,411	288,052	1,120,421	471,382	0
Liabilities							
Derivatives	12,850	12,850	0	112	11,226	1,512	0
Other current liabilities	76,794	76,794	0	76,794	0	0	0
Loan from Danmarks Nationalbank	1,552,160	1,552,160	0	0	0	1,552,160	0
Loan from the Nordic Investment Bank	52,220	52,220	0	14,714	37,506	0	0
Loan from EU	149,997	149,997	0	0	0	149,997	0
Total liabilities	1,844,020	1,844,020	0	91,620	48,732	1,703,668	0
Off-balance							
Guarantees		509	0	0	0	0	509
Amounts payable on share capital and loan agreements		3,084,447	3,084,447	0	0	0	0
Binding commitments		2,693,447	0	2,693,447	0	0	0
Total off-balance		5,778,403	3,084,447	2,693,447	0	0	509

2023							
DKK 1,000	Carrying amount	Contractual cash flows	On demand	0-1 year	1-5 years	Over 5 years	No fixed maturity
Assets							
Project loans	962,588	1,372,467	113,931	296,643	640,435	321,458	0
Interest receivable related to projects	68,732	183,420	183,420	0	0	0	0
Other receivables	79,478	87,194	5,866	33,706	43,745	0	3,877
Derivatives	11,048	11,047	0	1,696	8,274	1,077	0
Cash and cash equivalents	1,242,716	1,242,716	718,441	91,669	362,331	70,275	0
Total assets	2,364,562	2,896,844	1,021,658	423,714	1,054,785	392,810	3,877
Liabilities							
Derivatives	4,699	4,699	0	32	4,667	0	0
Other current liabilities	64,752	64,752	0	64,752	0	0	0
Loan from Danmarks Nationalbank	1,400,484	1,400,484	0	0	0	1,400,484	0
Loan from the Nordic Investment Bank	66,890	66,890	0	14,714	52,176	0	0
Loan from EU	121,045	121,045	0	0	0	121,045	0
Total liabilities	1,657,870	1,657,870	0	79,498	56,843	1,521,529	0
Off-balance							
Guarantees		494	0	0	0	0	494
Amounts payable on share capital and loan agreements		1,746,794	1,746,794	0	0	0	0
Binding commitments		206,434	0	206,434	0	0	0
Total off-balance		1,953,722	1,746,794	206,434	0	0	494



NOTES

Note 26 / Classification of financial instruments

The following table provides a reconciliation between line items in the balance sheet and categories of financial instruments.

2024			
DKK 1,000	Fair value	Amortised cost	Total
Financial assets			
Share capital investment in projects	5,281,451	0	5,281,451
Project loans	0	1,107,679	1,107,679
Interest receivable related to projects	0	68,378	68,378
Other receivables	13,680	47,249	60,929
Derivatives	3,011	0	3,011
Bonds	1,414,572	0	1,414,572
Cash and cash equivalents	0	267,825	267,825
Total financial assets	6,712,714	1,491,131	8,203,845
Financial liabilities			
Current liabilities:			
Derivatives	12,850	0	12,850
Other current liabilities	0	76,794	76,794
Long-term debt	149,996	1,604,380	1,754,376
Total financial liabilities	162,846	1,681,174	1,844,020

2023			
DKK 1,000	Fair value	Amortised cost	Total
Financial assets			
Share capital investment in projects	4,485,509	0	4,485,509
Project loans	0	962,588	962,588
Interest receivable related to projects	0	68,732	68,732
Other receivables	28,241	51,237	79,478
Derivatives	11,048	0	11,048
Bonds	525,545	0	525,545
Cash and cash equivalents	0	717,171	717,171
Total financial assets	5,050,343	1,799,728	6,850,071
Financial liabilities			
Current liabilities:			
Derivatives	4,699	0	4,699
Other current liabilities	0	64,752	64,752
Long-term debt	121,045	1,467,374	1,588,419
Total financial liabilities	125,743	1,532,126	1,657,870

The carrying amount of project loans with fixed interest terms amounts to DKK 197m (2023: 250m). The fair value of these project loans amounts to DKK 190m (2023: DKK 240m) measured as the net present value of the future cash flow. The inputs used to measure the fair value for project loans are all level 2 inputs in the fair value hierarchy. For more information, see disclosure on fair value measurement, note 27. For other loans and receivables and other liabilities the carrying amount is measured at amortised cost at reasonable approximation of fair value."



NOTES

Note 27 / Fair value measurement basis

The calculation of fair value is based on a fair value hierarchy that reflects the level of judgement associated with the inputs used to measure the fair value. The fair value hierarchy has the following levels:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that can be accessed at the measurement date
- Level 2 inputs are inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly; and
- Level 3 inputs are unobservable inputs that have been applied in valuing the respective assets or liabilities. In the following sections a short description of the overall principle for IFU's calculation of fair value is provided.

For all investments the value determined by using the methods described below will be adjusted, if considered necessary and appropriate, by taking the following factors into account:

- 1) Current and expected operational results of the project company
- 2) Risk of remittance, if any
- 3) Specific circumstances relating to the partners, project, country, region and/or sector
- 4) Current market conditions
- 5) Tax issues

Share capital investments

Most of IFU's fair value estimates are based on unobservable market data (level 3). Indirect investments through financial intermediaries (funds) where the underlying investments are valued according to a fair value principle will be valued at net assets value according to the most recent financial statement received by IFU. Financial intermediaries include own managed funds, loan funds, (externally managed) funds where IFU has a managerial role and externally managed private equity funds.

Direct investments are valued as follows:

- In the initial phase all investments are valued at cost price less any impairment adjustment, as this is deemed to provide a good indication of fair value. Hereafter investments will be valued by either the Discounted Cash Flow method (DCF), by an earnings multiple if appropriate and reliable transaction/earnings multiples are available, or by the net assets methodology, if appropriate. For direct investments in financial institutions, book value of equity is applied in cases where it reflects fair value. For smaller investments, see below.
- If during the 12-month period prior to the reporting date IFU has received a binding offer in writing from a third party, or a significant transaction has taken place, the shares will normally be valued based on the offer or the recent transaction.

The following general assumptions are applied when performing DCF or earnings multiple calculations:

- For DCF calculations, budgets and forecasts for the investments form the basis for the valuation.
- A weighted average cost of capital based on the cost of equity and the cost of debt weighted by the targeted financial leverage from the industry. Growth in terminal period is based on the estimated long-term inflation rate of the country.
- An illiquidity discount is applied and other specific adjustments may be applied where relevant for both DCF and earnings multiple calculations.

Valuing private investments in developing countries at fair value involves a large inherent uncertainty. Due to this uncertainty, a degree of caution is applied when exercising judgements and making the necessary estimates. For smaller investments (cost price or book value of equity below DKK 25m) uncertainties are deemed to be even higher and therefore these will be valued at book value of equity to reflect IFU's share of earnings in the companies. These investments constitute a minor part of IFU's portfolio.

Some share capital investments include a pre-agreed exit agreement. In these cases the value of the exit agreements is taken into consideration as part of the fair value calculation. Investments valued according to exit agreements are in the table below disclosed together with investments valued based on a recent binding offer or transaction.

Project loans

Project loans, which do not meet the "SPPI" test (solely payments of principal and interest), e.g. loans which include equity features such as profit participation or equity conversion options, are measured at fair value. In the initial phase all loans are valued at cost price less any impairment adjustment, as this is deemed to provide a good indication of fair value. Hereafter loans will be valued by the DCF method based on updated assumptions for future cash flow including equity features.

Valuing project loans in developing countries at fair value involves a large inherent uncertainty. For smaller project loans (cost price of loan below DKK 25m) uncertainties are deemed to be even higher and therefore these will be valued at amortised cost less an allowance for impairment. These project loans constitute a minor part of IFU's portfolio.



NOTES

Note 27 / Fair value measurement basis continued

Fair value measurements and reconciliation

The following table shows financial instruments recognised at fair value by level in the fair value hierarchy and a reconciliation of all movements in the fair value of items categorised within level 3.

2024				
DKK 1,000	Level 1	Level 2	Level 3	Total
Share capital investments				
Opening balance	6,026	0	4,479,483	4,485,509
Transfers into the level	0	0	0	0
Transfers out of the level	(6,026)	0	6,026	0
Total gains/ losses for the period included in profit or loss		0	255,082	255,082
Paid-in share capital in projects	0	0	779,103	779,103
Proceeds from divestment of shares	0	0	(238,243)	(238,243)
Closing balance	0	0	5,281,451	5,281,451
Project loans at fair value				
Opening balance	0	0	0	0
Transfers into the level	0	0	0	0
Transfers out of the level	0	0	0	0
Exchange rate adjustments	0	0	0	0
Total gains/losses for the period included in profit or loss	0	0	0	0
Disbursement of project loans	0	0	0	0
Closing balance	0	0	0	0
Other receivables				
Opening balance	0	28,241	0	28,241
Closing balance	0	13,680	0	13,680
Derivative financial instruments (Assets)				
Opening balance	0	11,048	0	11,048
Closing balance	0	3,011	0	3,011
Derivative financial instruments (Liabilities)				
Opening balance	0	4,699	0	4,699
Closing balance	0	12,850	0	12,850
Total recurring fair value measurements	0	29,541	5,281,451	5,310,992

2023				
DKK 1,000	Level 1	Level 2	Level 3	Total
Share capital investments				
Opening balance	5,713	0	4,300,839	4,306,552
Transfers into the level	0	0	0	0
Transfers out of the level	0	0	0	0
Total gains/ losses for the period included in profit or loss	313	0	8,212	8,525
Paid-in share capital in projects	0	0	548,933	548,933
Proceeds from divestment of shares	0	0	(378,501)	(378,501)
Closing balance	6,026	0	4,479,483	4,485,509
Project loans at fair value				
Opening balance	0	0	78,646	78,646
Transfers into the level	0	0	0	0
Transfers out of the level	0	0	(78,646)	(78,646)
Exchange rate adjustments	0	0	0	0
Total gains/losses for the period included in profit or loss	0	0	0	0
Disbursement of project loans	0	0	0	0
Closing balance	0	0	0	0
Other receivables				
Opening balance	0	46,588	0	46,588
Closing balance	0	28,241	0	28,241
Derivative financial instruments (Assets)				
Opening balance	0	5,662	0	5,662
Closing balance	0	11,048	0	11,048
Derivative financial instruments (Liabilities)				
Opening balance	0	10,679	0	10,679
Closing balance	0	4,699	0	4,699
Total recurring fair value measurements	6,026	43,987	4,479,483	4,529,497



NOTES

Note 27 / Fair value measurement basis continued

Valuation techniques and unobservable inputs used measuring fair value of level 3 fair value measurements

2024					
Type of investment	Fair value at 31/12/2024	Valuation technique	Unobservable inputs	Reasonable possible shift in %	Change in fair value
Indirect investments through financial intermediaries					
Own managed funds, loan funds and funds where IFU has a managerial role	1,931,641	Net assets value			
Externally managed funds	1,130,917	Net assets value			
Direct investments					
	327,002	Cost			
	28,640	Quoted prices (adjusted)			
	437,258	Binding offers/ transaction/exit terms			
	798,112	Book value of equity			
	616,254	Discounted Cash Flow	WACC	+10%	(49,780)
			Growth in terminal value	- 20%	(190)
	6,122	Multiple valuation	EV/EBITDA	- 10%	(800)
			Price/Book	- 10%	0
	5,505	Book value of equity (small investments)			
Share capital investments	5,281,451				
Project loans at fair value	0	Discounted Cash Flow	Discount rate	+10%	0
Total investments at fair value	5,281,451				

2023					
Type of investment	Fair value at 31/12/2023	Valuation technique	Unobservable inputs	Reasonable possible shift in %	Change in fair value
Indirect investments through financial intermediaries					
Own managed funds, loan funds and funds where IFU has a managerial role	1,905,621	Net assets value			
Externally managed funds	787,207	Net assets value			
Direct investments					
	75,817	Cost			
	27,678	Quoted prices (adjusted)			
	51,735	Binding offers/ transaction/exit terms			
	1,169,665	Book value of equity			
	438,265	Discounted Cash Flow	WACC	+10%	(49,331)
			Growth in terminal value	- 20%	(592)
	10,360	Multiple valuation	EV/EBITDA	- 10%	(1,362)
			Price/Book	- 10%	0
	13,135	Book value of equity (small investments)			
Share capital investments	4,479,483				
Project loans at fair value	0	Discounted Cash Flow	Discount rate	+10%	0
Total investments at fair value	4,479,483				

The significant unobservable inputs used in the fair value measurement of IFU's Level 3 financial instruments are not interrelated. Changes in one input are not expected to significantly influence other inputs



STATEMENT BY THE MANAGEMENT ON THE ANNUAL REPORT

The executive management and the board of directors have today considered and approved the annual report of the Investment Fund for Developing Countries (IFU) for the financial year 1 January – 31 December 2024.

The annual report has been prepared in accordance with the Danish Financial Statements Act.

In our opinion, the annual report gives a true and fair view of IFU's financial position as per 31 December 2024 and of the results of IFU's operations and cash flows for 2024.

Further, it is our opinion that business procedures and internal controls have been set up to ensure that the transactions covered by the financial statements comply with the appropriations granted, legislation and other regulations and with agreements entered into and usual practice; and that due financial consideration has been taken of the management of funds and operations covered by the financial statements.

In addition, it is our opinion that systems and processes have been established to support financial prudence, productivity and efficiency.

It is further our opinion that the management's review includes a true and fair account of the development in the operations and financial circumstances of the fund, the results for the year as well as the financial position of IFU, and that sustainability and impact results achieved in the year are prepared in accordance with the principles stated. We believe that the management review is prepared in accordance with relevant laws and regulations.

Copenhagen, 8 April 2025

Executive management:

Lars Bo Bertram, CEO

Søren Peter Andreassen, Deputy CEO

Lars Krogsgaard, CIO

Board of directors:

Michael Rasmussen, Chairman

Jakob Ellemann-Jensen

Birgitte Qvist-Sørensen

Anette Eberhard, Deputy Chairman

Hanna Line Jakobsen

Fleming Voetmann

Tommy Ahlers

Emilie Damm Klarskov

Thomas Bustrup

Jarl Krausing



INDEPENDENT AUDITOR'S REPORT

To the board of directors of the Investment Fund for Developing Countries (IFU)

Report on the financial statements

Opinion

We have audited the financial statements of IFU for the financial year 1 January to 31 December 2024, which comprise the income statement, balance sheet, statement of changes in equity, cash flow statement and notes, including a summary of significant accounting policies. The financial statements are prepared in accordance with the Danish Financial Statements Act.

In our opinion, the financial statements give a true and fair view of IFU's financial position at 31 December 2024 and of the results of its operations and cash flows for the financial year 1 January – 31 December 2024 in accordance with the Danish Financial Statements Act.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs) and the additional requirements applicable in Denmark as well as the public auditing standards as the audit is performed based on the Articles of Association of IFU. Our responsibilities under those standards and requirements are further described in the "Auditor's responsibilities for the audit of the financial statements" section of this auditor's report. We are independent of IFU in accordance with the Interna-

tional Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) and the additional ethical requirements applicable in Denmark, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Management's responsibilities for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the stated accounting rules, and for such internal control as Management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, Management is responsible for assessing IFU's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting in preparing the financial statements unless Management either intends to liquidate IFU or to cease operations, or has no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to

fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs and the additional requirements applicable in Denmark as well as the public auditing standards, as the audit is performed based on the Articles of Association of IFU, will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs and the additional requirements applicable in Denmark as well as the public auditing standards, as the audit is performed based on the Articles of Association of IFU, we exercise professional judgement and maintain professional scepticism throughout the audit.

We also:

- Identify and assess the risk of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of IFU's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by Management.
- Conclude on the appropriateness of Management's use of the going concern basis of accounting in preparing the financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on IFU's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause IFU to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures in the notes, and whether the financial statements represent the underlying transactions and events in a manner that gives a true and fair view.





We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Statement on the Management's review

Management is responsible for the Management's review.

Our opinion on the financial statements does not cover the Management's review, and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the management's review and, in doing so, consider whether the Management's review is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Moreover, it is our responsibility to consider whether the Management's review provides the information required by relevant law and regulations.

Based on the work we have performed, we conclude that the Management's review is in accordance with the financial statements and has been prepared in accordance with the requirements in the relevant law and regulations. We did not identify any material misstatement of the Management's review.

Report on other legal and regulatory requirements

Statement on compliance audit and performance audit

Management is responsible for ensuring that the transactions covered by the financial statements are in accordance with appropriations granted, laws and other regulations, and with agreements entered into and usual practice, and for ensuring that sound financial management is exercised in the administration of the funds and the operation of the activities covered by the financial statements. Management is also responsible for setting up systems and processes supporting financial prudence, productivity and efficiency.

As part of our audit of the financial statements, it is our responsibility to perform compliance audit procedures and performance audit procedures in accordance with the public auditing standards. This implies that we assess the risk of significant regulatory breaches in the transactions covered by the financial reporting, or significant administrative deficiencies in the systems and processes established by Management. Based on the risk assessment, we determine the specific subject matters for which we will conduct a compliance audit or a performance audit.

In a compliance audit, we test with reasonable as-

surance whether the transactions covered by the selected subject matter comply with the appropriations granted, laws and other regulations, and with agreements entered into and usual practice. In a performance audit, we make an assessment to obtain reasonable assurance about whether the systems, processes or transactions covered by the selected subject matter support the exercise of sound financial management in the operation of IFU and the administration of the funds covered by the financial statements.

Our audit of each selected subject matter aims to obtain sufficient and appropriate audit evidence as a basis for a reasonable assurance conclusion regarding the subject matter. In an audit, it is not possible to obtain absolute assurance in detecting all regulatory

breaches or administrative deficiencies. As we have only conducted compliance audit procedures and performance audit procedures of the selected subject matters, we cannot provide assurance that there are no significant regulatory breaches or significant administrative deficiencies in areas outside the selected subject matters.

If, based on the procedures performed, we conclude that material critical comments should be made, we are required to report this in this statement.

We have no material critical comments to report in this connection.

Copenhagen, 8 April 2025

Deloitte Statsautoriseret Revisionspartnerselskab

Business Registration No. 33 96 35 56

Jens Ringbæk

State-Authorised Public Accountant
Identification number (MNE): mne27735

Lars Hillebrand

State-Authorised Public Accountant
Identification number (MNE): mne26712



MANAGEMENT



BOARD OF DIRECTORS

The Danish minister for development cooperation appoints the chairman, the deputy chairman and the other members of the board of directors for three-year terms, according to Section 9 of the Danish Act on International Development Cooperation. Each appointment is personal. The current three-year term ends on 31 August 2027.

Since 1 January 2013, an observer from the Ministry of Foreign Affairs has been appointed to IFU's board of directors.

The board of directors usually convenes six to eight times a year. On the recommendation of executive management, it makes decisions about larger investments and other key issues.

It is noted that the chairman has been a member of the board for more than 12 years and as such cannot be considered independent in accordance with the recommendations by the Danish Committee on Corporate Governance. ■

**MICHAEL RASMUSSEN**

chairman, board member since 2000, CEO, Nykredit. Other board memberships: Nykredit Bank A/S (chairman), Totalkredit A/S (chairman), Sparinvest Holding SE (chairman), Finance Denmark (chairman), Sund og Bælt Holding A/S (chairman).

**TOMMY AHLERS**

Board member since 2024. General Partner, Look Up Ventures and Venture Partner, Giant Ventures. Former minister for higher education and science. Former member of parliament. Other board memberships: Concito (chairman).

**JAKOB ELLEMANN-JENSEN**

Board member since 2024. Senior Vice President, Danish Chamber of Commerce. Former chairman of the Liberal Party of Denmark (Venstre). Former deputy prime minister and minister for economic affairs. Former member of parliament. Other board memberships: EIFO.

**EMILIE DAMH KLARSKOV**

Board member since 2021. Head of Analysis, The Economic Council of the Labour Movement.

**ANETTE EBERHARD**

Deputy chairman, board member since 2021. Board professional. Other board memberships: Alm. Brand (chairman audit committee, member of risk committee) PKA (head of audit committee), NH AIFM P/S (chairperson), Embankment Group A/S (chairperson).

**THOMAS BUSTRUP**

Board member since 2021. Deputy CEO, Danish Industry. Other board memberships: Baltic Development Forum (chairman), Business Europe US Network (chairman), International Chamber of Commerce, Denmark, State of Green, DIBD A/S and subsidiaries, Business Advisory Council, Ukraine Donor Platform.

**HANNA LINE JAKOBSEN**

Board member since 2021. Associate Director, Novo Nordisk.

**JARL KRAUSING**

Board member since 2021. Deputy CEO and International Director, CONCITO. Other board memberships: Udviklingspolitisk Råd (deputy chairman), Merkur Banks Klimafond, Forum for Samfundsansvar og Bæredygtighedsregulering, MINO Danmark. Merkur Banks Klimafond, Rådet for Samfundsansvar og Verdensmål.



EXECUTIVE MANAGEMENT

The Danish minister for development cooperation appoints the CEO.



BIRGITTE QVIST-SØRENSEN

Board member since 2024.
Former secretary general of
Danish Church Aid.
Other board memberships:
Frececo Fonden (chairman),
KVINFO (chair),
Diakonissestiftelsen
(deputy chair).



KARIN POULSEN

Board observer since 2022.
Ambassador, director,
Department for Green
Diplomacy and Climate,
Ministry of Foreign Affairs.



LARS BO BERTRAM

CEO
Board memberships: P+
(chairman), FP Kapital A/S,
Formuepleje Holding A/S and
Formuepleje A/S (chairman),
SOS Children's Villages
(deputy chairman).



FLEMING VOETMANN

Board member since 2024.
Vice President for External
Relations & Sustainability,
VELUX.
Other board memberships:
State of Green, Public Affairs
Council, Dan Uzans
Mindefond, Corporate
Leaders Group.



SØREN PETER ANDREASEN

Deputy CEO
Board memberships: EDFI
Management Company
(chairman).



LARS KROGSGAARD

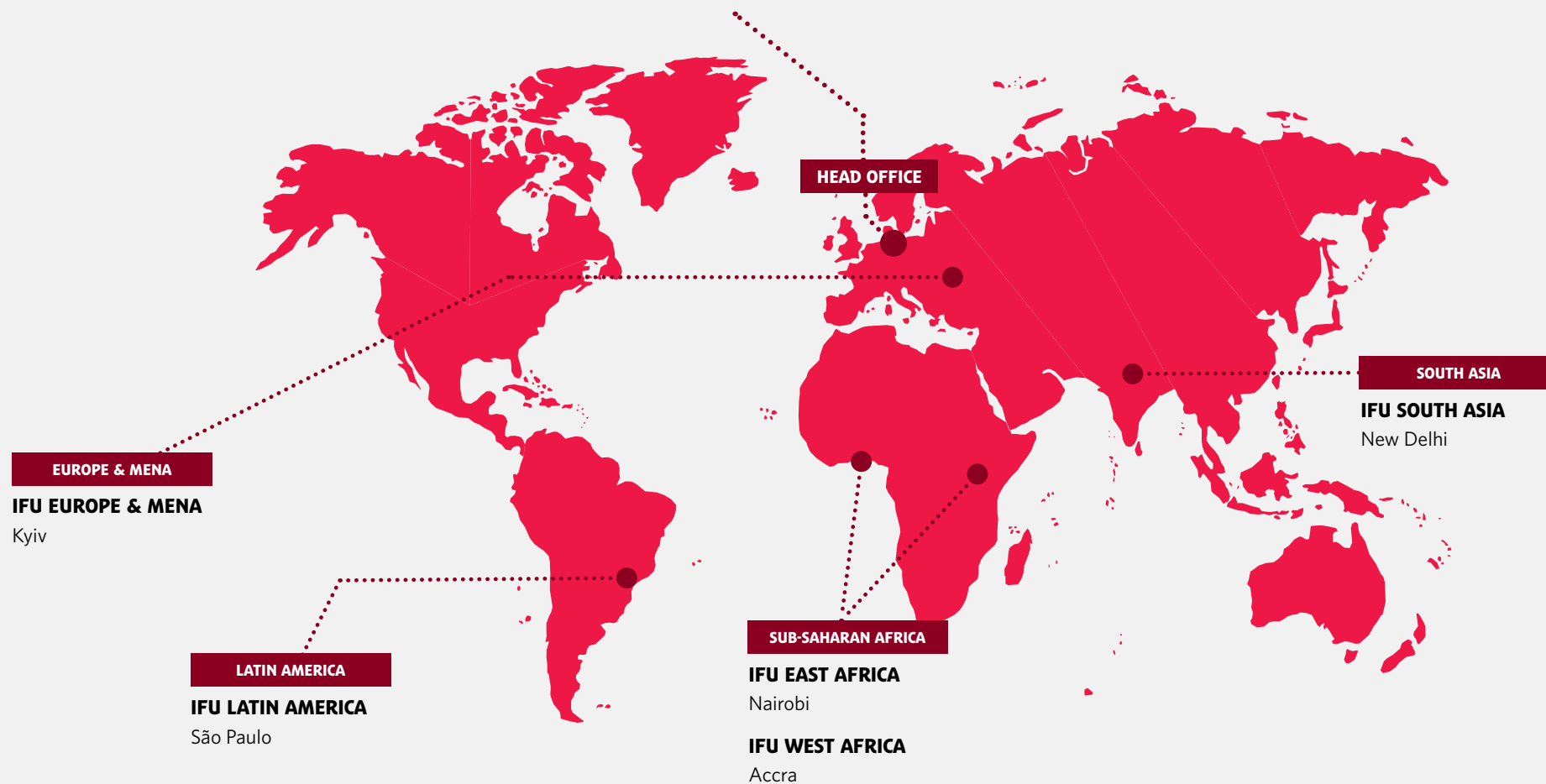
CIO
Board memberships:
Samplix ApS, DCR Solution
A/S (chairman).

STAFF Staff - See www.ifu.dk - click here

GLOBAL PRESENCE

COPENHAGEN

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